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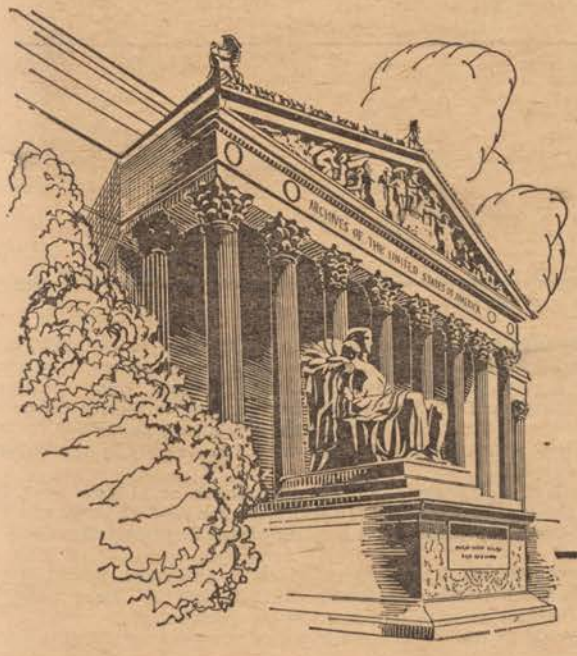
Tuesday, June 25, 1968 · Washington, D.C.

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1934

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Title 7—AGRICULTURE

Chapter I—Consumer and Marketing Service (Standards, Inspections, Marketing Practices), Department of Agriculture

PART 27—COTTON CLASSIFICATION UNDER COTTON FUTURES LEGISLATION

Subpart A—Regulations

SPOT MARKETS FOR CONTRACT SETTLEMENT PURPOSES

Statement of considerations. The revision of § 27.94 of the Regulations for Cotton Classification Under Cotton Futures Legislation (7 CFR Part 27, Subpart A) hereinafter set forth designates certain spot markets for purposes of settlement of a new No. 1 contract adopted by the New York Cotton Exchange on June 17, 1968. The use of these markets was approved by the New York Cotton Exchange after being recommended to the Exchange by an industry wide committee. The basis grade prescribed in the contract is Middling $^{15}/_{16}$ inch and cotton of this quality is sold at these markets in such volume and under such conditions as customarily to reflect accurately its value and the differences between its value and the value of other qualities of cotton deliverable under the contract. The new No. 1 contract will replace the old No. 1 contract. Trading on this new contract will begin July 15, 1968.

Accordingly, pursuant to authority contained in the cotton futures provisions in sections 4862 and 4863 of the Internal Revenue Code of 1954 (68A Stat. 581, 582; 26 U.S.C. 4862, 4863) section 27.94 of the regulations governing cotton classification (7 CFR 27.94) under such provisions is hereby revised to read as follows:

§ 27.94 Spot markets for contract settlement purposes.

The following are designated as spot markets for the purpose of determining, as provided in paragraph 4863(c) of the act, the differences above or below the contract price which the receiver shall pay for grades other than the basis grade tendered or delivered in settlement of a section 4863 contract:

(a) For cotton delivered in settlement of any No. 1 contract of the New York Cotton Exchange:

Dallas, Tex.
Houston, Tex.
Lubbock, Tex.
Memphis, Tenn.
Montgomery, Ala.

(b) For cotton delivered in settlement of any No. 2 contract of the New York Cotton Exchange:

Dallas, Tex.
Greenville, S.C.
Greenwood, Miss.
Memphis, Tenn.
Phoenix, Ariz.

(Secs. 4862 and 4863, 68A Stat. 581, 582; 26 U.S.C. 4862, 4863. 29 F.R. 16210, as amended)

Inasmuch as trading on the new No. 1 contract will begin July 15, 1968, the aforesaid revision of § 27.94 should be made effective on that date in order to facilitate trading under such contract. This does not allow sufficient time for publishing notice of rule making and other public procedure or 30-day delay in effective date with respect to the revision. Therefore, pursuant to the administrative procedure provisions of 5 U.S.C. 553, it is found upon good cause that such public procedure with respect to the revision is impracticable and good cause is found for making the revision effective less than 30 days after publication in the FEDERAL REGISTER.

Effective date. This revision shall become effective July 15, 1968.

Done at Washington, D.C., this 19th day of June 1968.

G. R. GRANGE,
Deputy Administrator,
Marketing Services.

[F.R. Doc. 68-7492; Filed, June 24, 1968; 8:46 a.m.]

Chapter IX—Consumer and Marketing Service (Marketing Agreements and Orders; Fruits, Vegetables, Nuts), Department of Agriculture

[Valencia Orange Reg. 243, Amdt. 1]

PART 908—VALENCIA ORANGES GROWN IN ARIZONA AND DESIGNATED PART OF CALIFORNIA

Limitation of Handling

Findings. (1) Pursuant to the marketing agreement, as amended, and Order No. 908, as amended (7 CFR Part 908), regulating the handling of Valencia oranges grown in Arizona and designated part of California, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674), and upon the basis of the recommendation and information submitted by the Valencia Orange Administrative Committee, established under the said amended marketing agreement and order, and upon other available information, it is hereby found that the limitation of handling of such Valencia oranges, as hereinafter provided, will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rule-making procedure, and postpone the effective date of this amendment until 30 days after publication thereof in the FEDERAL REGISTER (5 U.S.C. 553) because the time intervening between the date when information upon which this amendment is based became available and the time when this amendment must become effective in order to effectuate the declared policy of the act is insufficient, and this amendment relieves restriction on the handling of Valencia oranges grown in Arizona and designated part of California.

Order, as amended. The provision in paragraph (b)(1) (i), (ii), and (iii) of § 908.543 (Valencia Orange Reg. 243, 33 F.R. 8649) are hereby amended to read as follows:

§ 908.543 Valencia Orange Regulation 243.

* * * * *

(b) *Order.* (1) * * *

(i) District 1: 45,000 cartons;
(ii) District 2: 305,000 cartons;
(iii) District 3: 45,000 cartons.

* * * * *

(Secs. 1–19, 48 Stat. 31, as amended; 7 U.S.C. 601–674)

Dated: June 19, 1968.

PAUL A. NICHOLSON,
Deputy Director, Fruit and Vegetable Division, Consumer and Marketing Service.

[F.R. Doc. 68-7493; Filed, June 24, 1968; 8:46 a.m.]

[Lemon Reg. 325, Amdt. 1]

PART 910—LEMONS GROWN IN CALIFORNIA AND ARIZONA

Limitation of Handling

Findings. (1) Pursuant to the marketing agreement, as amended, and Order No. 910, as amended (7 CFR Part 910), regulating the handling of lemons grown in California and Arizona, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674), and upon the basis of the recommendations and information submitted by the Lemon Administrative Committee, established under the said amended marketing agreement and order, and upon other available information, it is hereby found that the limitation of handling of such lemons, as hereinafter provided, will tend to effectuate the declared policy of the act by tending to establish and maintain such orderly marketing conditions for such lemons as will provide, in the interest of producers and consumers, an orderly flow of the supply thereof to market throughout the normal marketing season to avoid unreasonable fluctuations in supplies and prices, and is not for the purpose of maintaining prices to farmers above the level which it is declared to be the policy of Congress to establish under the act.

(2) It is hereby further found that it is impracticable and contrary to the

public interest to give preliminary notice, engage in public rule-making procedure, and postpone the effective date of this amendment until 30 days after publication hereof in the FEDERAL REGISTER (5 U.S.C. 553) because the time intervening between the date when information upon which this amendment is based became available and the time when this amendment must become effective in order to effectuate the declared policy of the act is insufficient, and this amendment relieves restrictions on the handling of lemons grown in California and Arizona.

Order, as amended. The provisions in paragraph (b)(1)(ii) of § 910.625 (Lemon Reg. 325, 33 F.R. 8770) are hereby amended to read as follows:

§ 910.625 Lemon Regulation 325.

* * * * *

(b) *Order.* (1) * * *

(ii) District 2: 404,550 cartons;

(Secs. 1–19, 48 Stat. 31, as amended; 7 U.S.C. 601–674)

Dated: June 20, 1968.

PAUL A. NICHOLSON,
Deputy Director, Fruit and Vegetable Division, Consumer and Marketing Service.

[F.R. Doc. 68–7494; Filed, June 24, 1968; 8:46 a.m.]

Chapter XIV—Commodity Credit Corporation, Department of Agriculture

SUBCHAPTER B—LOAN, PURCHASES, AND OTHER OPERATIONS

PART 1427—COTTON

Subpart—1968 Crop Supplement to Cotton Loan Program Regulations

Correction

In F.R. Doc. 68–6984 appearing at page 8726 in the issue of Friday, June 14, 1968, the following changes should be made:

1. In § 1427.1516:

a. The first city under the heading "Alabama" which reads "Akrun" should read "Akron".

b. The basis middling white inch loan rate for Stevenson, Jackson County, Ala., which reads "10.45" should read "20.45".

c. The city entry for Georgia which reads "Desoto", should read "De Soto".

d. The city entry for North Carolina which reads "Frandklinton", should read "Franklinton".

2. A heading should be inserted directly beneath the section heading for § 1427.1517 which reads "(BASIS 1-INCH MIDDLING)".

3. In the table for § 1427.1517, following the word "Grade" in the first column, the word "Codes '" should be transposed to the beginning of the next line which now begins "(26)".

4. In the first column of the table for § 1427.1517, the entries under "Light Spotted" which read "LM" and "SM" should read "SLM" and "LM", respectively.

Title 10—ATOMIC ENERGY

Chapter I—Atomic Energy Commission

PART 10—CRITERIA AND PROCEDURES FOR DETERMINING ELIGIBILITY FOR ACCESS TO RESTRICTED DATA OR DEFENSE INFORMATION

Derogatory Information

An individual's participation in homosexual or other sexually perverted conduct, without adequate evidence of rehabilitation, has long been considered by the Atomic Energy Commission as conduct which may fall within the criteria for denial of access to classified information set forth in 10 CFR § 10.17. In order to provide more explicit guidance to the effect that such conduct, as well as the condition of being a homosexual or other sexual pervert in a technical medical sense, is considered to fall within the criteria, the Commission has adopted the clarifying amendment set forth below. The amendment also explicitly takes into account the materiality of adequate evidence of rehabilitation in evaluating participation in sexually perverted conduct, and declares more explicitly that homosexuality is considered as only one of the types of sexual perversion covered by the criteria.

Because this amendment relates to the performance of agency management functions as described in section 4(2) of the Administrative Procedure Act of 1946, as amended, 5 U.S.C. section 553 (a)(2), is merely interpretative of existing security criteria, and involves a military or foreign affairs function of the United States, the Commission has found that general notice of proposed rule making and public procedure thereon are not required and that good cause exists why this amendment should be made effective immediately without the customary period of prior notice.

Because of the importance of the regulations in 10 CFR Part 10, Criteria and Procedures for Determining Eligibility for Access to Restricted Data or Defense Information, and the amendment which is the subject of this notice, the Commission invites written comments from interested members of the public. These comments should be mailed to the Secretary, U.S. Atomic Energy Commission, Washington, D.C. 20545.

Pursuant to the Atomic Energy Act of 1954, as amended, Executive Orders 10450 and 10865, and the Administrative Procedure Act of 1946, as amended, the following amendment of 10 CFR Part 10 is published as a document subject to codification, to be effective upon publication in the FEDERAL REGISTER.

10 CFR Part 10, § 10.11, paragraph (b)(9), is amended to read as follows:

§ 10.11 Derogatory information.

* * * * *

(b) * * *

(9) Is a homosexual or other sexual pervert; or has engaged in homosexual or other sexually perverted conduct without adequate evidence of rehabilitation;

* * * * *

(Sec. 145, 68 Stat. 942; 42 U.S.C. 2165; sec. 161, 68 Stat. 948; 42 U.S.C. 2201; E.O. 10450, 18 F.R. 2489; 3 CFR, 1949–53 Comp., p. 936; E.O. 10865, 25 F.R. 1583; 3 CFR, 1959–63 Comp., p. 398)

Dated at Germantown, Md., this 18th day of June 1968.

For the Atomic Energy Commission.

W. B. MCCOOL,
Secretary.

[F.R. Doc. 68–7470; Filed, June 24, 1968; 8:45 a.m.]

Title 14—AERONAUTICS AND SPACE

Chapter II—Civil Aeronautics Board

SUBCHAPTER A—ECONOMIC REGULATIONS

[ER–539; Amdt. 2]

PART 242—REPORTING RESULTS OF SCHEDULED ALL-CARGO SERVICES

Certification Form

Adopted by the Civil Aeronautics Board at its office in Washington, D.C., 10th day of June 1968.

On April 16, 1968, by notice of proposed rule making, EDR–137, 33 F.R. 6131, April 20, 1968, Docket 19832, the Board proposed to extend the termination date of Part 242 through December 31, 1970. It also proposed to modify slightly the certification of Form 242, so that the wording of this form would correspond to that of Form 243.

Comments have been received from two air carriers,[1] both favoring adoption of the proposal. Therefore, the Board has decided to adopt the regulation as proposed.

In consideration of the foregoing, the Board hereby amends Part 242 (14 CFR Part 242) and CAB Form 242 of its economic regulations, effective July 25, 1968, as follows:

1. Amend § 242.1(b) to read as follows:

§ 242.1 Applicability.

* * * * *

(b) this part shall expire December 31, 1970, unless earlier rescinded by the Board.

2. Amend the Certification (cover sheet) of CAB Form 242 to read as follows:

I, the undersigned (Title of officer in charge of accounts) of the (Full name of reporting company) do certify that all schedules and supporting documents which are submitted herewith or have been submitted heretofore as parts of this report filed for the above indicated period have been prepared by me or under my direction; that I have carefully examined them and declare that the information contained herein

[1] American Airlines, Inc., and The Flying Tiger Line, Inc.

reflects the application of allocation procedures filed with the Board and is accurate and complete to the best of my knowledge and belief.

(Signature)

(Secs. 204(a), 407, Federal Aviation Act of 1958, as amended; 72 Stat. 743, 766; 49 U.S.C. 1324, 1377)

NOTE: The reporting requirements contained herein have been approved by the Bureau of the Budget in accordance with the Federal Reports Act of 1942.

By the Civil Aeronautics Board.

[SEAL] HAROLD R. SANDERSON, *Secretary.*

[F.R. Doc. 68-7498; Filed, June 24, 1968; 8:47 a.m.]

Title 16—COMMERCIAL PRACTICES

Chapter I—Federal Trade Commission

PART 15—ADMINISTRATIVE OPINIONS AND RULINGS

Commission Has No Objection to Proposed Merger of Two Noncompeting Quarry and Building Materials Companies

§ 15.259 Commission has no objection to proposed merger of two noncompeting quarry and building materials companies.

(a) The Commission issued an advisory opinion telling applicants it has no objection to their proposed merger.

(b) According to the information submitted in connection with the application for an advisory opinion, the two companies do not sell to the same customers nor do they sell in the same geographic markets in their dsitribution of certain building materials. Both companies are of modest size.

(38 Stat. 717, as amended; 15 U.S.C. 41-58; 49 Stat. 1526; 15 U.S.C. 13, as amended)

Issued: June 24, 1968.

By direction of the Commission.

[SEAL] JOSEPH W. SHEA, *Secretary.*

[F.R. Doc. 68-7440; Filed, June 24, 1968; 8:45 a.m.]

PART 15—ADMINISTRATIVE OPINIONS AND RULINGS

Synthetic Emeralds

§ 15.260 Synthetic emeralds.

(a) Responding to a request for an advisory opinion, the Commission took the position that it would be improper to use the term "X Grown Emeralds" as descriptive of synthetic stones.

(b) In expressing the opinion that the proposed phrase would not constitute a proper disclosure of the nature of the product and the fact that it is not a natural stone, the Commission said: "This conclusion is based upon the belief that most consumers would probably ascribe to the word 'grown' its more commonly accepted meaning, namely, one of natural growth, and thus conclude, contrary to fact, that the product is a cultured stone. Under these circumstances, therefore, the Commission is of the opinion that use of the proposed term would not be in compliance with sec. 5 of the FTC Act because the stones are synthetic, not cultured."

(38 Stat. 717, as amended; 15 U.S.C. 41-58)

Issued: June 24, 1968.

By direction of the Commission.

[SEAL] JOSEPH W. SHEA, *Secretary.*

[F.R. Doc. 68-7441; Filed, June 24, 1968; 8:45 a.m.]

Title 17—COMMODITY AND SECURITIES EXCHANGES

Chapter II—Securities and Exchange Commission

[Release 36-16081]

PART 250—GENERAL RULES AND REGULATIONS, PUBLIC UTILITY HOLDING COMPANY ACT OF 1935

Acquisitions Pursuant to Preliminary Agreements and Invitation for Tenders

On January 31, 1968, the Securities and Exchange Commission published notice (Holding Company Act Release No. 15957) (in FEDERAL REGISTER on Feb. 7, 1968 (33 F.R. 2642), that it had under consideration the adoption of Rule 51 (17 CFR 250.51) under the Public Utility Holding Company Act of 1935 ("Act") (15 U.S.C. 79a et seq.) and invited all interested persons to submit their views and comments upon the proposal. Six letters of comment were received. The Commission, after due consideration of the comments and suggestions, has determined to adopt Rule 51 in the form set forth below.

Section 9(a) of the Act makes it unlawful, unless the acquisition has been approved by the Commission, for a registered holding company or subsidiary company thereof to acquire any securities or utility assets or any other interest in any business, except as an exemption may be applicable. Certain acquisitions by other persons also require prior approval of the Commission. Rule 51 (17 CFR 250.51) defines the term "acquire" as used in section 9(a).

The purpose of the rule is to make clear what steps a person whose proposed acquisition requires Commission approval may take in advance of such approval. Two recent cases, both of which involved invitations for tenders from public security holders, have indicated the desirability of clarification.

In general the rule permits only such preliminaries as will not substantially affect the public interest or the interest of investors or consumers in the event the Commission finds that a proposed transaction does not conform to the applicable statutory standards. The rule also takes into account the possibility that an application for approval of an acquisition under section 10, particularly a contested one, may take a substantial period of time for disposition, and contemplates the possibile issuance of certificates of deposit. Pending further experience the Commission has not attempted advance prescription of appropriate terms of the certificate of deposit. It will be necessary, on a case-by-case basis, to give consideration to such matters as provision for voting rights and dividends, possible adjustments of the proposed tender price in the light of contingencies after invitation for tenders and other matters. The provision for a preliminary hearing on the fairness of the exchange for certificates of deposit has the purpose among others of meeting the requirements for exemption of the issuance of the certificates of deposit under section 3(a)(10) of the Securities Act of 1933.

Several of the comments received on the published proposal expressed concern that the rule as proposed would prohibit usual indemnification of depositaries and others participating as agents in the solicitation of tenders against expense and liabilities incurred in that capacity. There was also concern that a proposed acquirer could not agree to bear its share of legal, engineering, accounting, or similar incidental fees and expenses arising from execution of a preliminary agreement and permissible preliminary steps in the planning stages. To meet these problems, paragraph (c) of the adopted rule has been revised to prohibit only indemnification against market or investment risk extended to a person who acquires, retains or disposes of the securities or assets subject to a preliminary agreement in contemplation of their ultimate acquisition by the proposed acquirer.

The text of the rule is as follows:

§ 250.51 Acquisitions pursuant to preliminary agreements and invitation for tenders.

For the purpose of section 9(a) of the Act, the term "acquire" is defined to include the making of a contract or agreement (herein called Preliminary Agreement) pursuant to which a person subject to section 9(a) (of the Act) (herein called the Proposed Acquirer) contingently or otherwise acquires any right or becomes subject to any obligation to acquire directly or indirectly any securities or utility assets or any other interest in any business, or to direct any other person to make any sale or acquisition of any securities or utility assets or any other interest in any business. Except where an exemption from section 9(a) (of the Act) may be applicable, the making of such Preliminary Agreement or the taking of any action in connection therewith, without prior approval of the Commission, by any person so subject to section 9(a) (of the Act) shall be

deemed unlawful, unless all of the following conditions are satisfied:

(a) The transaction contemplated by the Preliminary Agreement is expressly conditioned on Commission approval and the application for such approval is filed with the Commission as soon as practicable.

(b) No standby, option, or similar fee is paid or payable by or on behalf of the Proposed Acquirer as consideration for the Preliminary Agreement.

(c) The Proposed Acquirer does not indemnify or agree to indemnify any person against any market or investment risk in connection with such person's acquisition, retention or disposition of the subject matter of the proposed acquisition.

(d) The Proposed Acquirer does not transfer to any person (other than a subsidiary or successor in interest by merger or consolidation), by way of assignment or otherwise, any of its rights or interests in respect of the subject matter of the proposed acquisition unless such transfer is conditioned upon consummation of the Preliminary Agreement following its approval by the Commission.

(e) In case a proposed transaction includes an acquisition of securities pursuant to an invitation for tenders to be made prior to the approval of such acquisition, provision shall be made that any person tendering such securities (the Tenderer) may demand in writing the return of any deposited securities at any time after 60 days from the initial mailing or publication of the invitation for tenders unless prior to the receipt of such demand either (1) the proposed acquisition has been approved by the Commission and the Proposed Acquirer is obligated to consummate the transaction or (2) the Tenderer has been issued a transferable certificate of deposit which meets the conditions specified in paragraph (f) of this section.

(f) A transferable certificate of deposit for purposes of paragraph (e) of this section may be issued in exchange for tendered securities subject to the following conditions:

(1) The terms of the certificate of deposit as proposed to be issued are specified in the invitations for tenders, including equitable provision for return of the tendered securities in the event the proposed transaction is not approved by the Commission or otherwise fails of consummation, for exercise of voting rights and for receipt of dividends or interest by the Tenderer during the deposit period.

(2) The Proposed Acquirer files with the Commission an application-declaration proposing the issuance of such certificates of deposit in exchange for tendered securities.

(3) Upon notice and after a hearing which shall be limited to the fairness of the terms and conditions of such issuance and exchange and to compliance with the conditions of this Rule, the Commission in its descretion may by order permit such issuance and exchange on such terms and conditions as it shall approve. Any person to whom it is proposed to issue a certificate of deposit shall be entitled to appear at such hearing.

(4) If the terms and conditions specified in the certificates of deposit to be issued pursuant to order of the Commission differ from those specified in the invitation for tenders previously published by the Proposed Acquirer, the Commission may in such order require the Proposed Acquirer to give notice thereof by mail (and publication if deemed appropriate) to all persons who have tendered their securities and to provide up to 20 days after mailing of such notice for any such person to elect, in a manner prescribed by the Commission, either to continue or to revoke his tender. The terms and conditions specified in the certificates of deposit may be modified only pursuant to order of the Commission.

(Sec. 20(a), 49 Stat. 833, 15 U.S.C. 79t(a))

This rule shall become effective on July 15, 1968.

By the Commission.[1]

[SEAL] ORVAL L. DUBOIS, *Secretary.*

JUNE 7, 1968.

[F.R. Doc. 68-7480; Filed, June 24, 1968; 8:45 a.m.]

Title 21—FOOD AND DRUGS

Chapter I—Food and Drug Administration, Department of Health, Education, and Welfare

SUBCHAPTER B—FOOD AND FOOD PRODUCTS

PART 121—FOOD ADDITIVES

Subpart F—Food Additives Resulting From Contact With Containers or Equipment and Food Additives Otherwise Affecting Food

EMULSIFIERS AND/OR SURFACE-ACTIVE AGENTS

The Commissioner of Food and Drugs, having evaluated the data in a petition (FAP 8B2243) filed by Atlas Chemical Industries, Inc., Wilmington, Del. 19899, and other relevant material, has concluded that § 121.2541 of the food additive regulations should be amended to provide for additional use of the substances specified below as emulsifiers and/or surface-active agents in the manufacture of articles intended for use in contact with food.

The Commissioner has further concluded that:

a. The items identified below should be deleted from §§ 121.2506, 121.2507, and 121.2531 since the amendment herein to § 121.2541 provides for the use of the additives as contemplated.

b. It is unnecessary for emulsifiers and surface-active agents listed in § 121.2520 to comply with the specifications and other provisions of § 121.2541 because permitted use in adhesives under the conditions of safe use prescribed by § 121.2520 is not expected to result in any significant amounts becoming components of food.

Therefore, pursuant to the provisions of the Federal Food, Drug, and Cosmetic Act (sec. 409(c)(1), 72 Stat. 1786; 21 U.S.C. 348(c)(1)) and under the authority delegated to the Commissioner (21 CFR 2.120), Part 121 is amended in Subpart F in the following respects:

§ 121.2506 [Amended]

1. Section 121.2506 *Industrial starch-modified* is amended by deleting from the list in paragraph (b) the item "Polyoxyethylene (20) sorbitan trioleate."

§ 121.2507 [Amended]

2. Section 121.2507 *Cellophane* is amended by deleting from the list in paragraph (c) the items "Polyoxyethylene (20) sorbitan monopalmitate" and "Sorbitan monooleate."

§ 121.2531 [Amended]

3. Section 121.2531 *Surface lubricants used in the manufacture of metallic articles* is amended by deleting from the list in paragraph (b)(2) the item "Sorbitan monooleate."

4. Section 121.2541 is amended by alphabetically inserting 3 new items in the list in paragraph (c) and by adding a new paragraph (d), as follows:

§ 121.2541 Emulsifiers and/or surface-active agents.

* * * * *

(c) List of substances:

	Limitations
* * *	* * *
Polysorbate 40 (polyoxyethylene (20) sorbitan monopalmitate) meeting the following specifications: Saponification number 41–52, oxyethylene content 66–70.5 percent.	----------
* * *	* * *
Polysorbate 85 (polyoxyethylene (20) sorbitan trioleate) meeting the following specifications: Saponification number 80–95, oxyethylene content 46–50 percent.	----------
* * *	* * *
Sorbitan monooleate meeting the following specifications: Saponification number 145–160, hydroxyl number 193–210.	----------
* * *	* * *

(d) The provisions of this section are not applicable to emulsifiers and/or surface-active agents listed in § 121.2520(c)(5) and used in food-packaging adhesives complying with § 121.2520.

Any person who will be adversely affected by the foregoing order may at any time within 30 days from the date of its publication in the FEDERAL REGISTER file with the Hearing Clerk, Department of Health, Education, and Welfare, Room 5440, 330 Independence Avenue SW.,

[1] Commissioner Budge did not concur in the Commission's action, expressing the view that since the statute is clear and unambiguous, it is not only unnecessary but inappropriate for the Commission to adopt the rule.

Washington, D.C. 20201, written objections thereto, preferably in quintuplicate. Objections shall show wherein the person filing will be adversely affected by the order and specify with particularity the provisions of the order deemed objectionable and the grounds for the objections. If a hearing is requested, the objections must state the issues for the hearing. A hearing will be granted if the objections are supported by grounds legally sufficient to justify the relief sought. Objections may be accompanied by a memorandum or brief in support thereof.

Effective date. This order shall become effective on the date of its publication in the FEDERAL REGISTER.

(Sec. 409(c)(1), 72 Stat. 1786; 21 U.S.C. 348 (c)(1))

Dated: June 17, 1968.

J. K. KIRK,
Associate Commissioner for Compliance.

[F.R. Doc. 68-7515; Filed, June 24, 1968; 8:48 a.m.]

Title 25—INDIANS

Chapter I—Bureau of Indian Affairs, Department of the Interior

SUBCHAPTER U—ELECTRIC POWER SYSTEM

PART 233—SAN CARLOS IRRIGATION PROJECT, ARIZ.

Connect and Reconnect Charge

JUNE 17, 1968.

There was published in the FEDERAL REGISTER on April 26, 1968 (33 F.R. 6352), a notice to amend § 233.20 of the Code of Federal Regulations, Title 25—Indians, as set forth below. The purpose of the amendment is to establish a customer service charge for new connections and reconnections of electric service.

Interested persons were given 30 days within which to submit written comments, suggestions, or objections, with respect to the proposed amendment. No written comments, suggestions, or objections have been received, and the proposed amendment is hereby adopted without change.

Section 233.20 is amended to read as follows:

§ 233.20 Connect and reconnect charge.

A nonrefundable service establishment fee of $5 will be charged each time the Project is requested to establish or reestablish electric service to the customer's delivery point. This charge will be included in and rendered with the first month's bill for electricity after connection or reconnection service.

ROBERT L. BENNETT,
Commissioner of Indian Affairs.

[F.R. Doc. 68-7476; Filed, June 24, 1968; 8:45 a.m.]

Title 26—INTERNAL REVENUE

Chapter I—Internal Revenue Service, Department of the Treasury

SUBCHAPTER A—INCOME TAX

[T.D. 6960]

PART 1—INCOME TAX; TAXABLE YEARS BEGINNING AFTER DECEMBER 31, 1953

Electing Small Business Corporations

On February 29, 1968, notice of proposed rule making with respect to the amendment of the Income Tax Regulations (26 CFR Part 1) relating to electing small business corporations, to conform such regulations to section 233 of the Revenue Act of 1964 (78 Stat. 112) and secs. 1, 2, and 3 of the Act of April 14, 1966 (Public Law 89-389, 80 Stat. 111), and to make certain related amendments, was published in the FEDERAL REGISTER (33 F.R. 3515). After consideration of all such relevant matter as was presented by interested persons regarding the rules proposed, the amendment of the regulations as proposed is hereby adopted, subject to the changes set forth below. These regulations supersede § 14.1-1 of Treasury Decision 6912 (26 CFR Part 14), approved February 20, 1967 (32 F.R. 3343), and § 19.2-1 of Treasury Decision 6719 (26 CFR Part 19), approved April 1, 1964 (29 F.R. 4771).

PARAGRAPH 1. Paragraph (b)(5)(ii) of § 1.1372-4, as set forth in paragraph 5 of the notice of proposed rule making, is changed by adding a subdivision (*c*) at the end thereof.

PAR. 2. Paragraph (b)(4)(ii) of § 1.1375-6, as set forth in paragraph 11 of the notice of proposed rule making, is revised.

PAR. 3. Paragraph (b)(3) of § 1.1378-2, as set forth in paragraph 13 of the notice of proposed rule making, is revised.

(Sec. 7805 of the Internal Revenue Code of 1954; 68A Stat. 917; 26 U.S.C. 7805), and secs. 1(d) and 3(b) of the Act of Apr. 14, 1966 (Public Law 89-389, 80 Stat. 111, 115)

[SEAL] SHELDON S. COHEN,
Commissioner of Internal Revenue.

Approved: June 19, 1968.

STANLEY S. SURREY,
Assistant Secretary of the Treasury.

In order to conform various provisions of the Income Tax Regulations (26 CFR Part 1) relating to electing small business corporations to section 233 of the Revenue Act of 1964 (78 Stat. 112) and secs. 1, 2, and 3 of the Act of April 14, 1966 (Public Law 89-389, 80 Stat. 111), and to make certain related amendments, such regulations are amended as follows:

PARAGRAPH 1. Section 1.1371 is amended by adding a subsection (d) to section 1371 and by revising the historical note. These added and amended provisions read as follows:

§ 1.1371 Statutory provisions; definitions.

Sec. 1371. *Definitions.* * * *

(d) *Ownership of certain stock.* For purposes of subsection (a), a corporation shall not be considered a member of an affiliated group at any time during any taxable year by reason of the ownership of stock in another corporation if such other corporation—

(1) Has not begun business at any time on or after the date of its incorporation and before the close of such taxable year, and

(2) Does not have taxable income for the period included within such taxable year.

[Sec. 1371 as added by sec. 64(a), Technical Amendments Act 1958 (72 Stat. 1650); as amended by sec. 2(a), Act of Sept. 23, 1959 (Public Law 86-376, 73 Stat. 699); sec. 233(a), Rev. Act 1964 (78 Stat. 112)]

PAR. 2. Section 1.1371-1 is amended by revising so much of paragraph (a) as precedes subparagraph (1) thereof and by revising paragraph (c). These amended provisions read as follows:

§ 1.1371-1 Definition of small business corporation.

(a) *In general.* For purposes of subchapter S, chapter 1 of the Code and §§ 1.1371 through 1.1378-3, the term "small business corporation" means a domestic corporation which is not a member of an affiliated group of corporations (determined in accordance with paragraph (c) of this section) and which does not have—

* * * * *

(c) *Member of an affiliated group.* (1) Except as otherwise provided in subparagraph (2) of this paragraph, a corporation which is a member of an affiliated group of corporations, as defined in section 1504, is not a small business corporation, whether or not such affiliated group has ever filed a consolidated return. However, for any period prior to September 24, 1959, see section 1504(b)(8) under which an electing small business corporation is excluded from the definition of "includible corporation."

(2) (i) For purposes of this section, a corporation (hereinafter in this subparagraph referred to as the parent corporation) shall not be considered a member of an affiliated group at any time during a taxable year beginning after December 31, 1962, solely by reason of the ownership of stock in another corporation (hereinafter in this subparagraph sometimes referred to as the subsidiary corporation) if the subsidiary corporation—

(*a*) Has not begun business at any time on or after the date of its incorporation and before the close of such taxable year of the parent corporation, and

(*b*) Does not have taxable income for the period (or periods) of its taxable year (or years) which is included within such taxable year of the parent corporation.

(ii) The determination of the date on which a subsidiary corporation begins business presents a question of fact which must be determined in each case in light of all the circumstances of the particular case. However, a corporation has not "begun business" merely because it is "in existence". Ordinarily, a corporation

begins business when it starts the business operations for which it was organized; a corporation comes into existence on the date of its incorporation. Mere organizational activities, such as the obtaining of the corporate charter, are not alone sufficient to show the beginning of business. An example of a corporation which has not begun business is a corporation which is incorporated for the sole purpose of reserving a corporate name in a State or States in which the parent corporation is not doing business. If the activities of a corporation have advanced to the extent necessary to establish the nature of its business operations, however, it will be deemed to have begun business. For example, the acquisition by a corporation of operating assets which are necessary to the type of business contemplated may constitute the beginning of business.

(iii) The determination of whether a subsidiary corporation has taxable income for a period of a taxable year which is included within the taxable year of the parent corporation shall be made separately for each such period. Thus, where the parent and subsidiary corporations have different taxable years, and a portion of each of two taxable years of the subsidiary corporation are included within a single taxable year of the parent corporation, a separate determination in respect of taxable income must be made for each such portion. For such purpose, taxable income shall be determined as if each such portion constituted a taxable year of the subsidiary corporation, and no deduction shall be allowed which would not otherwise be allowed in computing taxable income of a corporation.

(iv) The application of this subparagraph may be illustrated by the following example:

Example. Corporation P, which uses the calendar year as its taxable year, in 1964 owns all of the stock of Corporation S, which uses a fiscal year ending June 30 as its taxable year. P would not be considered a member of an affiliated group at any time during 1964, solely by reason of its ownership of such stock, if S has not begun business before January 1, 1965, and has no taxable income for either portion of its two taxable years included within the calendar year 1964 (Jan. 1, 1964, through June 30, 1964, of its fiscal year ending in 1964; and, July 1, 1964, through Dec. 31, 1964, of its fiscal year ending in 1965). Thus, P could qualify as a small business corporation during 1964 if it meets the other requirements of section 1371(a). P would cease to be a small business corporation for any subsequent taxable year in which it owns all of the stock of S, if S either begins business before the close of such subsequent year, or has taxable income for either portion of its 2 taxable years included within such subsequent year.

* * * * *

PAR. 3. Section 1.1372 is amended by revising subsections (b)(1) and (e)(5) of section 1372 and by revising the historical note. These amended provisions read as follows:

§ 1.1372 Statutory provisions; election by small business corporation.

Sec. 1372. *Election by small business corporation.* * * *

(b) *Effect.* * * *

(1) With respect to the taxable years of the corporation for which such election is in effect, such corporation shall not be subject to the taxes imposed by this chapter (other than the tax imposed by section 1378) and, with respect to such taxable years and all succeeding taxable years, the provisions of section 1377 shall apply to such corporation, and

* * * * *

(e) *Termination.* * * *

(5) *Passive investment income.* (A) Except as provided in subparagraph (B), an election under subsection (a) made by a small business corporation shall terminate if, for any taxable year of the corporation for which the election is in effect, such corporation has gross receipts more than 20 percent of which is passive investment income. Such termination shall be effective for the taxable year of the corporation in which it has gross receipts of such amount, and for all succeeding taxable years of the corporation.

(B) Subparagraph (A) shall not apply with respect to a taxable year in which a small business corporation has gross receipts more than 20 percent of which is passive investment income, if—

(i) Such taxable year is the first taxable year in which the corporation commenced the active conduct of any trade or business or the next succeeding taxable year; and

(ii) The amount of passive investment income for such taxable year is less than $3,000.

(C) For purposes of this paragraph, the term "passive investment income" means gross receipts derived from royalties, rents, dividends, interest, annuities, and sales or exchanges of stock or securities (gross receipts from such sales or exchanges being taken into account for purposes of this paragraph only to the extent of gains therefrom).

* * * * *

[Sec. 1372 as added by sec. 64(a), Technical Amendments Act 1958 (72 Stat. 1650); amended by sec. 2, Act of May 4, 1961 (Public Law 87-29, 75 Stat. 64); secs. 2(b)(2) and 3(a), Act of Apr. 14, 1966 (Public Law 89-389, 80 Stat. 114)]

PAR. 4. Paragraphs (a), (b), and (c)(6) and (7) of § 1.1372-1 are amended to read as follows:

§ 1.1372-1 Election by small business corporation.

(a) *Eligibility.* Under section 1372, an eligible small business corporation may elect not to be subject to the taxes imposed by chapter 1 of the Code (other than the tax imposed by section 1378 for taxable years beginning after Apr. 14, 1966). The qualifications of a small business corporation must be met as of the first day of the first taxable year of the corporation for which the election is to be effective and on the date of election, unless the election is made after such first day, in which case the qualifications need not exist prior to the date of election. For example, the existence of a corporate shareholder or a nonresident alien as a shareholder prior to the date of election does not preclude qualification. However, if the election is made for a taxable year beginning before September 3, 1958, the qualifications must be met on such date and on each day after such date and before the date of election. The election by a small business corporation is valid only if all the shareholders in the corporation on the first day of the first taxable year for which the election is to be effective, or on the date of election, whichever is later, consent to such election. See § 1.1372-3, relating to shareholders' consent.

(b) *Effect of election*—(1) *Effect on corporation.* The effect on a small business corporation of a valid election under section 1372 is to exempt such corporation from the taxes imposed by chapter 1 of the Code (other than the tax imposed by section 1378 for taxable years beginning after April 14, 1966) with respect to taxable years of the corporation for which the election is in effect and to subject the corporation with respect to such taxable years and all its subsequent taxable years to section 1377, relating to special rules for computing the earnings and profits of an electing small business corporation.

(2) *Effect on shareholders.* The effect of a valid election by the corporation is to subject the shareholders to the provisions of section 1373 (providing for the taxation of the corporation's undistributed taxable income to the shareholders), section 1374 (allowing the net operating loss of the electing corporation to the shareholders), section 1375 (relating to special rules applicable to distributions of electing small business corporations and certain distributions of corporations which previously were electing small business corporations), and section 1376 (relating to adjustment to basis of stock of, and indebtedness owing, shareholders). The provisions of sections 1373, 1374, and 1375 apply only to a taxable year of the shareholder affected by the election. Section 1376 applies to such taxable year and all succeeding taxable years of the shareholder. A person who ceased to be a shareholder during the first month of the corporation's taxable year in which a valid election is made, but prior to the date of election, is subject to the provisions of sections 1374, 1375, and 1376 even though such person is not an individual or an estate.

(c) *Other chapter 1 rules applicable.* * * *

(6) Except as provided in sections 1375(d)(1) and (f)(1) and 1377, earnings and profits of an electing small business corporation are computed in the same manner that they would have been computed had no election been made;

(7) Section 316, relating to the definition of a dividend, applies to distributions by an electing small business corporation except as provided in section 1375(d)(1), relating to distributions of previously taxed income, and section 1375(f)(1), relating to distributions of undistributed taxable income (see paragraphs (d) and (e) of § 1.1373-1 for rules relating to allocation of current earnings and profits to distributions during the taxable year); and

* * * * *

PAR. 5. Paragraph (b) of § 1.1372-4 is amended by revising subparagraphs (1), (4)(i), and (5) to read as follows:

§ 1.1372–4 **Termination of election.**

* * * * *

(b) *Methods of termination*—(1) *Failure of new shareholder to consent.* An election under section 1372(a) shall terminate if any person who was not a shareholder on the first day of the first taxable year for which the election is effective, or on the day on which the election is made (if such day is later than the first day of the taxable year), becomes a shareholder and does not consent to the election under section 1372(a) within the time prescribed by paragraph (b) of § 1.1372–3. However, see paragraph (c) of § 1.1372–3 for extension of time for filing consents in general, and subparagraph (5)(iii)(*e*) of this paragraph for an exception under certain circumstances. In addition, an election which would not have terminated except for the failure of any new shareholder to file a timely consent or except for the fact that the consent of any such new shareholder was defective in any manner is not terminated if—

(i) A proper consent is filed by all such new shareholders after December 19, 1959, and on or before March 1, 1960,

(ii) All persons who previously filed timely and proper consents, and who were shareholders of the corporation at any time during the taxable year in which the termination would have occurred, file new consents within the period mentioned in subdivision (i) of this subparagraph, and

(iii) The shareholders show to the satisfaction of the district director with whom the election under section 1372 was filed that the failure of the new shareholders to file timely and proper consents was not due to an intention to terminate the election.

In the event of a termination caused by the failure of a new shareholder to consent to the election within the required time, the corporation shall notify the district director with whom the election under section 1372(a) was filed.

* * * * *

(4) *Foreign income.* (i) An election terminates if for any taxable year of the corporation the corporation has gross receipts, more than 80 percent of which are derived from sources outside the United States. For the meaning of the term "gross receipts," see subparagraph (5)(iv) of this paragraph. In determining the source of gross receipts under section 1372(e)(4), the principles of part I (section 861 and following), subchapter N, chapter 1 of the Code, relating to determination of source of gross income, shall apply.

* * * * *

(5) *Passive investment income*—(i) *In general.* Except as otherwise provided in subdivisions (ii) and (iii) of this subparagraph, an election under section 1372(a) shall terminate if for any taxable year of the corporation the corporation has gross receipts more than 20 percent of which is derived from royalties, rents, dividends, interest, annuities, and sales or exchanges of stock or securities (hereinafter referred to as "passive investment income"), as determined in accordance with the rules of this subparagraph.

(ii) *Taxable years ending after April 14, 1966.* (*a*) Notwithstanding the provisions of subdivision (i) of this subparagraph, an election under section 1372(a) shall not terminate, under this subparagraph, for any taxable year of the corporation ending after April 14, 1966, if (*1*) such taxable year is the first taxable year in which the corporation commenced the active conduct of any trade or business or the next succeeding taxable year, and (*2*) the amount of passive investment income for such taxable year is less than $3,000.

(*b*) The determination of the first taxable year in which the corporation commenced the active conduct of any trade or business presents a question of fact which must be determined in each case in light of all the circumstances of the particular case. For purposes of this subparagraph, a corporation will be deemed to have commenced the active conduct of a trade or business in the taxable year in which it first engages in activities (other than activities merely incidental to the organization of the corporation) designed or intended to enable it to engage in any business operations. Thus, for example, a corporation organized to operate a restaurant business will be deemed to have commenced the active conduct of a trade or business, for purposes of this subparagraph, in the taxable year in which construction of the restaurant facility is undertaken or real property is purchased or leased by the corporation for such use. However, the mere passive investment of money is not sufficient to constitute the commencement of the active conduct of any trade or business. Each corporation may have only one taxable year of its entire existence which is the first taxable year in which it commenced the active conduct of any trade or business for purposes of this subparagraph. Thus, if a corporation commences the active conduct of any trade or business in a taxable year, and then commences the active conduct of another trade or business in a subsequent taxable year, such subsequent taxable year is not the first taxable year in which the corporation commenced the active conduct of any trade or business, whether or not the corporation was inactive during any period prior to such subsequent taxable year and irrespective of when the election under section 1372(a) was effective.

(*c*) The provisions of (*a*) of this subdivision (ii) have no application in respect of any taxable year of the corporation which precedes the first taxable year in which the corporation commenced the active conduct of any trade or business.

(iii) *Taxable years beginning after December 31, 1962, and ending before April 15, 1966*—(*a*) *In general.* Notwithstanding the provisions of subdivision (i) of this subparagraph, pursuant to section 3(b) of the Act of April 14, 1966 (Public Law 89–389), an election under section 1372(a) shall not be treated as terminated, under this subparagraph, for any taxable year of the corporation beginning after December 31, 1962, and ending before April 15, 1966, if—

(*1*) Such taxable year is the first taxable year in which the corporation commenced the active conduct of any trade or business (see subdivision (ii)(*b*) of this subparagraph), or the next succeeding taxable year;

(*2*) The amount of passive investment income for such taxable year is less than $3,000;

(*3*) The corporation makes an election, within such time and in such manner as provided in (*b*) of this subdivision (iii); and

(*4*) All persons (or their personal representatives) who were shareholders of the corporation at any time during any taxable year of the corporation beginning after December 31, 1962, and ending before April 15, 1966, consent to such election, within such time and in such manner as provided in (*c*) of this subdivision (iii).

If an election by a corporation under section 1372(a) is not treated as terminated for a taxable year of the corporation as a result of an election and consents under this subdivision (iii), such election under section 1372(a) shall be treated as being in effect with respect to all subsequent taxable years of the corporation unless it is otherwise terminated or revoked for any such subsequent year pursuant to section 1372(e).

(*b*) *Election by corporation.* An election by a corporation pursuant to (*a*)(*3*) of this subdivision (iii) shall be filed with the district director with whom the corporation was required to file its return of income (see section 6037 and the regulations thereunder) for the earliest of its taxable years beginning after December 31, 1962, and ending before April 15, 1966, for which an election terminated under section 1372(e)(5). Such election shall be filed within 3 years after the date prescribed by law (not including any extension thereof) on which such return was required to be filed, or within 90 days from February 28, 1967, whichever is later. (However, credit or refund of any overpayment attributable to the election may not be allowed or made if claim therefor has not been filed within the time prescribed by law; and, see (*c*) of this subdivision (iii) providing that the statutory period for assessment of certain deficiencies against shareholders may not have expired on the date the election and consents under this subdivision (iii) are filed.) Such election shall be in the form of a statement, signed by a person authorized to sign the corporation's return of income, which shall expressly provide that the corporation elects the application of section 1372(e)(5) of the Internal Revenue Code, as amended by Public Law 89–389, with respect to its taxable years beginning after December 31, 1962, and ending before April 15, 1966. The statement shall set forth the name, address, and employer identification number of the corporation; the internal revenue officer with whom the corporation's returns of income have been filed for each of its

taxable years beginning after December 31, 1962; the names and addresses of all persons who have been shareholders of the corporation at any time during each of its taxable years beginning after December 31, 1962; computations showing the amount of the corporation's overpayment or deficiency of tax for any taxable year which is attributable to the election under this subdivision (iii); and computations showing each shareholder's portion of the undistributed taxable income (determined as provided in section 1373(b)) or net operating loss (determined as provided in section 1374(c)) for each taxable year of the corporation beginning after December 31, 1962, unless such computations were made on the corporation's returns of income for each of such years. In order for an election under this subdivision (iii) to be effective, it must be accompanied by the consents of certain shareholders as provided in (c) of this subdivision (iii).

(c) *Consents by shareholders.* An election by a corporation pursuant to this subdivision (iii) must be accompanied by the consent of each person who was a shareholder of the corporation at any time during any taxable year of the corporation beginning after December 31, 1962, and ending before April 15, 1966. This includes persons who may not be shareholders on the date the election is filed. Where stock of the corporation was owned by a husband and wife as community property (or the income from which was community property), or was owned by tenants in common, joint tenants, or tenants by the entirety, each person who had a community interest in such stock and each tenant in common, joint tenant, and tenant by the entirety must consent to the election. The consent of a minor shall be made by the minor or by his legal guardian, or by his natural guardian if no legal guardian has been appointed. The consent of an estate shall be made by the executor or administrator thereof. If a person who is required to file a consent under this subdivision (c) is deceased, the executor or administrator of such person's estate, or other person charged with the property of such person, shall file the required consent. The consent of each shareholder shall be in the form of a statement signed by the shareholder in which he states that he consents to the election by the corporation under this subdivision (iii). Each of such statements shall set forth the name and address of the corporation and of the shareholder; the number of shares of stock of the corporation owned by such shareholder at any time during any taxable year of the corporation beginning after December 31, 1962; the date (or dates) on which such stock was acquired, and, if disposed of, the date (or dates) of disposition; and the internal revenue officer with whom the shareholder's income tax returns have been filed for each of such taxable years in which he owned any such stock. In addition, a consent under this subdivision (iii) is not effective unless (*1*) the statutory period for assessment of any deficiency for each taxable year for which there would be a deficiency attributable to the election and consents under this subdivision (iii) has not expired on the date the election and consents under this subdivision (iii) are filed, and (*2*) there is included in, or attached to, the statement of consent a written consent that the statutory period for assessment of any deficiency for any taxable year (to the extent that such deficiency is attributable to the election and consents under this subdivision (iii)) shall not expire before the expiration of one year after the date the election and consents under this subdivision (iii) are filed. Each of the statements of consent under this subdivision (c) shall be filed with the corporation's election under this subdivision (iii). The consents of all shareholders may be incorporated in one statement.

(d) *Election and consents are binding.* The election and consents under this subdivision (iii) are binding and may not be withdrawn.

(e) *New shareholders.* Notwithstanding section 1372(e)(1) and § 1.1372–4(b)(1), an election by a corporation under section 1372(a) shall not be treated as terminated for the failure of any new shareholder to file a timely consent under section 1372(e)(1), for any of the taxable years of the corporation between and including the earliest taxable year determined under (*1*) of this subdivision (e), and the taxable year during which the corporation files an election under (*b*) of this subdivision (iii), if—

(*1*) The corporation's election under section 1372(a) would have been treated as terminated for a taxable year under section 1372(e)(5) in the event it had not made an election under (*b*) of this subdivision (iii), and

(*2*) A proper consent under section 1372(e)(1) is filed by such new shareholder with the corporation's election under (*b*) of this subdivision (iii).

(iv) *Gross receipts.* (*a*) The term "gross receipts" as used in section 1372(e) is not synonymous with "gross income". The test under section 1372(e)(4) and (5) shall be made on the basis of total gross receipts, except that, for purposes of section 1372(e)(5), gross receipts from the sales or exchanges of stock or securities shall be taken into account only to the extent of gains therefrom. The term "gross receipts" means the total amount received or accrued under the method of accounting used by the corporation in computing its taxable income. Thus, the total amount of receipts is not reduced by returns and allowances, cost, or deductions. For example, gross receipts will include the total amount received or accrued during the corporation's taxable year from the sale or exchange (including a sale or exchange to which section 337 applies) of any kind of property, from investments, and for services rendered by the corporation. However, gross receipts does not include amounts received in nontaxable sales or exchanges (other than those to which section 337 applies), except to the extent that gain is recognized by the corporation, nor does that term include amounts received as a loan, as a repayment of a loan, as a contribution to capital, or on the issuance by the corporation of its own stock.

(*b*) The meaning of the term "gross receipts" as used in section 1372(e)(4) and (5) may be further illustrated by the following examples:

Example (*1*). A corporation on the accrual method sells property (other than stock or securities) and receives payment partly in money and partly in the form of a note payable at a future time. The amount of the money and the face amount of the note would be considered gross receipts in the taxable year of the sale and would not be reduced by the adjusted basis of the property, the costs of sale, or any other amount.

Example (*2*). A corporation has a long-term contract as defined in paragraph (a) of § 1.451–3 with respect to which it reports income according to the percentage-of-completion method as described in paragraph (b)(1) of § 1.451–3. The portion of the gross contract price which corresponds to the percentage of the entire contract which has been completed during the taxable year shall be included in gross receipts for such year.

Example (*3*). A corporation which regularly sells personal property on the installment plan elects to report its taxable income from the sale of property (other than stock or securities) on the installment method in accordance with section 453. The installment payments actually received in a given taxable year of the corporation shall be included in gross receipts for such year.

(v) *Royalties.* The term "royalties" as used in section 1372(e)(5) means all royalties, including mineral, oil, and gas royalties, and amounts received for the privilege of using patents, copyrights, secret processes and formulas, good will, trademarks, trade brands, franchises, and other like property. The term "royalties" does not include amounts received upon disposal of timber, coal, or domestic iron ore with a retained economic interest with respect to which the special rules of section 631 (b) and (c) apply. For the definition of "mineral, oil, or gas royalties," see paragraph (b)(11) (ii) and (iii) of § 1.543–1. For purposes of this subdivision, the gross amount of royalties shall not be reduced by any part of the cost of the rights under which they are received or by any amount allowable as a deduction in computing taxable income.

(vi) *Rents.* The term "rents" as used in section 1372(e)(5) means amounts received for the use of, or right to use, property (whether real or personal) of the corporation. The term "rents" does not include payments for the use or occupancy of rooms or other space where significant services are also rendered to the occupant, such as for the use or occupancy of rooms or other quarters in hotels, boarding houses, or apartment houses furnishing hotel services, or in tourist homes, motor courts, or motels. Generally, services are considered rendered to the occupant if they are primarily for his convenience and are other than those usually or customarily rendered in connection with the rental of rooms or other space for occupancy only.

The supplying of maid service, for example, constitutes such services; whereas the furnishing of heat and light, the cleaning of public entrances, exits, stairways and lobbies, the collection of trash, etc., are not considered as services rendered to the occupant. Payments for the use or occupancy of entire private residences or living quarters in duplex or multiple housing units, of offices in an office building, etc., are generally "rents" under section 1372(e)(5). Payments for the parking of automobiles ordinarily do not constitute rents. Payments for the warehousing of goods or for the use of personal property do not constitute rents if significant services are rendered in connection with such payments.

(vii) *Dividends.* The term "dividends" as used in section 1372(e)(5) includes dividends as defined in section 316, amounts required to be included in gross income under section 551 (relating to foreign personal holding company income taxed to U.S. shareholders), and consent dividends determined as provided in section 565.

(viii) *Interest.* The term "interest" as used in section 1372(e)(5) means any amounts received for the use of money (including tax-exempt interest and amounts treated as interest under section 483).

(ix) *Annuities.* The term "annuities" as used in section 1372(e)(5) means the entire amount received as an annuity under an annuity, endowment, or life insurance contract, regardless of whether only part of such amount would be includible in gross income under section 72.

(x) *Gross receipts from the sale of stock or securities.* For purposes of section 1372(e)(5), gross receipts from the sales or exchanges of stock or securities are taken into account only to the extent of gains therefrom. Thus, the gross receipts from the sale of a particular share of stock will be the excess of the amount realized over the adjusted basis of such share. If the adjusted basis should equal or exceed the amount realized on the sale or exchange of a certain share of stock, bond, etc., there would be no gross receipts resulting from the sale of such security. Losses on sales or exchanges of stock or securities do not offset gains on the sales or exchanges of other stock or securities for purposes of computing gross receipts from such sales or exchanges. Gross receipts from the sale or exchange of stocks and securities include gains received from such sales or exchanges by a corporation even though such corporation is a regular dealer in stocks and securities. For the meaning of the term "stock or securities", see paragraph (b)(5)(i) of § 1.543–1.

* * * * *

PAR. 6. Section 1.1373 is amended by revising subsection (c) of section 1373 and by revising the historical note. These amended provisions read as follows:

§ 1.1373 Statutory provisions; corporation undistributed taxable income taxed to shareholders.

Sec. 1373. *Corporation undistributed taxable income taxed to shareholders.* * * *

(c) *Undistributed taxable income defined.* For purposes of this section, the term "undistributed taxable income" means taxable income (computed as provided in subsection (d)) minus the sum of (1) the tax imposed by section 1378(a) and (2) the amount of money distributed as dividends during the taxable year, to the extent that any such amount is a distribution out of earnings and profits of the taxable year as specified in section 316(a)(2).

* * * * *

[Sec. 1373 as added by sec. 64(a), Technical Amendments Act 1958 (72 Stat. 1652); amended by sec. 2(b)(3), Act of April 14, 1966 (Public Law 89–389, 80 Stat. 114)]

PAR. 7. Section 1.1373–1 is amended by revising so much of paragraph (b) as follows subparagraph (2) thereof, by revising paragraphs (d), (e)(1), and (f), and by revising Example (1) of paragraph (g). These amended provisions read as follows:

§ 1.1373–1 Corporation undistributed taxable income taxed to shareholders.

* * * * *

(b) *Determination of amount included by shareholders.* * * *

(3) Determine in accordance with §§ 1.1378–1 through 1.1378–3 the amount of tax imposed by section 1378 for the taxable year.

(4) Subtract the sum of the amounts determined in subparagraphs (2) and (3) of this paragraph from the amount computed in subparagraph (1) of this paragraph. The result is the undistributed taxable income for the taxable year.

(5) Determine in accordance with paragraph (e) of this section the amount that would be treated as a dividend to such shareholder if an amount of money equal to such undistributed taxable income were distributed pro rata to the shareholders of the corporation on the last day of the taxable year of the corporation in a distribution which is not in exchange for stock.

* * * * *

(d) *Determination of dividends in money out of earnings and profits of the taxable year.* In applying section 316(a) to distributions by an electing small business corporation, earnings and profits of the taxable year are first allocated to actual distributions of money made during such taxable year (including any distribution which, pursuant to § 1.1375–5, is treated as made on the last day of the taxable year) which are not (1) in exchange for stock, or (2) distributions of the corporation's undistributed taxable income for the immediately preceding taxable year under section 1375(f) and § 1.1375–6. Therefore, such distributions of money are dividends from earnings and profits of the taxable year to the extent of such earnings and profits even though there may be distributions of property other than money during such taxable year or constructive distributions pursuant to section 1373(b) at the end of such taxable year. If such distributions of money made during the taxable year exceed the earnings and profits of such year, then that proportion of each such distribution which the total of the earnings and profits of the year bears to the total of such distributions made during the year shall be regarded as out of the earnings and profits of that year. For purposes of section 1373(c) a distribution of money does not include a distribution of an obligation of the corporation or a distribution of property other than money in satisfaction of a dividend declared in money. See section 1377(b) for special rules relating to computation of earnings and profits of an electing small business corporation for any taxable year.

(e) *Dividend resulting from constructive distribution of undistributed taxable income.* * * *

(1) Earnings and profits of the taxable year are first allocated to certain actual distributions of money as provided in paragraph (d) of this section.

* * * * *

(f) *When distributions are considered made.* Except as otherwise provided in § 1.1375–5, an actual distribution by an electing small business corporation will be considered to be made only at the time it is received by the shareholder, and earnings and profits of such corporation shall not be reduced with respect to such distribution before such time.

(g) *Examples.* * * *

Example (1). An electing small business corporation has taxable income and current earnings and profits of $100,000 for its taxable year. During that year it distributes $80,000 in money among its 10 equal shareholders. (Section 1375 (e) or (f) is not applicable with respect to any of such distributions.) The $8,000 received by each shareholder in that year is included in his gross income (for his taxable year in which it was received) as a dividend from current earnings and profits. The undistributed taxable income of the corporation for the taxable year is $20,000 ($100,000 minus $80,000 dividends in money). Since each shareholder would have received a dividend of $2,000 if the undistributed taxable income had been distributed pro rata, that amount must be included as a dividend in the gross income of each shareholder for his taxable year in which or with which the taxable year of the corporation ends.

* * * * *

PAR. 8. Section 1.1375 is amended by adding a paragraph (3) to section 1375(a), by revising paragraph (2)(b)(ii) of section 1375(d), by adding a subsection (f) to section 1375, and by revising the historical note. These added and amended provisions read as follows:

§ 1.1375 Statutory provisions; special rules applicable to distributions of electing small business corporations.

Sec. 1375. *Special rules applicable to distributions of electing small business corporations*—(a) *Capital gains.* * * *

(3) *Reduction for tax imposed by section 1378.* For purposes of paragraphs (1) and (2), the excess of an electing small business corporation's net long-term capital gain over its net short-term capital loss for a taxable year shall be reduced by an amount equal to the amount of the tax imposed by section 1378(a) on the income of such corporation for such year.

* * * * *

(d) *Distributions of undistributed taxable income previously taxed to shareholders.* * * *

(2) *Shareholder's net share of undistributed taxable income.* * * *

(B) * * *

(ii) All amounts previously distributed during the taxable year and all prior taxable years (excluding any taxable year to which the provisions of this section do not apply and all taxable years preceding such year) to the shareholder which under subsection (f) or paragraph (1) of this subsection were considered distributions which were not dividends.

(e) [Repealed.]

(f) *Distributions within 2½-month period after close of taxable year*—(1) *Distributions considered as distributions of undistributed taxable income.* Any distribution of money made by a corporation after the close of a taxable year with respect to which it was an electing small business corporation and on or before the 15th day of the third month following the close of such taxable year to a person who was a shareholder of such corporation at the close of such taxable year shall be treated as a distribution of the corporation's undistributed taxable income for such year, to the extent such distribution (when added to the sum of all prior distributions of money made to such person by such corporation following the close of such year) does not exceed such person's share of the corporation's undistributed taxable income for such year. Any distribution so treated shall, for purposes of this chapter, be considered a distribution which is not a dividend, and the earnings and profits of the corporation shall not be reduced by reason of such distribution.

(2) *Share of undistributed taxable income.* For purposes of paragraph (1), a person's share of a corporation's undistributed taxable income for a taxable year is the amount required to be included in his gross income under section 1373(b) as a shareholder of such corporation for his taxable year in which or with which the taxable year of the corporation ends.

(3) *Election under subsection (e).* Paragraph (1) shall not apply to any distribution with respect to which an election under subsection (e) applies.

[Sec. 1375 as added by sec. 64(a), Technical Amendments Act 1958 (72 Stat. 1654); as amended by secs. 201(d)(13) and 233(b), Rev. Act 1964 (78 Stat. 32, 112); secs. 1(a)(1), (2), 1(b), and 2(b)(4), Act of April 14, 1966 (Public Law 89-389, 80 Stat. 111, 114)]

PAR. 9. Section 1.1375-1 is amended by revising paragraphs (a), (b)(1), and (c), and example (2) of paragraph (e) to read as follows:

§ 1.1375-1 Special rules applicable to capital gains.

(a) *In general.* The amount includible by a shareholder in gross income as dividends received from an electing small business corporation during any taxable year of such corporation shall be treated as long-term capital gain to the extent, if any, of such shareholder's pro rata share of the excess of the corporation's net long-term capital gain over its net short-term capital loss for such taxable year. For this purpose, such excess shall be reduced by the amount of the tax imposed by section 1378 on the income of the corporation for the taxable year, and as so reduced shall not exceed the taxable income (as defined in section 1373(d)) of the corporation for the taxable year. This capital gain treatment applies both to actual distributions of dividends and to amounts treated as dividends pursuant to section 1373(b); however, it applies only to the extent that a dividend is out of earnings and profits of the current taxable year of the corporation. Furthermore, this capital gain treatment applies whether or not the shareholder held any stock in the corporation at the close of the taxable year of the corporation.

(b) *Determination of pro rata share.* * * *

(1) The excess of the corporation's net long-term capital gain over its net short-term capital loss for the taxable year, reduced by the amount of tax, if any, imposed by section 1378 on the income of the corporation for such year;

* * * * *

(c) *Allocation of capital gains to various distributions.* If distributions of dividends (including amounts treated as dividends under section 1373(b)) out of the earnings and profits of the taxable year of an electing small business corporation are made to a shareholder at different times during the corporation's taxable year, the amount treated as capital gain to the shareholder pursuant to section 1375(a) shall be allocated ratably to the various distributions of such dividends. Thus, if the taxable year of the corporation includes portions of 2 taxable years of the shareholder, and in both of such years of the shareholder there are distributions treated as dividends out of earnings and profits of the corporation's taxable year, part of the capital gain is allocated to the earlier taxable year of the shareholder and part to the later taxable year. See § 1.1375-5 for rules with respect to certain distributions of money which may be treated as having been made in a preceding taxable year.

* * * * *

(e) *Examples.* * * *

Example (2). (i) An electing small business corporation which has four equal shareholders has taxable income (as defined in section 1373(d)) and current earnings and profits of $80,000 for the taxable year. It has an excess of $100,000 of net long-term capital gain over net short-term capital loss for the taxable year. (The corporation is not subject to the tax imposed by section 1378 for the taxable year.) The corporation distributes $100,000 in money during the taxable year, $25,000 to each shareholder, all of which is treated as a dividend since the corporation had a substantial amount of accumulated earnings and profits at the beginning of the taxable year. However, since the amount which will be treated as long-term capital gain in the hands of the shareholders cannot exceed the corporation's taxable income for the taxable year, and is limited to distributions out of earnings and profits of the taxable year, the amount which can be treated as a long-term capital gain by each shareholder is $20,000.

(ii) Assume the same facts, except that for the taxable year the corporation is subject to tax imposed by section 1378, and it has taxable income and current earnings and profits of $100,000. The amount of the tax imposed by section 1378 for the year is $18,750 (25 percent of $75,000). Since the amount which will be treated as long-term capital gain is limited to the excess of the corporation's net long-term capital gain over its net short-term capital loss, reduced by the amount of the tax imposed by section 1378, the amount which can be treated as a long-term capital gain by each shareholder is $20,312.50 ($100,000 less $18,750 equals $81,250; $81,250 divided by four equals $20,312.50)

* * * * *

PAR. 10. Section 1.1375-4 is amended by revising paragraphs (a), (b), (c), (d), and (e), and by adding an Example (5) to paragraph (g). These amended provisions read as follows:

§ 1.1375-4 Distributions of previously taxed income.

(a) *In general.* Under section 1375(d)(1), a distribution by an electing small business corporation to a shareholder of all or any portion of his net share of previously taxed income is considered a distribution which is not a dividend. Such a distribution reduces the basis of the shareholder's stock in the corporation in accordance with section 301(c)(2), and, if it exceeds such basis, is subject to the provisions of section 301(c)(3). The earnings and profits of the corporation are not reduced by reason of such a distribution. If an election is terminated under section 1372(e), the corporation may not, during the first taxable year to which the termination applies or during any subsequent taxable year, distribute previously taxed income of taxable years prior to the termination as a nondividend distribution pursuant to this section. (However, see § 1.1375-5 for rules with respect to certain distributions which may be treated as having been made in a preceding taxable year; and see section 1375(f) and § 1.1375-6 for rules with respect to certain distributions which are treated as distributions of a preceding taxable year's undistributed taxable income.)

(b) *Source of distribution.* Except as provided in paragraph (c) of this section, any actual distribution of money by an electing small business corporation to a shareholder which, but for the operation of this section, would be a dividend out of accumulated earnings and profits shall be considered a distribution of previously taxed income to the extent of the shareholder's net share of previously taxed income immediately before the distribution. Thus, a distribution of property other than money or a distribution in exchange for stock, or a constructive distribution under section 1373(b), is never a distribution of previously taxed income. Since current earnings and profits are first applied to distributions of money which are not (1) in exchange for stock, or (2) distributions of the corporation's undistributed taxable income for the immediately preceding taxable year under section 1375(f) and § 1.1375-6 (see paragraphs (d) and (e) of § 1.1373-1), a distribution of previously taxed income may occur only if during its taxable year the corporation makes such money distributions in excess of its earnings and profits for such taxable year. (See § 1.1375-5 for rules with respect to certain distributions of money which may be treated as having been made in a preceding taxable year.)

(c) *Election.* An electing small business corporation may, with the consent of

all of its shareholders, elect to treat distributions which, under this section, would be distributions of previously taxed income, as distributions out of accumulated earnings and profits, if any, rather than as distributions of previously taxed income. For any taxable year for which such election is made, a statement of election shall be filed with a timely return under section 6037 for such year. Such election applies to all distributions during such year which without regard to this paragraph would be distributions of previously taxed income. An election applies only for the year for which it is made, but a new election may be made for any subsequent year.

(d) *Shareholder's net share of previously taxed income.* A shareholder's net share of previously taxed income as of the time of a distribution is—

(1) The sum of the amounts included in the gross income of the shareholder under section 1373(b) for all of his taxable years ending before the distribution, less

(2) The sum of—

(i) The amounts allowable under section 1374(b) as a deduction from gross income of the shareholder for all of his taxable years ending before the distribution,

(ii) The amounts previously distributed to the shareholder during his current taxable year and all of his prior taxable years, which, under section 1375(d)(1), were not considered dividends, and

(iii) The amounts previously distributed to the shareholder during his current taxable year and all his prior taxable years, which, under section 1375(f), were not considered dividends and were treated as distributions of the corporation's undistributed taxable income for a taxable year of the corporation ending before the beginning of such current taxable year of the shareholder.

In computing the sum of the amounts included in gross income under section 1373(b), only the amount included on the shareholder's income tax return for a prior taxable year (increased or decreased by any adjustment of such amount in any redetermination of the shareholder's tax liability) is taken into account, unless the shareholder is not required to file a return for such prior taxable year. The amounts allowable under section 1374(b) as a deduction means all allowable deductions whether or not claimed on the income tax return of the shareholder and whether or not resulting in any tax benefit. If a new election is made subsequent to a termination under section 1372(e) of a prior election, a shareholder's net share of previously taxed income is determined solely by reference to taxable years which are subject to the new election.

(e) *Benefits not transferable.* A shareholder's right to nondividend distributions under this section is personal and cannot in any manner be transferred to another. If a shareholder transfers part but not all of his stock in an electing small business corporation his net share of previously taxed income is not reduced by reason of the transfer and the transferee does not acquire any part of such net share. However, in such a case the transferor's total basis for his stock in the corporation is reduced by the amount of his basis for the stock transferred. A distribution of previously taxed income in excess of the transferor's remaining basis is subject to the provisions of section 301(c)(3). If a shareholder transfers all of his stock in an electing small business corporation, any right which he may have had to nondividend treatment upon the receipt of distributions lapses entirely unless he again becomes a shareholder in the corporation while it is subject to the same election.

* * * * *

(g) *Examples.* * * *

Example (5). (i) Corporation O, of which A (a calendar year taxpayer) is the sole shareholder, is an electing small business corporation for its taxable years ending December 31, 1965, 1966, and 1967. As of the beginning of 1966, A's net share of previously taxed income was $30,000. For the taxable year 1966, Corporation O had taxable income and current earnings and profits of $20,000 and made no distributions during such year. In February 1967, it makes a money distribution of $10,000 to A. Under section 1375(f), this distribution is treated as a distribution of Corporation O's undistributed taxable income for 1966. Immediately after this distribution A's net share of previously taxed income is $40,000 ($30,000 as of January 1, 1966, plus $20,000 undistributed taxable income for 1966, less the $10,000 distribution of the 1966 undistributed taxable income).

(ii) Assume that Corporation O's taxable year ends on January 31 and that A's net share of previously taxed income as of February 1, 1966, was $30,000. If Corporation O had $20,000 of taxable income and current earnings and profits for its taxable year ending January 31, 1967, the $10,000 distributed to A in February 1967 does not reduce his net share of previously taxed income because it was treated as a distribution of Corporation O's undistributed taxable income for its taxable year ending January 31, 1967. Such taxable year of the corporation was not one which ended before A's current taxable year began (see paragraph (d)(2)(iii) of this section). Immediately after the $10,000 distribution, A's net share of previously taxed income remained $30,000. If the corporation makes no other distributions to A during 1967, A's net share of previously taxed income on January 1, 1968, will be $40,000.

PAR. 11. The following new sections are added immediately after § 1.1375–4:

§ 1.1375–5 Election to treat certain distributions as made on the last day of the taxable year.

(a) *In general.* Under section 1375(e) (repealed effective with respect to distributions made by a corporation after the close of a taxable year beginning after Apr. 14, 1966), a corporation, with the consent of its shareholders, may elect, for purposes of chapter 1 of the Code, to treat a distribution of money made on or before the 15th day of the third month following the close of its taxable year as a distribution of money made, and received by its shareholders, on the last day of such taxable year. Such an election may be made for distributions made after the close of a taxable year of a corporation which begins after December 31, 1957, and before April 15, 1966. Any distribution of money in respect of which an election is made under section 1375(e) (see paragraph (b) of this section) shall be treated as if it were made on the last day of the taxable year preceding the taxable year in which the distribution is actually made. Thus, for example, a distribution of money in respect of which an election is made under section 1375(e) shall be treated as if it were made on the last day of the taxable year preceding the taxable year in which the distribution is actually made for the following purposes: (1) Determining the amount of money distributed as dividends during a taxable year out of earnings and profits of such taxable year, pursuant to paragraph (d) of § 1.1373–1; (2) allocating capital gains to various distributions during a taxable year, pursuant to paragraph (c) of § 1.1375–1; (3) determining distributions of previously taxed income, pursuant to § 1.1375–4; and, (4) determining distributions made after the close of a taxable year, pursuant to § 1.1375–6. Further, shareholders shall treat such a distribution as if it were received on the last day of the taxable year of the corporation preceding the taxable year of the corporation in which the distribution is actually made. The treatment provided in this paragraph for a distribution of money in respect of which an election is made under section 1375(e) shall be applicable whether or not the corporation is an electing small business corporation for the taxable year in which such distribution is actually made. For purposes of section 1375(e) a distribution of money does not include a distribution of an obligation of the corporation or a distribution of property other than money in satisfaction of a dividend declared in money.

(b) *Distribution of money in respect of which an election is made under section 1375(e).* For purposes of this section, a distribution of money by a corporation shall be considered a distribution in respect of which an election is made under section 1375(e) only if—

(1) The distribution is made to shareholders of the corporation on or before the 15th day of the third month following the close of a taxable year with respect to which the corporation was an electing small business corporation;

(2) The distribution is made pursuant to a resolution of the board of directors of the corporation, adopted before the close of such taxable year, to distribute to its shareholders all or part of the proceeds of one or more sales of capital assets, or of property described in section 1231(b), made during such taxable year;

(3) The corporation has made an election with respect to such distribution in the time and manner provided in paragraph (c) of this section; and

(4) Each person who is a shareholder on the day the distribution is received (i) owns the same proportion of the stock of the corporation on such day as he owned on the last day of the taxable year of the corporation preceding the taxable year in which the distribution is actually made, and (ii) consents to

the election of the corporation in the time and manner provided in paragraph (d) of this section.

(c) *Time and manner for making election*—(1) *Taxable years ending after February 26, 1964.* An election under section 1375(e) with respect to distributions made after the close of a corporation's taxable year ending after February 26, 1964, and beginning before April 15, 1966, shall be made by the corporation by attaching to its return of income for such taxable year, filed not later than the time (including extensions thereof) prescribed by law, the following documents:

(i) A statement that the corporation elects the application of section 1375(e) and the date and amount of each distribution to which the election applies;

(ii) A copy of the resolution of the board of directors referred to in paragraph (b)(2) of this section; and

(iii) A statement of the consent of each shareholder of the corporation containing the information required by paragraph (d) of this section.

(2) *Taxable years beginning after December 31, 1957, and ending on or before February 26, 1964.* An election under section 1375(e) with respect to distributions made after the close of a taxable year beginning after December 31, 1957, and ending on or before February 26, 1964, shall be made by the corporation on or before June 25, 1964, by either attaching the documents described in subparagraph (1) of this paragraph to its return of income for such taxable year, or by filing such documents with the internal revenue officer with whom the corporation has filed, or is required to file, its return of income for such taxable year.

(3) *Election is binding.* An election under subparagraph (1) or (2) of this paragraph is binding and may not be withdrawn.

(d) *Shareholder's consent.* The consent of a shareholder to an election under section 1375(e) shall be in the form of a statement signed by the shareholder in which such shareholder consents to the election of the corporation. Such shareholder's consent is binding and may not be withdrawn after a valid election is made by the corporation. Each person who is a shareholder of the electing corporation must consent to the election; thus, where stock of the corporation is owned by a husband and wife as community property (or the income from which is community property), or is owned by tenants in common, joint tenants, or tenants by the entirety, each person having a community interest in such stock and each tenant in common, joint tenant, and tenant by the entirety must consent to the election. The consent of a minor shall be made by the minor or by his legal guardian, or his natural guardian if no legal guardian has been appointed. The consent of an estate shall be made by the executor or administrator thereof. The statement shall set forth the name, address, and employer identification number of the corporation and the account number of the shareholder, the date that each distribution to which the consent applies is received, the number and proportion of the shares of stock of the corporation owned by him on the date each such distribution is received, and the number and proportion of such shares owned by him on the last day of the taxable year of the corporation preceding the taxable year in which each such distribution was actually made. The consents of all shareholders may be incorporated in one statement, and shall be filed as provided in paragraph (c) of this section.

(e) *Example.* The application of this section may be illustrated by the following example:

Example. X, a corporation which uses the calendar year as the taxable year, is an electing small business corporation for 1964. X sells certain capital assets in 1964 and the board of directors, prior to the close of the taxable year 1964, adopts a resolution to distribute the proceeds of such sale to the shareholders. Pursuant to the resolution, X distributes the proceeds, in money, to A, the sole shareholder, on February 1, 1965. A, who is a cash basis taxpayer, also uses the calendar year as the taxable year. X makes an election under section 1375(e) with respect to the distribution made on February 1, 1965, and A consents to the election. Thus, the distribution actually made on February 1, 1965, is treated as a distribution of money made on December 31, 1964. The amount of the distribution is included in determining the amount of money distributed as dividends during 1964 out of earnings and profits of 1964; is treated as a distribution during 1964 for purposes of allocating capital gains to various distributions during 1964; and, is taken into account in determining whether there was a distribution of previously taxed income during 1964. A must include in his gross income for 1964 such amount of the distribution as is taxable to him, even though he did not receive the distribution until 1965.

§ 1.1375–6 Distributions of undistributed taxable income.

(a) *Distributions after April 14, 1966*—(1) *In general.* Under section 1375(f), a distribution of money by a corporation after April 14, 1966, is treated, under certain circumstances, as a distribution of the corporation's undistributed taxable income for its taxable year immediately preceding the taxable year in which the distribution is made. A distribution which is so treated shall, for purposes of chapter 1 of the Code, be considered a distribution which is not a dividend. Such a distribution reduces the basis of stock in the corporation in accordance with section 301(c)(2), and, if it exceeds such basis, is subject to the provisions of section 301(c)(3). The earnings and profits of the corporation are not reduced by reason of such a distribution. A distribution may be treated as a nondividend distribution pursuant to section 1375(f) even though the corporation's election was terminated under section 1372(e) for the taxable year during which the distribution is made, if the corporation was an electing small business corporation for its immediately preceding taxable year.

(2) *Qualifying distributions.* (i) An actual distribution of money by a corporation to a person after April 14, 1966, shall be treated as a distribution of the corporation's undistributed taxable income for its taxable year immediately preceding its taxable year during which the distribution is made, to the extent the distribution does not exceed such person's share of such undistributed taxable income, if—

(*a*) The corporation was an electing small business corporation for such immediately preceding taxable year,

(*b*) The distribution is made on or before the 15th day of the third month following the close of such immediately preceding taxable year,

(*c*) The distribution is made to a person who was a shareholder of the corporation on the last day of such immediately preceding taxable year, and

(*d*) The distribution is not a distribution in respect of which an election is made under section 1375(e) (see § 1.1375–5).

(ii) The amount of any distribution otherwise described in subdivision (i) of this subparagraph, but which is in excess of the person's share of undistributed taxable income, shall be subject to the rules of paragraphs (d) and (e) of § 1.1373–1 and § 1.1375–4 (if the distributing corporation is an electing small business corporation) or section 301 (if the distributing corporation is not an electing small business corporation). See paragraph (a) of § 1.1375–5 for the treatment of a distribution of money in respect of which an election is made under section 1375(e).

(iii) For purposes of this subparagraph and subparagraph (3)(ii) of this paragraph, a distribution of money does not include a distribution of an obligation of the corporation, a distribution of property other than money in satisfaction of a dividend declared in money, or a distribution in exchange for stock.

(3) *Share of undistributed taxable income.* For purposes of subparagraph (2) of this paragraph, a person's share of undistributed taxable income for a corporation's taxable year, as of the time a distribution is received, is the excess of—

(i) The amount required, under section 1373(b), to be included in the gross income of such person for his taxable year in which or with which such taxable year of the corporation ends, over

(ii) The sum of all prior distributions of money made to such person after the close of such taxable year of the corporation.

(4) *Benefits not transferable.* A person's right to nondividend distributions under this section is personal and cannot in any manner be transferred to another. If a shareholder transfers part or all of his stock in a corporation, his share of undistributed taxable income is not reduced by reason of the transfer, and the transferee does not acquire any part of such share. However, in such a case the transferor's total basis for his stock in the corporation is reduced by the amount of his basis for the stock transferred. A distribution of undistributed taxable income in excess of the transferor's remaining basis is subject to the provisions of section 301(c)(3).

(5) *Record requirement.* A record of each person's share of undistributed

taxable income shall be maintained by the electing small business corporation. In addition, each shareholder of such corporation shall keep a record of his own share of undistributed taxable income and shall make such record available to the corporation for its information.

(6) *Examples.* The operation of this paragraph may be illustrated by the following examples:

Example (1). (a) Corporation X, of which A (a calendar year taxpayer) is the sole shareholder, is an electing small business corporation for its taxable years ending December 31, 1966, and 1967. For its taxable year 1966, it has $20,000 of undistributed taxable income which A must include in his gross income for 1966. For its taxable year 1967, corporation X has $25,000 of taxable income and current earnings and profits. On February 1, 1967, corporation X makes a money distribution of $10,000 to A. This $10,000 distribution is treated as a distribution of the corporation's undistributed taxable income for 1966, and is not a dividend to A. If the corporation makes no further distributions during 1967, its undistributed taxable income for 1967 will be $25,000, and A will include such amount in his gross income for 1967, pursuant to section 1373(b).

(b) Assume the additional fact that A sells one-half of his stock in corporation X to B on January 15, 1968, and B does not consent to the corporation's election under section 1372(a). Thus, the corporation's election under section 1372(a) is terminated pursuant to section 1372(e)(1), and it is not an electing small business corporation for its taxable year beginning January 1, 1968. The corporation makes a money distribution of $10,000 to A and $10,000 to B on March 1, 1968. The distribution to A is treated as a nondividend distribution of the corporation's undistributed taxable income for its taxable year ending December 31, 1967, even if the corporation has current or accumulated earnings and profits during 1968, and reduces the basis of A's remaining stock in corporation X in accordance with section 301(c)(2). The $10,000 distribution to B is a distribution under section 301(a), and thus a dividend to the extent provided in section 316.

Example (2). Corporation Y, an electing small business corporation for its taxable years ending January 31, 1967, and 1968, has two equal shareholders, C and D, who use the calendar year as their taxable years. The corporation has $30,000 of undistributed taxable income for its taxable year ending January 31, 1967, one-half of which is included in the gross income of C, and one-half of which is included in the gross income of D, for their taxable years ending December 31, 1967. On March 30, 1967, the corporation distributes $15,000 in money to C and $15,000 in money to D. For its taxable year ending January 31, 1968, the corporation has taxable income and current earnings and profits of $60,000. The March 30, 1967, distributions to C and D are treated as distributions of the corporation's undistributed taxable income for its taxable year ending January 31, 1967. Such distributions do not increase the gross income of C or D for their taxable years ending December 31, 1967.

Example (3). Assume the same facts as in Example (2) except that the corporation distributed $20,000 in money to C and $20,000 in money to D on March 30, 1967, and makes no further distributions during its taxable year ending January 31, 1968. In such case, $15,000 of each distribution is treated as a distribution of the corporation's undistributed taxable income for its taxable year ending January 31, 1967, and $5,000 of each distribution is a dividend from the earnings and profits of the corporation for its taxable year ending January 31, 1968. C and D will each include $20,000 in their gross income for their taxable year ending December 31, 1967 ($15,000 as constructive distributions of the corporation's undistributed taxable income for its taxable year ending Jan. 31, 1967, and $5,000 as a dividend from the corporation's earnings and profits for its taxable year ending Jan. 31, 1968). For their taxable years ending December 31, 1968, C and D will each include in their gross income $25,000 as constructive distributions of the corporation's undistributed taxable income for its taxable year ending January 31, 1968 ($60,000 taxable income less $10,000 dividend distribution on Mar. 30, 1967, out of current earnings and profits, allocated one-half to C and one-half to D).

(b) *Distributions before April 15, 1966*—(1) *In general.* Subsection (d) of the first section of the Act of April 14, 1966 (Public Law 89-389) provides that distributions of money by a corporation to its shareholders which were made before April 15, 1966, may, under certain circumstances, be treated as distributions of the corporation's undistributed taxable income for its taxable year immediately preceding the taxable year in which the distributions were made. In order for distributions to qualify for such treatment, the corporation must make an election, and certain shareholders of the corporation must consent to such election, in accordance with the provisions of this paragraph. If distributions qualify for such treatment, the substantive provisions of section 1375(f) and paragraph (a) of this section, and other related provisions of the Code and regulations, shall apply to such qualifying distributions as of the time such distributions were actually made. Thus, when a distribution made by a corporation before April 15, 1966, is treated, pursuant to this paragraph, as a distribution of the corporation's undistributed taxable income for its immediately preceding taxable year, the effect of such distribution in respect of the corporation's earnings and profits, and the taxable income and basis of stock of persons who were shareholders of the corporation at the time of the distribution or any time thereafter shall be determined as if such substantive provisions applied at the time the distribution was actually made; and such a determination shall be binding in respect of the consequences of transactions occurring subsequent to the distribution. Accordingly, the Federal income tax liability of such persons for taxable years ending prior, and subsequent, to the date the election is made may be increased or decreased as a result of an election under this paragraph. See subparagraph (7) of this paragraph relating to the special statute of limitations for the assessment of any deficiency, and, in certain cases, for the allowance or making of credits or refunds, attributable to an election under this paragraph.

(2) *Qualifying distributions.* Each actual distribution of money made by a corporation before April 15, 1966, shall be treated as a distribution of the corporation's undistributed taxable income for its taxable year immediately preceding its taxable year during which the distribution was made, if—

(i) The distribution was made during the taxable year designated by the corporation in its statement of election (see subparagraph (3) of this paragraph) or any subsequent taxable year;

(ii) The distribution (but for the fact it was made prior to Apr. 15, 1966) would qualify as a distribution of undistributed taxable income under paragraph (a) of this section, provided that for purposes of this subdivision a distribution will be treated as meeting the requirement of paragraph (a)(2)(ii) of this section if it is made on or before the 15th day of the fourth month following the close of the immediately preceding taxable year;

(iii) The corporation makes an election, within such time and in such manner as provided in subparagraph (3) of this paragraph; and

(iv) Consents to such election, including amended income tax returns, are filed by the persons referred to in subparagraph (4) of this paragraph, within the time and in the manner provided in subparagraph (4) of this paragraph.

(3) *Election by corporation.* (i) The election referred to in subparagraphs (1) and (2) of this paragraph may be made by a corporation at any time after June 25, 1968, but not later than 1 year from such date. The election shall be in in the form of a statement which declares that the corporation elects to have certain distributions of money made before April 15, 1966, treated as distributions of its undistributed taxable income for its taxable year immediately preceding the taxable year during which such distributions were made. The statement of election shall designate the earliest taxable year of the corporation ("designated year") during which were made any distributions which the corporation desires to have treated as distributions of undistributed taxable income of the immediately preceding taxable year. The designated year may be any taxable year of the corporation during which a distribution of money was made to a shareholder before April 15, 1966, and on or before the 15th day of the fourth month following the close of the corporation's taxable year immediately preceding the designated year, provided the corporation was an electing small business corporation for such immediately preceding year. (If an effective election is made by a corporation, the election applies to every qualifying distribution made by the corporation during, and subsequent to, the designated year. See subparagraph (2)(i) of this paragraph. Thus, for example, if the designated year is 1960, the election applies to every qualifying distribution made by the corporation during 1960 and during each subsequent taxable year of the corporation.)

(ii) The statement of election must also set forth (*a*) the name, address, and employer identification number of the corporation, (*b*) the internal revenue officer with whom the corporation's returns of income have been filed for the designated year, its taxable year immediately preceding the designated year,

and each of its taxable years following the designated year, and (c) the names and addresses of all persons who were shareholders of the corporation at any time during each of such years.

(iii) The statement of election must be accompanied by (a) a new Schedule K of Form 1120–S for the taxable year immediately preceding the designated year, and each of the corporation's taxable years following the taxable year immediately preceding the designated year during which the corporation was an electing small business corporation (or in lieu thereof, for each such taxable year, the information required to be shown in any such new Schedule K of Form 1120–S), (b) a schedule showing the changes in any such new Schedule K resulting from the election under this paragraph, and an explanation of each such change, (c) a schedule showing the current and accumulated earnings and profits of the corporation for the designated year, the taxable year immediately preceding the designated year, and each of the corporation's taxable years following the designated year, and any changes therein resulting from the election under this paragraph, whether or not the corporation was an electing small business corporation during all of such years, (d) a schedule showing the changes in the taxable status of any distribution to any shareholder of the corporation resulting from the election under this paragraph, with explanations of the basis of such changes, (e) a schedule showing the name of any shareholder who transferred any stock of the corporation during any of the years referred to in (c) of this subdivision (iii) and whose basis for such shares would be affected by the election under this paragraph, with an explanation of any change in basis, and (f) the consents of certain shareholders, and information in respect of shareholders not required to file consents, as provided in subparagraph (4) of this paragraph.

(iv) The statement of election shall be signed by a person who is authorized to sign the corporation's return under section 6037, and shall be filed with the internal revenue officer with whom the corporation filed its return of income for its taxable year immediately preceding the taxable year in which the election is made.

(v) An election under this paragraph is binding and may not be withdrawn.

(4) *Consents of shareholders.* (i) Except as otherwise provided in subdivision (iii) of this subparagraph, a statement of election by a corporation under this paragraph must be accompanied by the consent of each person who was a shareholder of the corporation at any time during the period beginning on the date the corporation made the first distribution of money with respect to which the election applies and ending on the day preceding the date on which the corporation files the statement of election with the internal revenue officer. Thus, consents may be required by persons who are not shareholders on the date the statement of election is filed. Where stock of the corporation was owned by a husband and wife as community property (or the income from which was community property), or was owned by tenants in common, joint tenants, or tenants by the entirety, each person who had a community interest in such stock and each tenant in common, joint tenant, and tenant by the entirety must consent to the election. The consent of a minor shall be made by the minor or by his legal guardian, or by his natural guardian if no legal guardian has been appointed. The consent of an estate shall be made by the executor or administrator thereof. If a person who is required to file a consent under this subparagraph is deceased, the executor or administrator of such person's estate, or other person charged with the property of such person, shall file the required consent. The consent of each shareholder shall be in the form of a statement signed by the shareholder in which he states that he consents to the election by the corporation under § 1.1375–6(b) of the Income Tax Regulations. (See subparagraph (7)(i) of this paragraph, relating to the period of limitations for the assessment of any deficiency attributable to an election under this paragraph.) Each statement shall set forth the name and address of the corporation and the name, address, and account number of the shareholder; the number of shares of stock of the corporation owned by such shareholder at any time during the designated year, the taxable year of the corporation immediately preceding the designated year, and each taxable year of the corporation following the designated year; the date (or dates) on which such stock was acquired, and, if disposed of, the date (or dates) of disposition; and the internal revenue officer with whom the shareholder's income tax returns have been filed for his taxable year with or within which the taxable year of the corporation immediately preceding the designated year ends, and each of his subsequent taxable years in which he owned any such stock. Further, each statement of consent shall contain a statement indicating the taxable years of the shareholder for which there is an increase in tax attributable to an election under this paragraph, and that there is no such increase for any other taxable year. See subparagraph (7)(iv) of this paragraph. The consents of all shareholders may be incorporated in one statement. A consent under this subparagraph is binding and may not be withdrawn after being filed with the internal revenue officer.

(ii) An amended income tax return reflecting any increase in tax attributable to the election under this paragraph shall be filed by each person who files a consent pursuant to subdivision (i) of this subparagraph for each of his taxable years for which there is such an increase. There shall be attached to, or included in, each such amended income tax return a statement referring to the corporation's election under this paragraph, indicating that such return is being filed pursuant to this subdivision, and specifying the internal revenue officer with whom the corporation filed its statement of election under this paragraph.

(iii) (a) A person shall not be required to file a consent under subdivision (i) of this subparagraph if it is shown to the satisfaction of the district director that such person's liability for Federal income tax for any taxable year cannot be affected by such election. An election under this paragraph may affect the Federal income tax liability of one or more persons described in subdivision (i) of this subparagraph for one or more taxable years without affecting the liability of other such persons for any taxable year. For example, assume that calendar year Corporation X had undistributed taxable income and current earnings and profits of $40,000 at the end of 1960; made distributions in money in the amount of $10,000 to each of its equal shareholders, A, B, C, and D (calendar year taxpayers) on March 1, 1961; and that such distributions were treated, at the time made, as dividends out of earnings and profits for 1961; that no further distributions were made during 1961; that the corporation had taxable income in excess of $40,000 for 1961; and that D sold 50 percent of his stock on July 1, 1961, to E who filed a consent to the election of X under section 1372(a). Pursuant to an election under this paragraph, the $10,000 distributed to each shareholder on March 1, 1961, is treated as a distribution of undistributed taxable income for 1960 (rather than as a dividend) and the undistributed taxable income and current earnings and profits of X at the end of 1961 is increased by $40,000. The Federal income tax liability of A, B, and C is not affected for taxable year 1961. (While A, B, and C each had their dividend income for 1961 reduced in the amount of $10,000, their constructive dividend income for 1961 is correspondingly increased in the amount of $10,000 as a result of the increase in the corporation's undistributed taxable income for 1961.) Further, there is no net adjustment to the basis of the stock of A, B, or C. However, D's Federal income tax liability for taxable year 1961 is affected since his gross income for 1961 is increased only by 50 percent of the amount of the distribution to him on March 1, 1961, as a result of the increase in the corporation's undistributed taxable income for 1961; further, D's gain or loss on the sale of stock to E must be recomputed since the basis of his stock was reduced as of March 1, 1961, by reason of the distribution to him on that date being treated as a distribution of the corporation's undistributed taxable income for 1960 rather than as a dividend. E's Federal income tax liability is also affected by the election under this paragraph as a result of the increase in the corporation's undistributed taxable income for 1961. If there are no other distributions made by the corporation which affect A, B, and C's Federal income tax liability as a result of the election under this paragraph, A, B, and C are not required to consent to the election.

(b) If the consent of a person described in subdivision (i) of this subparagraph does not accompany the

statement of election pursuant to (*a*) of this subdivision (iii), a statement must accompany the statement of election which sets forth sufficient information to establish the reason why such person's Federal income tax liability cannot be affected by the election under this paragraph. If the district director is not satisfied that such person's Federal income tax liability, both actual and potential, and for past or future years, cannot be affected by such election, the election by the corporation under this paragraph is not effective.

(c) A person's tax liability can be affected in various ways as a result of an election under this paragraph. For example, a distribution made to a shareholder during 1959 and treated, at the time of the distribution, as a distribution of a dividend out of current earnings and profits may, as a result of the corporation's election under this paragraph, be treated as a distribution of the corporation's undistributed taxable income for 1958. This treatment may accordingly increase the earnings and profits of the corporation as of the end of 1959. If the corporation was an electing small business corporation during 1959, its undistributed taxable income as of the end of 1959 may be increased, which may, in turn, increase the gross income of the persons who were shareholders at such time, for their taxable years in which or with which the 1959 taxable year of the corporation ended; if any of such persons are no longer shareholders of the corporation, their gross income for the year their stock was disposed of may be affected because of a basis adjustment resulting from the new treatment of the 1959 distribution. If the corporation was not an electing small business corporation during 1959, the potential tax liability of every person who was a shareholder of the corporation after 1958 is affected by the election as a result of the increase in earnings and profits available for distribution to such shareholders.

(5) *Examples.* The effect of an election under this paragraph may be illustrated by the following examples:

Example (1). (a) A, a calendar year taxpayer, owns all of the outstanding stock of corporation X, an electing small business corporation which uses the fiscal year ending January 31 as its taxable year. During its taxable year ending January 31, 1960, X made no distributions to its shareholder and had $25,000 of taxable income and current earnings and profits. As of February 1, 1960, the corporation had $16,000 of accumulated earnings and profits (after reduction for the $25,000 undistributed taxable income pursuant to section 1377(a)), A's net share of previously taxed income was zero, and A's basis for his stock in X was $60,000. X distributed $20,000 in money to A on February 15, 1960, which was the only distribution during its taxable year ending January 31, 1961; its taxable income and current earnings and profits for such year was $15,000. X makes an election under this paragraph and designates its taxable year beginning February 1, 1960, as the earliest taxable year during which it made distributions which it desires to have treated as distributions of undistributed taxable income for its immediately preceding taxable year.

(b) Prior to the election under this paragraph, the $20,000 distribution to A on February 15, 1960, was treated as a dividend; $15,000 from the corporation's current earnings and profits for its taxable year ending January 31, 1961, and $5,000 from its accumulated earnings and profits. This amount was included in A's gross income for his taxable year ending December 31, 1960. In addition, $25,000 was included in A's gross income for that taxable year as a constructive distribution of the corporation's undistributed taxable income for its taxable year ending January 31, 1960. Thus, a total of $45,000 was included in A's gross income for his taxable year ending December 31, 1960, as a result of his ownership of the corporation's stock.

(c) Prior to the election under this paragraph, A's basis for his stock in the corporation was not affected by the $20,000 distribution on February 15, 1960, and his basis was not increased on January 31, 1961, as the corporation had no undistributed taxable income for its taxable year ending January 31, 1961. Thus, A's basis for such stock remained $60,000 throughout the period February 1, 1960, through January 31, 1961. The corporation's accumulated earnings and profits was reduced to $11,000 as a result of the February 15, 1960, distribution.

(d) As a result of the election under this paragraph, the $20,000 distribution to A on February 15, 1960, is treated as a distribution of the corporation's undistributed taxable income for its taxable year ending January 31, 1960. This distribution is not included in A's gross income as it does not exceed his basis ($60,000) for his stock on the date of the distribution. Thus, the only amount included in A's gross income for his taxable year ending December 31, 1960, as a result of his ownership of the stock of corporation X, is the $25,000 of undistributed taxable income of the corporation for its taxable year ending January 31, 1960. A's gross income for his taxable year ending December 31, 1961, will include $15,000, the undistributed taxable income of the corporation for its taxable year ending January 31, 1961. Accordingly, A must file an amended return for his 1961 taxable year and he should file a claim for refund for his 1960 taxable year. In addition, any other distributions made by the corporation during 1961 or thereafter (but before April 15, 1966) which were made on or before the 15th day of the fourth month following the close of a taxable year for which it was an electing small business corporation shall be treated as distributions of the corporation's undistributed taxable income for its immediately preceding taxable year, to the extent of A's (or any other shareholder's) share of such undistributed taxable income, as provided in paragraph (a)(3) of this section.

(e) As a result of the election under this paragraph, A's basis for his stock in the corporation was reduced to $40,000 as a result of the $20,000 distribution on February 15, 1960. It remained $40,000 until January 31, 1961, at which time it was increased to $55,000 as a result of the $15,000 constructive distribution of undistributed taxable income of the corporation. The corporation's accumulated earnings and profits is $16,000 as of February 1, 1961, instead of $11,000.

Example (2). (a) C and D, calendar year taxpayers, each owned 50 percent of the outstanding stock of Corporation Y during 1962 and 1963. The corporation, which uses the calendar year as its taxable year, was an electing small business corporation for 1962, for which it had $50,000 of taxable income and current earnings and profits, and during which it made no distributions. C and D each included $25,000 in their gross income for 1962 as their constructive distributions of the corporation's undistributed taxable income. On January 1, 1963, C and D each had a basis of $65,000 for their stock in the corporation. On March 1, 1963, the corporation distributed $20,000 in money to C and $20,000 in money to D, and made no other distributions during 1963. The corporation's election under section 1372(a) terminated for 1963, and the corporation had $60,000 of current earnings and profits for 1963. On June 15, 1964, C sold all of his stock in the corporation to E for $100,000. The corporation makes an election under this paragraph and designates 1963 as its earliest taxable year during which distributions, which it desires to have treated as distributions of undistributed taxable income for its immediately preceding taxable year, were made.

(b) Prior to the election under this paragraph, the $20,000 distributions to C and D on March 1, 1963, were treated as dividends from the corporation's current earnings and profits for 1963. C and D included such amounts in their gross income for 1963. Further, C included $35,000 in his gross income for 1964, representing the gain on the sale of his stock to E during 1964.

(c) As a result of the election under this paragraph, the $20,000 distributions to C and D on March 1, 1963, are treated as distributions of the corporation's undistributed taxable income for its taxable year ending December 31, 1962. Accordingly, these distributions are not to be included in the gross income of C or D for 1963, but are used to reduce the basis for their stock in the corporation to $45,000 each. C and D should therefore file claims for refund for 1963. In addition, C must file an amended return for 1964, as the gain on the sale of his stock to E was increased to $55,000 as a result of the election under this paragraph.

(6) *Interest.* No interest shall be assessed or collected in respect of any deficiency, or allowed or paid in respect of any overpayment, attributable to an election under this paragraph for any period before the expiration of the 2-year period beginning on June 25, 1968. For rules applicable in determining the amount of any deficiency or overpayment attributable to an election under this paragraph, see subparagraph (7)(iv) of this paragraph.

(7) *Periods of limitations.* (i) Notwithstanding any law or rule of law which would otherwise prevent an assessment, the period within which the assessment of any deficiency attributable to an election under this paragraph for any taxable year of the corporation filing an election under this paragraph or any person consenting thereto (including, but not limited to, any taxable year for which assessment is prevented on Apr. 14, 1966, or because of a closing agreement or compromise under chapter 74 of the Code), shall not expire before the expiration of the 2-year period beginning on June 25, 1968. For rules applicable in determining such deficiency, see subdivision (iv) of this subparagraph. See subparagraph (6) of this paragraph, relating to limitations on interest. The provisions of this subdivision do not shorten any periods of limitation otherwise applicable.

(ii) If credit or refund of the amount of any overpayment attributable to an election under this paragraph was not prevented on April 14, 1966, by the operation of any law or rule of law, and such credit or refund is prevented, by the operation of any law or rule of law

(other than chapter 74 of the Code, relating to closing agreements and compromises), at any time on or before the expiration of the 2-year period beginning on June 25, 1968, such credit or refund may, nevertheless, be allowed or made if claim therefore is filed before the expiration of such 2-year period. Thus, if for a taxable year there is an overpayment attributable to an election under this paragraph, this subdivision is applicable only to the amount of such overpayment with respect to which credit or refund was not prevented on April 14, 1966. For rules applicable in determining an overpayment attributable to an election under this paragraph, see subdivision (iv) of this subparagraph. See subparagraph (6) of this paragraph, relating to limitations on interest.

(iii) (*a*) If credit or refund of the amount of an overpayment attributable to an election under this paragraph was prevented on April 14, 1966, by the operation of any law or rule of law (other than chapter 74 of the Code, relating to closing agreements and compromises), such credit or refund may, nevertheless, be allowed or made if such overpayment was for a taxable year specified in (*b*) or (*c*) of this subdivision (iii) and claim therefore is filed before the expiration of the 2-year period beginning on June 25, 1968. See subdivision (iv) of this subparagraph for rules applicable in determining an overpayment attributable to an election under this paragraph. See subparagraph (6) of this paragraph, relating to limitations on interest.

(*b*) If a corporation made one or more distributions of money during a taxable year immediately following a taxable year with respect to which it was an electing small business corporation, and on or before the 15th day of the fourth month of such year, and

(*1*) The first distribution of money made in such taxable year, or

(2) The sum of such first distribution of money and one or more of such subsequent distributions of money (taken into account consecutively),

was substantially the same in amount as the undistributed taxable income of the corporation for its taxable year immediately preceding the taxable year in which the distribution or distributions were made, credit or refund of the amount of an overpayment attributable to an election under this paragraph may be allowed or made, pursuant to (*a*) of this subdivision (iii), for the taxable year (or years) of a shareholder in which he received any portion of such distribution or distributions.

(*c*) If—

(*1*) A corporation made one or more distributions of money during a taxable year immediately following a taxable year with respect to which it was an electing small business corporation, and on or before the 15th day of the fourth month of such year, and

(*2*) It is established to the satisfaction of the district director that one or more of such distributions were intended to be distributions of the corporation's undistributed taxable income for its taxable year immediately preceding the taxable year in which the distribution or distributions were made,

credit or refund of the amount of an overpayment attributable to an election under this paragraph may be allowed or made, pursuant to (*a*) of this subdivision (iii), for the taxable year (or years) of a shareholder in which he received any portion of the distribution or distributions referred to in (*2*) of this subdivision (*c*). The determination by the district director as to whether a distribution or distributions were intended to be a distribution of such undistributed taxable income is a question of fact to be decided in light of all the circumstances. Factors which are relevant to establishing such intent include, but are not limited to, a showing that the shareholders or the corporation treated the distribution or distributions on their returns of income as a distribution or distributions of such undistributed taxable income, or that the distribution or distributions approximated the shareholders' taxes resulting from the income of the corporation for its taxable year immediately preceding the year during which the distribution or distributions were made.

(iv) For purposes of this paragraph, the deficiency or overpayment in tax attributable to an election under this paragraph shall be that amount of the increase or decrease in tax over the tax previously determined (ascertained in accordance with the method prescribed in section 1314(a)) for any taxable year which results from the correct treatment of all items which relate to the election. Items of income, deduction, or credit which are unrelated to the election shall not be taken into account. For example, the failure to claim a deduction in respect of an exemption for a dependent, or the improper taking of such a deduction, are not items which are related to the election, and, therefore, shall not be taken into account. However, due regard shall be given to the effect which an item related to the election may have on the computation of gross income, taxable income, and other matters under the Code. Thus, for example, if the correct treatment of an item related to the election results in an increase in an individual's adjusted gross income, it may be necessary to recompute the deduction for charitable contributions or medical expenses since the amounts of such deductions are determined or limited by the amount of the taxpayer's adjusted gross income. Such recomputed deductions shall be taken into account in determining the increase or decrease in tax. An item related to the election may affect more than one taxpayer and more than 1 taxable year. For example, as a result of the election, a distribution by the corporation to a shareholder during a taxable year may be treated as a distribution of the corporation's undistributed taxable income rather than a distribution out of earnings and profits. The resulting increase in the corporation's earnings and profits is an item related to the election which may increase the tax liability of all shareholders who receive any distributions from the corporation in subsequent taxable years. Any such increase in tax liability is a deficiency attributable to the election under this paragraph. Similarly, an item related to the election may affect a net operating loss deduction or capital loss carryover for more than 1 taxable year.

(v) If there is an overpayment attributable to an election under this paragraph, the amount of such overpayment may be credited, under applicable law and regulations, against any liability in respect of an internal revenue tax on the part of the person who made such overpayment. Likewise, if there is a deficiency attributable to an election under this paragraph, any overpayment by the taxpayer of any internal revenue tax may be credited against the amount of such deficiency in accordance with the applicable law and regulations. (See section 6402.) Accordingly, it may be possible in one transaction to settle the taxpayer's tax liability for all prior years which are affected by items related to the election under this paragraph.

PAR. 12. Section 1.1377–1 is amended to read as follows:

§ 1.1377–1 Reduction of earnings and profits for undistributed taxable income.

Section 1377(a) provides that the accumulated earnings and profits of an electing small business corporation as of the close of its taxable year shall be reduced to the extent that its undistributed taxable income for such year is required to be included in the gross income of shareholders under section 1373(b). See section 1375 (d) and (f), and the regulations thereunder, for the correlative rules that distributions of previously taxed income, and distributions treated as distributions of undistributed taxable income, do not reduce earnings and profits.

PAR. 13. The following new sections are added immediately after § 1.1377–3.

§ 1.1378 Statutory provisions; tax imposed on certain capital gains.

Sec. 1378. *Tax imposed on certain capital gains*—(a) *General rule.* If for a taxable year of an electing small business corporation—

(1) The excess of the net long-term capital gain over the net short-term capital loss of such corporation exceeds $25,000, and exceeds 50 percent of its taxable income for such year, and

(2) The taxable income of such corporation for such year exceeds $25,000,

there is hereby imposed a tax (computed under subsection (b)) on the income of such corporation.

(b) *Amount of tax.* The tax imposed by subsection (a) shall be the lower of—

(1) An amount equal to 25 percent of the amount by which the excess of the net long-term capital gain over the net short-term capital loss of the corporation for the taxable year exceeds $25,000, or

(2) An amount equal to the tax which would be imposed by section 11 on the taxable income (computed as provided in section 1373(d)) of the corporation for the taxable year if the corporation was not an electing small business corporation.

No credit shall be allowable under part IV of subchapter A of this chapter (other than

under section 39) against the tax imposed by subsection (a).

(c) *Exceptions*—(1) *In general.* Subsection (a) shall not apply to an electing small business corporation for any taxable year if the election under section 1372(a) which is in effect with respect to such corporation for such taxable year has been in effect for the three immediately preceding taxable years.

(2) *New Corporations.* Subsection (a) shall not apply to an electing small business corporation if—

(A) It has been in existence for less than 4 taxable years, and

(B) An election under section 1372(a) has been in effect with respect to such corporation for each of its taxable years.

(3) *Property with substituted basis.* If—

(A) But for paragraph (1) or (2), subsection (a) would apply for the taxable year,

(B) Any long-term capital gain is attributable to property acquired by the electing small business corporation during the period beginning 3 years before the first day of the taxable year and ending on the last day of the taxable year, and

(C) The basis of such property is determined in whole or in part by reference to the basis of any property in the hands of another corporation which was not an electing small business corporation throughout all of the period described in subparagraph (B) before the transfer by such other corporation and during which such other corporation was in existence,

then subsection (a) shall apply for the taxable year, but the amount of the tax determined under subsection (b) shall not exceed 25 percent of the excess of the net long-term capital gain over the net short-term capital loss attributable to property acquired as provided in subparagraph (B) and having a basis described in subparagraph (C).

[Sec. 1378 as added by sec. 2(a), Act of Apr. 14, 1966 (Public Law 89-389, 80 Stat. 113)]

§ 1.1378-1 Tax imposed on certain capital gains.

Section 1378 imposes a tax upon the income of certain electing small business corporations for taxable years beginning after April 14, 1966. The undistributed taxable income of the corporation is reduced by the amount of such tax; see section 1373(c) and paragraph (b) of § 1.1373-1. In addition, for purposes of determining the amount of dividends which are treated as long-term capital gain by shareholders of the corporation, the amount of such tax must be taken into account; see section 1375(a)(3) and paragraphs (a) and (b) of § 1.1375-1. If an electing small business corporation is a member of a controlled group of corporations as defined in section 1563(a), see paragraph (b) of § 1.1563-1, relating to component members and excluded members of such controlled group of corporations. No credit is allowable under part IV, subchapter A, chapter 1 of the Code (other than under section 39, relating to certain uses of gasoline and lubricating oil) against the tax imposed by section 1378.

§ 1.1378-2 Corporations subject to tax.

(a) *General rule.* (1) Except as otherwise provided in paragraph (b) of this section, an electing small business corporation is subject to the tax imposed by section 1378 for any taxable year beginning after April 14, 1966, for which—

(i) The taxable income of the corporation (computed as provided in section 1373(d)) exceeds $25,000;

(ii) The excess of the net long-term capital gain over the net short-term capital loss of the corporation exceeds $25,000; and

(iii) The excess of the net long-term capital gain over the net short-term capital loss of the corporation exceeds 50 percent of its taxable income (computed as provided in section 1373(d)).

(2) For purposes of this section and § 1.1378-3 (relating to the amount of tax), in determining the excess of the net long-term capital gain over the net short-term capital loss, gains and losses attributable to sales or exchanges made by the corporation before February 24, 1966, shall not be taken into account. Thus, for example, income which is being returned by the corporation on the installment method pursuant to section 453, and which is attributable to a sale made by the corporation before February 24, 1966, shall not be taken into account in determining the corporation's net long-term capital gain. However, such income shall be taken into account in determining the corporation's taxable income for purposes of this section and § 1.1378-3.

(3) The provisions of this paragraph may be illustrated by the following examples:

Example (1). X corporation is an electing small business corporation for its taxable year beginning January 1, 1967. For 1967, the corporation has an excess of net long-term capital gain over net short-term capital loss in the amount of $30,000. However, its taxable income for the year is only $20,000 as a result of other deductions in excess of other income. Thus, although the excess of the net long-term capital gain over the net short-term capital loss exceeds $25,000, and also exceeds 50 percent of taxable income, X is not subject to the tax imposed by section 1378 for 1967 because its taxable income does not exceed $25,000.

Example (2). Y corporation is an electing small business corporation for its 1968 taxable year. For 1968, the corporation has an excess of net long-term capital gain over net short-term capital loss in the amount of $40,000, and taxable income of $65,000. However, $10,000 of the corporation's long-term capital gain for the year represents income from the sale of a capital asset by the corporation in 1965 which is being returned under the installment method. Thus, for purposes of this section, the excess of the net long-term capital gain over the net short-term capital loss is $30,000. Although this amount exceeds $25,000, it does not exceed 50 percent of the corporation's taxable income for the year (50 percent of $65,000, or $32,500), and Y is not subject to the tax imposed by section 1378 for such year.

(b) *Exceptions*—(1) *In general.* If an electing small business corporation would be subject to the tax imposed by section 1378 for a taxable year, pursuant to paragraph (a) of this section, the corporation shall, nevertheless, not be subject to such tax for such year, if—

(i) The election under section 1372(a) which is in effect with respect to such corporation for such year has been in effect for the corporation's three immediately preceding taxable years, or

(ii) An election under section 1372(a) has been in effect with respect to such corporation for each of its taxable years for which it has been in existence,

unless there is an excess of net long-term capital gain over net short-term capital loss for the taxable year which is attributable to property with a substituted basis (determined under subparagraph (2) of this paragraph).

(2) *Property with a substituted basis.* For purposes of subparagraph (1) of this paragraph and § 1.1378-3 (relating to the amount of tax) the term "property with a substituted basis" means—

(i) Property acquired by a corporation ("acquiring corporation") during the period beginning 36 months before the first day of the acquiring corporation's taxable year and ending on the last day of such year;

(ii) The basis of such property in the hands of the acquiring corporation is determined in whole or in part by reference to the basis of any property in the hands of another corporation; and

(iii) Such other corporation was not an electing small business corporation throughout the period beginning the later of—

(*a*) 36 months before the first day of the acquiring corporation's taxable year, or

(*b*) The time such other corporation came into existence,

and ending on the date such other corporation transferred the property, the basis of which is used to determine, in whole or in part, the basis of the property in the hands of the acquiring corporation.

(3) *Existence of a corporation.* For purposes of this paragraph and paragraph (b) of § 1.1378-3, a corporation shall not be considered to be in existence for any taxable year which precedes the first taxable year in which the corporation has shareholders or acquires assets or begins business, whichever is first to occur.

(4) *Examples.* The provisions of this paragraph may be illustrated by the following examples:

Example (1). M corporation was organized and began business in 1957. M subsequently made an election under section 1372(a) which was effective for its 1964 taxable year. If such election does not terminate under section 1372(e) for its taxable years 1964, 1965, and 1966, M is not subject to the tax imposed by section 1378 for its taxable year 1967, or for any subsequent year for which such election remains in effect, unless it has, for any such year, an excess of net long-term capital gain over net short-term capital loss attributable to property with a substituted basis. If there is such an excess for any such year, and the requirements of paragraph (a) of this section are met, M will be subject to the tax for such year. If there is no such excess for any year after 1966, M will not be subject to the tax for any such year even though the requirements of paragraph (a) of this section are met.

Example (2). N corporation was organized in 1967, and was an electing small business corporation for its first taxable year. N is not subject to the tax imposed by section 1378 for 1967, or for any subsequent year for which its original election under section 1372(a) has not terminated under section

1372(e), unless, for any such year, it has an excess of net long-term capital gain over net short-term capital loss attributable to property with a substituted basis and the requirements of paragraph (a) of this section are met.

Example (3). Corporation O has been in existence since 1960, and has never been an electing small business corporation. On January 1, 1966, O merges into Corporation P, which uses the calendar year as its taxable year, pursuant to a plan of reorganization. The basis of the property acquired in the merger in the hands of P is determined by reference to the basis of such property in the hands of O, pursuant to section 362(b). Such property is "property with a substituted basis" in the hands of P and will remain "property with a substituted basis" through P's taxable year ending December 31, 1969. In addition, any other property for which it is exchanged (including installment obligations received in respect of a sale thereof) in a transaction in which gain or loss is not recognized or returned, in whole or in part, is "property with a substituted basis" through P's taxable year ending December 31, 1969.

§ 1.1378–3 Amount of tax.

(a) *In general.* If an electing small business corporation is subject to the tax imposed by section 1378 for a taxable year, the amount of such tax for such year is, except as provided in paragraph (b) of this section, the lower of—

(1) An amount equal to 25 percent of the amount by which the excess of the net long-term capital gain over the net short-term capital loss of the corporation for the taxable year exceeds $25,000, or

(2) An amount equal to the amount of tax which would be imposed by section 11 on the taxable income of the corporation for the taxable year (computed under section 1373(d)) if the corporation was not an electing small business corporation.

(b) *Exception.* If an electing small business corporation is subject to the tax imposed by section 1378 for a taxable year, and

(1) The election under section 1372(a) which is in effect with respect to such corporation for such year has been in effect for the corporation's three immediately preceding taxable years, or

(2) An election under section 1372(a) has been in effect with respect to such corporation for each of its taxable years for which it has been in existence,

the amount of such tax for such year shall not exceed 25 percent of the excess of the net long-term capital gain over the net short-term capital loss attributable to property with a substituted basis (see section 1378(c)(3) and paragraph (b) of § 1.1378–2).

(c) *Examples.* The provisions of this section may be illustrated by the following examples:

Example (1). Corporation Q, an electing small business corporation, is subject to the tax imposed by section 1378 for its taxable year 1967, to be computed under paragraph (a) of this section. For 1967, Q has an excess of net long-term capital gain over net short-term capital loss in the amount of $73,000, and taxable income (computed under section 1373(d), which includes capital gains and losses) of $100,000. The amount of tax computed under paragraph (a)(1) of this section is 25 percent of $48,000 ($73,000—$25,000), or $12,000. This is lower than the amount computed under paragraph (a)(2) of this section which is (assuming a $25,000 surtax exemption and no election under section 1562) 22 percent of $100,000 plus 26 percent of $75,000, or $41,500.

Example (2). Assume that in example (1) the taxable income of Q for 1967 is $35,000. This results from an excess of deductions over income with respect to items which were not included in determining the excess of the net long-term capital gain over the net short-term capital loss. In such case, the amount of tax, computed under paragraph (a)(2) of this section, is 22 percent of $35,000 plus 26 percent of $10,000, or $10,300. This is lower than the amount computed under paragraph (a)(1) of this section, or $12,000.

Example (3). Corporation R, an electing small business corporation, for its taxable year 1968 has an excess of net long-term capital gain over net short-term capital loss in the amount of $65,000 and has taxable income of $80,000. R's election under section 1372(a) has been in effect for its three immediately preceding taxable years, but R, nevertheless, is subject to the tax imposed by section 1378 for 1968 since it has an excess of net long-term capital gain over net short-term capital loss (in the amount of $20,000) attributable to property with a substituted basis. The tax computed under paragraph (a)(1) of this section, $10,000 (25 percent of $40,000 ($65,000—$25,000)), is less than the tax computed under paragraph (a)(2) of this section, $31,900 (22 percent of $80,000 plus 26 percent of $55,000 (assuming a surtax exemption of $25,000 and no election under section 1562)). However, under the limitation provided in paragraph (b) of this section which is applicable in this factual situation, the tax imposed by section 1378 for 1968 may not exceed $5,000 (25 percent of $20,000, the excess of net long-term capital gain over net short-term capital loss attributable to property with a substituted basis).

PAR. 14. Paragraph (c) of § 1.1561–2 is amended to read as follows:

§ 1.1561–2 Reduction of surtax exemption.

* * * * *

(c) *Corporations affected.* The provisions of section 1561 may result in the reduction of the surtax exemption of any corporation which is a component member of a controlled group of corporations and which is subject to the tax imposed by section 11, or by any other provision of subtitle A of the Code if the tax under such other provisions is computed by reference to the amount of the surtax exemption provided by section 11. Such other provisions include, for example, sections 511(a)(1), 594, 802, 831, 852, 857, 882, 1201, and 1378.

PAR. 15. Paragraph (b)(4) of § 1.1562–1 is amended by revising subdivisions (iii) and (iv), and by adding a subdivision (v) at the end thereof. These amended provisions read as follows:

§ 1.1562–1 Privilege of controlled group to elect multiple surtax exemptions.

* * * * *

(b) *Effect of election.* * * *

(4) *Taxable income defined.* * * *

(iii) In the case of a regulated investment company, its "investment company taxable income" (as defined in section 852(b)(2)),

(iv) In the case of a real estate investment trust, its "real estate investment trust taxable income" (as defined in section 857(b)(2)), and

(v) In the case of an electing small business corporation, its "taxable income" (as defined in section 1373(d)).

* * * * *

PAR. 16. Paragraph (b)(2)(ii)(c) of § 1.1563–1 is amended to read as follows:

§ 1.1563–1 Definition of controlled group of corporations and component members.

* * * * *

(b) *Component members.* * * *

(2) *Excluded members.* * * *

(ii) * * *

(c) An electing small business corporation (as defined in section 1371(b)) not subject to the tax imposed by section 1378,

* * * * *

PAR. 17. Section 1.6012–2 is amended by redesignating paragraph (h) as paragraph (i) and by inserting a new paragraph (h) to read as follows:

§ 1.6012–2 Corporations required to make returns of income.

* * * * *

(h) *Electing small business corporations.* An electing small business corporation, whether or not subject to the tax imposed by section 1378, shall make a return on Form 1120–S. See also section 6037 and the regulations thereunder.

* * * * *

[F.R. Doc. 68–7497; Filed, June 24, 1968; 8:47 a.m.]

Title 31—MONEY AND FINANCE: TREASURY

Chapter II—Fiscal Service, Department of the Treasury

SUBCHAPTER A—BUREAU OF ACCOUNTS

[Dept. Circ. 655, Second Amdt.]

PART 211—DELIVERY OF CHECKS AND WARRANTS TO ADDRESSES OUTSIDE THE UNITED STATES, ITS TERRITORIES AND POSSESSIONS

Withholding of Delivery of Checks

On the basis of information available to the Secretary of the Treasury, including advice received from the Department of State, the Secretary has determined that postal, transportation and banking facilities in general, and local conditions in Czechoslovakia are such that there is a reasonable assurance that the payee of a check or warrant drawn against funds of the United States, or any agency or instrumentality thereof, will actually receive such a check or warrant and be able to negotiate it for full value. The Treasury Department therefore finds it necessary to amend its regulations at 31 CFR Part 211 (Treasury Department Circular No. 655, as amended) so as to delete Czechoslovakia from the list of restricted areas in § 211.2(a) to which such a check or warrant may not be sent from

the United States for delivery. The Department also finds, in accord with 5 U.S.C. 553, that notice and public procedure thereon are not necessary since the amendment involves a foreign affairs function of the United States.

Accordingly, § 211.2(a), Subchapter A, Chapter II of Title 31 of the Code of Federal Regulations is amended to read as follows:

§ 211.2 Withholding of delivery of checks.

(a) It is hereby determined that postal, transportation, or banking facilities in general or local conditions in Albania, Communist-controlled China, Cuba, Estonia, Hungary, Latvia, Lithuania, North Korea, North Viet-Nam, the Union of Soviet Socialist Republics, the Russian Zone of Occupation of Germany, and the Russian Sector of Occupation of Berlin, Germany, are such that there is not a reasonable assurance that a payee in those areas will actually receive checks or warrants drawn against funds of the United States, or agencies or instrumentalities thereof, and be able to negotiate the same for full value.

* * * * *

(Sec. 5, 54 Stat. 1087; 31 U.S.C. 127)

Effective date. This amendment shall become effective upon publication in the FEDERAL REGISTER.

Dated: June 20, 1968.

[SEAL] JOHN K. CARLOCK,
Fiscal Assistant Secretary.

[F.R. Doc. 68-7558; Filed, June 24, 1968; 8:48 a.m.]

Title 50—WILDLIFE AND FISHERIES

Chapter II—Bureau of Commercial Fisheries, Fish and Wildlife Service, Department of the Interior

SUBCHAPTER G—PROCESSED FISHERY PRODUCTS, PROCESSED PRODUCTS THEREOF, AND CERTAIN OTHER PROCESSED FOOD PRODUCTS

PART 260—INSPECTION AND CERTIFICATION

Changes in Fees and Charges

The regulations governing Part 260, Inspection and Certification, of Subchapter G, Processed Fishery Products, Processed Products Thereof, and Certain Other Processed Food Products, relating to Fees and Charges (50 CFR 260.70 to 260.81) are hereby amended pursuant to the authority contained in section 6(a) of the Fish and Wildlife Act of 1956 (16 U.S.C. 742e(a)), as amended. The amendment as hereinafter set forth revises the schedule of fees and charges for inspection services.

As a result of the Federal pay increases, the latest of which became effective October 1, 1967, and the proposed increase of July 1, 1968, and increased operating expenses, the cost of maintaining the inspection service for processed fishery products and other products has increased since the present fees for fishery inspection services became effective February 7, 1964. The basic change is the increase in the hourly rates for continuous inspection from $5.55 to $7.25 and for lot inspection and related inspection services from $7.80 to $9.25.

The amendment is as follows:

1. Section 260.70 is hereby revised to read as follows:

§ 260.70 Schedule of fees.

(a) Unless otherwise provided in a written agreement between the applicant and the Secretary, the fees to be charged and collected for any inspection service performed under the regulations in this part at the request of the United States, or any other agency or instrumentality thereof, shall be in accordance with the applicable provisions of § 260.70 to 260.81.

(b) Unless otherwise provided in the regulations in this part, the fees to be charged and collected for any inspection service performed under the regulations in this part shall be based on the applicable rates specified in this section for the type of service performed.

(1) *Continuous Inspection:*

	Per hour
Regular time	$7.25
Overtime	8.00

Applicants shall be charged at an hourly rate of $7.25 per hour for regular time and $8 per hour for overtime in excess of 40 hours per week for services performed by inspectors assigned to plants operating under continuous inspection. Applicants shall be billed monthly at a minimum charge of 8 hours per working day plus overtime, when appropriate, for each inspector. A minimum yearly charge of 260 days will be made for each inspector permanently assigned to each plant.

(2) *Lot inspection*—officially and unofficially drawn samples.

For lot inspection services performed between the hours of 7 a.m. and 5 p.m. of any regular workday—$9.25 per hour.

For lot inspection services performed between the hours of 5 p.m. and 7 a.m. of any regular workday—$12 per hour.

For lot inspection services performed on Saturday, Sunday, and national legal holidays—$12 per hour.

The minimum fee to be charged and collected for inspection of any lot of product shall be $6.

(c) Fees to be charged and collected for lot inspection services furnished on an hourly basis shall be based on the actual time required to render such service including, but not limited to, the travel, sampling, and waiting time required of the inspector, or inspectors, in connection therewith, at the rate of $9.25 per hour for each inspector, except as provided in paragraph (b)(2) of this section.

2. Section 260.71(c) is hereby revised to read as follows:

§ 260.71 Inspection services performed on a resident basis.

* * * * *

(c) A charge of $9.25 per hour plus actual costs to the Bureau of Commercial Fisheries for per diem and travel costs incurred in rendering service not specifically covered in this section; such as, but not limited to, initial plant surveys.

3. Section 260.76 is hereby revised to read as follows:

§ 260.76 Charges based on hourly rates not otherwise provided for in this part.

When the appropriate Regional or Area Director determines that any inspection or related service rendered is such that charges based upon the foregoing sections are clearly inapplicable, charges may be based on the time consumed by the inspector in performance of such inspection service at the rate of $9.25 per hour.

The postponement of the effective date of this revision later than the date published in the FEDERAL REGISTER (5 U.S.C. 1003), is impracticable, unnecessary, and contrary to the public interest in that: (1) The Agricultural Marketing Act of 1946, as amended, provides that the fees charged shall, as nearly as possible, cover the cost of the service rendered; (2) the increases set forth herein are necessary to more nearly cover such cost, including but not limited to, increased salaries to Federal employees required by recent legislation; (3) it is imperative that the increase in fees becomes effective in time to meet such increased costs: (4) users of the inspection service were notified that the rates of fees to be charged for inspection service would be reevaluated as to need for readjustment with each Federal pay act increase by inclusion of § 260.81 into Part 260 Inspection and Certification and published in the FEDERAL REGISTER (27 F.R. 4781); and (5) additional time is not required by users of the inspection service to comply with this revision.

(Sec. 205, 60 Stat. 1090, as amended; 7 U.S.C. 1622 and 1624)

Dated: June 18, 1968, to become effective upon publication in the FEDERAL REGISTER.

STEWART L. UDALL,
Secretary of the Interior.

[F.R. Doc. 68-7478; Filed, June 24, 1968; 8:45 a.m.]

Proposed Rule Making

FEDERAL TRADE COMMISSION

[16 CFR Part 303]

APPLICATION FOR GENERIC NAME FOR MANUFACTURED FIBER

Extension of Time for Filing Further Comments

On April 3, 1968, the Commission issued a notice of proposed rule making relative to the application of The Rohm and Haas Co., Philadelphia, Pa. 19105, for the establishment of generic name for a manufactured fiber produced by said applicant. Such notice was published in the FEDERAL REGISTER on April 6, 1968, and provided that an oral hearing would be held on the matter on May 21, 1968, and that interested parties could participate by submitting their views, arguments, and other pertinent data on or before the date of the oral hearing and that further views, arguments, and data could be submitted in writing at any time within 30 days thereafter.

On petition of certain interested parties the time for filing further written views, arguments, and data is extended to July 22, 1968.

Issued: June 20, 1968.

By the Commission.

[SEAL] JOSEPH W. SHEA,
Secretary.

[F.R. Doc. 68-7506; Filed, June 24, 1968; 8:48 a.m.]

Notices

DEPARTMENT OF STATE

Agency for International Development

OFFICE OF PROCUREMENT, DIRECTOR, DEPUTY DIRECTOR, ET AL.

Redelegation of Authority Regarding Contracting Functions

Pursuant to the authority delegated to me by Delegation of Authority No. 17.1, as amended, from the Administrator of the Agency for International Development, I hereby redelegate to the Director, and Deputy Director of the Office of Procurement, and to the Chief, Contract Services Division, Chief, Contract Operations Branch, and to the Senior Contract Specialists, Contract Operations Branch, authority to sign or approve:

1. (a) Contracts and amendments to contracts financed in whole or in part by A.I.D., other than contracts exclusively for the supply of commodities; and grants, and amendments to grants, other than to foreign governments, agencies of foreign governments, or international organizations;

(b) Letters of Commitment, and Notices of Approval for Financing of Cooperating Country contracts for the type of contracts described in (a) above;

(c) Project Implementation Orders—Technical Services (PIO/T);

(d) Amendments or Modifications (pursuant to Executive Order 11223) of A.I.D.-financed contracts entered into with nonprofit institutions under which no fee is charged or paid, where the amendment or modification is requested by the contractor and does not involve a consideration for the United States: *Provided*, That all such amendments or modifications are requested prior to final payment under the contract: *And provided further*, That all such amendments or modifications involving $25,000 or more have my specific approval.

2. The authority herein delegated to the officers named above may not be further redelegated by such officers, but may be exercised by duly authorized persons who are performing the functions of such officers in an acting capacity.

3. The authorities delegated herein are to be exercised in accordance with regulations, procedures and policies now or hereafter established or modified and promulgated with the Agency for International Development.

4. The redelegations of authority with respect to contracting functions, from the Assistant Administrator for Material Resources to the Chief, Assistant Chief and Assistant Chief for Operations of the Contract Services Division, contained in the redelegation of authority dated November 10, 1965, are revoked hereby.

5. This redelegation of authority shall be effective immediately.

Dated: April 29, 1968.

H. Rex Lee,
Assistant Administrator for Administration.

[F.R. Doc. 68-7505; Filed, June 24, 1968; 8:48 a.m.]

DEPARTMENT OF DEFENSE

Office of the Secretary of Defense

CHECKS DRAWN ON TREASURER OF UNITED STATES

Delegation of Authority To Issue Substitutes

The Deputy Secretary of Defense approved the following on March 1, 1968:

Reference (a): Code of Federal Regulations, Title 31—Money and Finance: Treasury, Chapter 11, Part 365, Section 365.8.

The authority delegated to the Secretary of Defense under Reference (a) to provide by regulations for the issuance of substitutes for checks drawn for pay and allowances of civilian and military personnel and which are lost, stolen, or destroyed in shipment between military offices or installations, is hereby delegated to the Secretaries of the Military Departments, Directors of Defense Agencies, or their designees.

Regulations proposed by the Military Departments and Defense Agencies to carry out the purposes of this Directive shall be submitted to the Assistant Secretary of Defense (Comptroller) for review and approval prior to publication.

Maurice W. Roche,
Director, Correspondence and Directives Division OASD (Administration).

[F.R. Doc. 68-7507; Filed, June 24, 1968; 8:48 a.m.]

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[Serial No. I-2316]

IDAHO

Notice of Proposed Classification of Public Lands

June 17, 1968.

1. Pursuant to the Act of September 19, 1964 (78 Stat. 986; 43 U.S.C. 1411–18) and to the regulations in 43 CFR, Parts 2410 and 2411, it is proposed to classify for retention and multiple-use management the public lands within the area described in paragraph 2. Publication of this notice (a) segregates all the public lands described in this notice from appropriation under the agricultural land laws (43 U.S.C., Parts 7 and 9; 25 U.S.C., sec. 334) and from sale under section 2455 of the Revised Statutes (43 U.S.C. 1171), and (b) further segregates the lands described in paragraph 3 of this notice from the operation of the general mining laws (30 U.S.C., Chapter 2). Except as provided in (a) and (b) above, the lands shall remain open to all other applicable forms of appropriation, including the mining and mineral leasing laws.

As used herein, "public lands" means any lands withdrawn or reserved by Executive Order No. 6910 of November 26, 1934, as amended, or within a grazing district established pursuant to the Act of June 28, 1934 (48 Stat. 1269), as amended, which are not otherwise withdrawn or reserved for a Federal use or purpose.

2. Public lands proposed for classification are as follows, and are part of Twin Falls County. They are shown on maps on file in the Burley District Office, Bureau of Land Management, and in the Land Office, Bureau of Land Management, 550 West Fort Street, Boise, Idaho:

T. 9 S., R. 13 E., B.M., Idaho,
Sec. 1, lot 1, SE¼SW¼;
Sec. 11, E½SE¼;
Sec. 12, W½NW¼, SW¼, W½SE¼;
Sec. 13, W½NW¼, NE¼NW¼, NW¼SW¼;
Sec. 14, E½E½;
Sec. 23, W½E½, NE¼NE¼;
Sec. 25, S½S½;
Sec. 26, W½NE¼, SE¼NE¼, NW¼SE¼, E½SE¼;
Sec. 35, NE¼NE¼.

T. 10 S., R. 13 E., B.M., Idaho,
Sec. 1, lots 3 and 4;
Sec. 10, SW¼SW¼;
Sec. 20, E½SE¼, SE¼NE¼;
Sec. 21, W½NW¼;
Sec. 29, E½NE¼, NE¼SE¼;
Sec. 28, SW¼NW¼, W½SW¼, SE¼SW¼;
Sec. 33, E½NW¼, NW¼SW¼.

T. 11 S., R. 13 E., B.M., Idaho,
Sec. 4, SE¼, E½SW¼;
Sec. 9, NE¼, E½SE¼, NE¼NW¼;
Sec. 10, S½, W½NW¼, SE¼NE¼;
Sec. 13, W½SW¼, SE¼SW¼, SW¼SE¼;
Sec. 14, S½, S½N½, NW¼NW¼;
Sec. 15, N½, N½SE¼, SE¼SE¼;
Sec. 23, N½NE¼;
Sec. 24, N½NW¼, SE¼NW¼, NW¼NE¼, S½NE¼, NE¼SE¼.

T. 8 S., R. 14 E., B.M., Idaho,
Sec. 29, lots 3 and 4, S½NW¼, W½SE¼, SW¼;
Sec. 31, lot 4, E½SW¼, SE¼NE¼.

T. 9 S., R. 14 E., B.M., Idaho,
Sec. 6, lots 2, 3, 4 (113.90 acres);
Sec. 9, NW¼NW¼, SW¼NE¼;
Sec. 11, lot 10 (10.70 acres);
Sec. 12, SE¼SE¼;
Sec. 17, NW¼SE¼.

T. 10 S., R. 14 E., B.M., Idaho,
Sec. 30, NE¼NE¼.

T. 11 S., R. 14 E., B.M., Idaho,
Sec. 10, SE¼, SE¼SW¼;
Sec. 11, SE¼, S½SW¼, NE¼SW¼, SE¼NE¼;
Sec. 12, S½, SE¼NE¼;
Sec. 20, S½S½, NE¼SE¼, E½NE¼;
Sec. 19, lots 2, 3, 4 (114.45 acres), E½SW¼, SE¼NW¼, S½SE¼, NW¼SE¼;
Sec. 30, NE¼, NE¼SE¼, NE¼NW¼;
Sec. 32, N½NE¼, SE¼NE¼;
Sec. 33, N½, SE¼, W½SW¼;
Secs. 13, 14, 15, 21, 22, 23, 24, 25, 26, 27, 28, 29, 34, and 35.

T. 12 S., R. 14 E., B.M., Idaho,
Sec. 1, lots 1, 2, 3, 4 (165.52 acres), S½N½, S½;
Sec. 2, lots 1, 2, 3, 4 (170.56 acres), S½N½, S½;
Sec. 3, lots 1, 2, 3, 4 (173.08 acres), S½N½, S½;
Sec. 4, lots 1, 2, 3 (131.14 acres), S½NE¼, SE¼;
Sec. 9, E½NE¼, NE¼SE¼;
Sec. 14, N½, SE¼, NE¼SW¼;
Sec. 15, N½NE¼, NE¼NW¼;
Sec. 25, NE¼, E½NW¼, N½SE¼, SE¼SE¼;
Secs. 10, 11, 12, 13, and 24.

T. 13 S., R. 14 E., B.M., Idaho,
Sec. 25, E½SE¼, SE¼NE¼.

T. 15 S., R. 14 E., B.M., Idaho,
Sec. 25, E½SE¼.

T. 16 S., R. 14 E., B.M., Idaho,
Sec. 1, E½NE¼.

T. 11 S., R. 15 E., B.M., Idaho,
Sec. 1, SW¼;
Sec. 2, lots 1, 2 (79.72 acres), S½N½, S½;
Sec. 3, lots 1, 2 (79.41 acres), S½NE¼, E½SE¼, S½SW¼, NW¼SW¼;
Sec. 4, SW¼, W½SE¼;
Sec. 5, SE¼, S½SW¼;
Sec. 7, lots 2, 3, 4 (113.23 acres), E½, E½SW¼, E½NW¼;
Sec. 9, S½, S½N½, N½NW¼;
Sec. 12, W½, W½NE¼;
Sec. 13, W½, W½E½, SE¼SE¼;
Sec. 18, lots 1, 2, 3, 4 (151.80 acres), E½W½, E½;
Sec. 19, lots 1, 2, 3, 4 (152.08 acres), E½W½, E½;
Sec. 30, lots 1, 2, 3, 4 (152.40 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (153.04 acres), E½W½, E½;
Secs. 8, 10, 11, 14, 15, 17, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 32, 33, 34, and 35.

T. 12 S., R. 15 E., B.M., Idaho,
Sec. 1, lots 1, 2, 3, 4 (160.80 acres), S½N½, S½;
Sec. 2, lots 1, 2, 3, 4 (161 acres), S½N½, S½;
Sec. 3, lots 1, 2, 3, 4 (161.20 acres), S½N½, S½;
Sec. 4, lots 1, 2, 3, 4 (162.60 acres), S½N½, S½;
Sec. 5, lots 1, 2, 3, 4 (163 acres), S½N½, S½;
Sec. 6, lots 1, 2, 3, 4, 5, 6, 7 (276.54 acres), S½NE¼, SE¼NW¼, SE¼, E½SW¼;
Sec. 7, lots 1, 2, 3, 4 (156.36 acres), E½W½, E½;
Sec. 13, NW¼, W½NE¼, NE¼NE¼;
Sec. 14, N½;
Sec. 15, N½N½;
Sec. 18, lots 1, 2, 3, 4 (156.08 acres), E½W½, E½;
Sec. 19, lots 1, 2, 3, 4 (157.36 acres), E½W½, E½;
Sec. 22, SW¼, S½NW¼;
Sec. 30, lots 1, 2, 3, 4 (158.88 acres), E½W½, E½;
Sec. 31, lots 1 and 2 (79.76 acres), E½NW¼, E½;
Sec. 34, S½S½, NW¼SW¼, NE¼SE¼;
Secs. 8, 9, 10, 11, 12, 17, 20, 21, 28, 29, 32, and 33.

T. 13 S., R. 15 E., B.M., Idaho,
Sec. 2, S½SW¼, NW¼SW¼, SW¼NW¼;
Sec. 3, lots 1, 2, 3, 4 (152.04 acres), S½N½, S½;
Sec. 4, lots 1, 2, 3, 4 (152.88 acres), S½N½, S½;
Sec. 5, lots 1, 2, 3, 4 (153.76 acres), S½N½, S½;
Sec. 6, lots 1 and 2 (76.56 acres), S½NE¼, SE¼;
Sec. 7, E½;
Sec. 11, W½, W½SE¼, SW¼NE¼;
Sec. 12, SE¼, E½SW¼;
Sec. 18, lots 3 and 4 (100.49 acres), E½SW¼, SE¼NW¼, E½;
Sec. 19, lots 1, 2, 3, 4 (202.32 acres), E½W½, E½;
Sec. 30, lots 1, 2, 3, 4 (203.32 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (203.32 acres), E½W½, E½;
Secs. 8, 9, 10, 13, 14, 15, 17, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 32, 33, 34, and 35.

T. 14 S., R. 15 E., B.M., Idaho,
Sec. 1, lots 1, 2, 3, 4 (158.91 acres), S½N½, N½S½, SE¼SE¼, SW¼SW¼;
Sec. 2, lots 1, 2, 3, 4 (158.51 acres), S½N½, S½;
Sec. 3, lots 1, 2, 3, 4 (158.94 acres), S½N½, S½;
Sec. 4, lots 1, 2, 3, 4 (160 acres), S½N½, S½;
Sec. 5, lots 1, 2, 3, 4 (161.36 acres), S½N½, S½;
Sec. 6, lots 1, 2, 3, 4, 5, 6, and 7 (326.31 acres), SE¼NW¼, N½NE¼, E½SW¼, SE¼;
Sec. 7, lot 1 (51.49 acres), E½NW¼, NE¼SW¼, E½;
Sec. 12, E½NE¼;
Sec. 13, NW¼, SE¼NE¼, S½;
Sec. 14, SE¼SE¼;
Sec. 15, NW¼, N½NE¼.

T. 14 S., R. 15 E., B.M., Idaho,
Sec. 17, lots 1, 2, 3 (84.10 acres), N½NW¼, SE¼NW¼, E½SW¼, E½;
Sec. 18, lot 10 (1.61 acres), NW¼NE¼;
Sec. 19, E½E½, SW¼SE¼;
Sec. 21, W½W½;
Sec. 24, E½W½, E½;
Sec. 26, E½NE¼, S½NW¼;
Sec. 27, N½, SW¼, W½SE¼;
Sec. 28, E½E½, W½W½, SE¼SW¼;
Sec. 30, E½, NE¼SW¼;
Sec. 31, E½E½, W½SE¼;
Sec. 33, S½, W½NW¼, NE¼NW¼, W½NE¼;
Sec. 34, S½, NW¼;
Sec. 35, E½E½;
Secs. 8, 9, 10, 20, 25, 29, 32.

T. 15 S., R. 15 E., B.M., Idaho,
Sec. 1, lots 1, 2, 3, 4 (158.60 acres), S½N½, S½;
Sec. 2, lot 1 (39.28 acres), SE¼NE¼, NE¼SE¼, S½SW¼, NW¼SW¼;
Sec. 3, lots 2, 3, 4 (117.57 acres), S½NW¼, SW¼NE¼, S½;
Sec. 4, lots 1, 2, 3, 4 (157.12 acres), S½N½, S½;
Sec. 5, lots 1, 2, 3, 4 (156.92 acres), S½N½, S½;
Sec. 6, lot 1 (39.29 acres), SE¼NE¼, NE¼SE¼;
Sec. 8, N½, E½SW¼, SW¼SW¼;
Sec. 18, E½;
Sec. 19, lot 5 (40 acres), E½, SE¼SW¼;
Sec. 30, lots 2, 3, 4, 5, 6, 7, and 8 (195.45 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4, 5, 6, 7, 8 (208.28 acres), E½W½, E½;
Secs. 9, 10, 11, 12, 13, 14, 15, 17, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 32, 33, 34, and 35.

T. 16 S., R. 15 E., B.M., Idaho,
Sec. 6, lots 1, 2, 3, 4, 5, 6, 7 (328.78 acres), SE¼NW¼, S½NE¼, E½SW¼, SE¼;
Sec. 7, NE¼, NE¼NW¼, E½SE¼;
Sec. 12, N½, SE¼, S½SW¼, NW¼SW¼;
Sec. 18, E½E½;
Sec. 20, E½, E½NW¼, NW¼NW¼;
Sec. 28, lots 1, 2, 3, 4, N½S½, N½ (lots=181.72 acres);
Sec. 29, lots 3 and 4 (78.12 acres), NE¼SE¼, E½NE¼;
Sec. 34, lots 1, 2, 3, 4 (54 acres);
Sec. 35, lots 1, 2, 3, 4 (71.14 acres);
Secs. 1, 2, 3, 4, 5, 8, 9, 10, 11, 13, 14, 15, 17, 21, 22, 23, 24, 25, 26, 27.

T. 9 S., R. 16 E., B.M., Idaho,
Sec. 18, lots 17, 18, and 20;
Sec. 21, lot 3;
Sec. 24, lots 5, 6, and 13.

T. 11 S., R. 16 E., B.M., Idaho,
Sec. 5, SE¼SE¼;
Sec. 8, E½NE¼;
Sec. 19, N½NE¼, E½NW¼, lots 1 and 2 (78.31 acres);
Sec. 22, NE¼SW¼, W½SE¼, SE¼SE¼;
Sec. 30, lots 1, 2, 3, 4 (157.20 acres), E½W½, N½NE¼, S½SE¼;
Sec. 31, lots 1, 2, 3, 4 (157.72 acres), E½W½, E½;
Sec. 32, NW¼SW¼;
Sec. 34, NE¼, N½SE¼, SE¼SE¼;
Sec. 35, W½, W½SE¼.

T. 12 S., R. 16 E., B.M., Idaho,
Sec. 1, lots 1, 2, 3, 4 (158.20 acres), S½N½, S½;
Sec. 2, lots 1, 2, 3, 4 (156.48 acres), S½N½, S½;
Sec. 3, lot 1 (39.15 acres), S½NE¼, E½SE¼, SE¼NW¼, SW¼;
Sec. 4, SE¼;
Sec. 5, lots 3 and 4 (80.44 acres), S½NW¼, SW¼, W½SE¼;
Sec. 6, lots 1, 2, 3, 4, 5, 6, and 7 (278.68 acres), SE¼NW¼, N½NE¼, E½SW¼, SE¼;
Sec. 7, lots 1, 2, 3, 4 (157.96 acres), E½W½, NE¼, N½SE¼, SW½SE¼;
Sec. 8, all;
Sec. 9, W½SW¼, E½NE¼, NE¼SE¼;
Sec. 10, all;
Sec. 11, W½, SE¼, S½NE¼;
Sec. 13, W½W½, SE¼SW¼;
Sec. 14, N½, SW¼, S½SE¼;
Sec. 15, N½, SE¼;
Sec. 17, E½, E½W½;
Sec. 20, N½, NW¼SW¼;
Sec. 21, N½N½, SW¼NW¼, SE¼NE¼;
Sec. 22, NE¼;
Sec. 23, N½, SE¼, E½SW¼, NW¼SW¼;
Sec. 24, NW¼;
Sec. 34, SW¼NW¼, NW¼NW¼, NW¼SW¼.

T. 13 S., R. 16 E., B.M., Idaho,
Sec. 7, lot 4 (50.90 acres), SE¼SW¼;
Sec. 13, N½, SW¼;
Sec. 14, all;
Sec. 15, E½NE¼, SW¼NE¼, SE¼NW¼, SE¼, E½SW¼, SW¼SW¼;
Sec. 18, lots 1, 2, 3, 4 (204.33 acres), E½NW¼;
Sec. 19, lots 1, 2, 3, 4 (205.39 acres), E½SW¼, S½SE¼, NE¼SE¼, SE¼NE¼;
Sec. 20, S½SW¼, NW¼SW¼, SW¼NW¼, NE¼NW¼, SW¼SE¼;
Sec. 22, E½NW¼, NE¼, N½SE¼, E½SW¼, SW¼SW¼;
Sec. 23, NW¼, N½NE¼;
Sec. 24, NW¼NW¼;
Sec. 29, S½, NW¼;
Sec. 30, lots 1, 2, 3, 4 (206.25 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (207.32 acres), E½W½, E½;
Sec. 32, W½, W½NE¼.

T. 14 S., R. 16 E., B.M., Idaho,
Sec. 5, lots 2, 3, 4 (119.55 acres), N½NW¼, SW¼NE¼, S½;
Sec. 6, lots 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11 (327.95 acres), SE¼NW¼, S½NE¼, E½SW¼, SE¼;
Sec. 7, lots 1 and 8 (52 acres), E½NW¼, NE¼, NE¼SE¼;
Sec. 8, NW¼, W½NE¼, NE¼NE¼, NW¼SE¼, NW¼SW¼;
Sec. 10, NW¼, N½NE¼, SW¼NE¼, W½SW¼, NE¼SW¼;
Sec. 12, SE¼SW¼, S½SE¼;
Sec. 13, lots 1, 2, 3 (123.95 acres), S½NE¼, SE¼NW¼, N½SE¼, SW¼SE¼, SW¼;
Sec. 18, lot 7 (52.66 acres), E½SW¼, W½SE¼;
Sec. 19, lots 1, 2, 3, 4 (211.32 acres), E½W½;
Sec. 20, SW¼;
Sec. 22, SE¼;
Sec. 23, S½, NE¼;
Sec. 24, W½W½;
Sec. 25, SW¼NE¼;
Sec. 26, NW¼NE¼, S½SE¼, E½SW¼;
Sec. 27, N½, W½SE¼, SW¼;
Sec. 28, all;
Sec. 29, NW¼;
Sec. 30, lots 1, 2, 3, 4 (212.14 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (212.60 acres), E½W½, E½;
Sec. 32, W½;
Sec. 33, E½;
Sec. 34, W½;
Sec. 35, N½, W½SW¼, SE¼SW¼.
T. 15 S., R. 16 E., B.M., Idaho,
Sec. 1, lots 1, 2 (79.82 acres), S½NE¼, NW¼SE¼;
Sec. 2, lots 2, 3, 4 (119.86 acres), S½NW¼, N½SW¼, SW¼NE¼, NW¼SE¼, SE¼SE¼;
Sec. 3, lot 1 (40.17 acres), SE¼NE¼, E½SE¼, NW¼SE¼, NE¼SW¼, SE¼NW¼;
Sec. 4, lots 1, 2 (80.47 acres), S½NE¼;
Sec. 5, lot 3 (40.13 acres), SE¼NW¼, NE¼SW¼;
Sec. 6, lots 2, 3, 4, 5, 6, 7 (294 acres), SW¼NE¼, SE¼NW¼, E½SW¼, SE¼;
Sec. 7, lots 1, 2, 3, 4 (214.72 acres), E½W½, E½;
Sec. 8, W½SW¼;
Sec. 10, W½NE¼;
Sec. 11, NE¼NE¼;
Sec. 12, E½NW¼, NE¼NE¼;
Sec. 14, E½NE¼;
Sec. 17, W½, W½SE¼, SE¼SE¼, SW¼NE¼;
Sec. 18, lots 1, 2, 3, 4 (215.12 acres), E½W½, NE¼, E½SE¼, SW¼SE¼;
Sec. 19, lots 1, 2, 3, 4 (216.32 acres), E½W½, W½SE¼;
Sec. 20, SW¼, NE¼, N½NW¼, SE¼NW¼;
Sec. 21, W½SE¼;
Sec. 22, S½SW¼, NE¼SE¼;
Sec. 23, W½NW¼, N½SW¼;
Sec. 27, E½E½, N½NW¼, SW¼NW¼;
Sec. 28, NE¼SE¼;
Sec. 29, W½;
Sec. 30, lots 1, 2, 3, 4 (217.92 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (218.16 acres), E½W½, E½;
Sec. 32, all;
Sec. 33, S½;
Sec. 34, SW¼SW¼;
Sec. 35, E½SW¼, SE¼, E½NE¼.
T. 16 S., R. 16 E., B.M., Idaho,
Sec. 1, N½;
Sec. 2, NE¼, NW¼SE¼;
Sec. 3, W½W½;
Sec. 6, lots 1, 2, 3, 4 (217.06 acres), E½W½;
Sec. 7, lots 1, 2, 3, 4 (217.16 acres), E½W½;
Sec. 10, W½W½, S½SE¼;
Sec. 12, E½W½, E½;
Sec. 14, SE¼;
Sec. 18, lots 1, 2, 3, 4 (218.37 acres), E½W½, E½;
Sec. 19, lots 1, 2, 3, 4 (220.24 acres), E½W½, E½;
Sec. 20, N½, N½SW¼, SE¼;
Sec. 24, W½, SE¼;
Sec. 29, S½S½, N½NE¼;
Sec. 30, lots 1, 2, 3, 4 (221.90 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (132.93 acres);
Sec. 32, lots 1, 2, 3, 4 (156.63 acres);
Sec. 33, lots 1, 2, 3, 4 (164.32 acres);
Sec. 34, lots 1, 2, 3, 4 (168.12 acres);
Sec. 35, lots 1, 2, 3, 4 (171.66 acres);
Secs. 13, 15, 17, 21, 22, 23, 25, 26, 27, and 28.
T. 9 S., R. 17 E., B.M., Idaho,
Sec. 30, lots 10, 11, 12;
Sec. 33, lot 3;
Sec. 34, lots 15, 16, 17.
T. 11 S., R. 17 E., B.M., Idaho,
Sec. 19, SE¼;
Sec. 20, SW¼, W½SE¼, SE¼SE¼;
Sec. 28, S½S½;
Sec. 29, W½;
Sec. 30, lots 1, 2, 3, 4 (83.34 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (87.87 acres), E½W½, E½;
Sec. 32, all;
Sec. 33, all;
Sec. 34, W½, W½E½;
Sec. 35, E½NW¼, W½NE¼, SE¼NE¼, NE¼SW¼, SE¼.
T. 12 S., R. 17 E., B.M., Idaho,
Sec. 1, lots 1, 2, 3, 4 (159.58 acres), S½N½, S½;
Sec. 2, lots 3, 4 (81.26 acres), S½NW¼, W½SW¼, E½SE¼;
Sec. 3, lot 3 (40.08 acres), SE¼NW¼, SW¼, W½SE¼, NE¼SE¼;
Sec. 4, lots 1, 2, 3, 4 (158.99 acres), S½N½, W½SW¼;
Sec. 5, lots 1, 2, 3, 4 (162.51 acres), S½N½, S½;
Sec. 6, lots 1, 2, 3, 4, 5, 6, 7 (205.01 acres), SE¼NW¼, S½NE¼, SE¼, E½SW¼;
Sec. 7, lots 1, 2, 3, 4 (76.03 acres), E½W½, E½;
Sec. 8, N½;
Sec. 9, N½NW¼, SW¼SW¼;
Sec. 10, N½, N½SE¼, SW¼SE¼, SW¼;
Sec. 11, NW¼NW¼, E½SW¼, E½;
Sec. 14, E½, E½W½, W½SW¼, SW¼NW¼;
Sec. 15, SE¼SE¼, NW¼NE¼, N½NW¼;
Sec. 21, SW¼, NW¼SE¼, W½NE¼, E½NE¼;
Sec. 22, E½E½;
Sec. 27, NE¼NE¼, SW¼SW¼;
Sec. 28, NW¼, SW¼NE¼, NW¼SE¼, N½SW¼;
Sec. 29, E½, E½SW¼;
Sec. 31, lots 2, 3, 4 (59.58 acres), E½SW¼, SE¼, SE¼NE¼, lot 1 (20.21 acres);
Sec. 32, NE¼NW¼, NE¼, S½NW¼, S½;
Sec. 33, S½S½;
Sec. 34, E½E½, SW¼NE¼;
Sec. 35, N½, SW¼, NE¼SE¼;
Secs. 12, 13, 23, 24, 25, 26.
T. 13 S., R. 17 E., B.M., Idaho,
Sec. 5, lots 1, 2, 3, 4 (153.61 acres), S½N½, S½;
Sec. 6, lots 1, 2, 3, 4, 5 (197.72 acres), N½NE¼, SE¼NW¼, SE¼;
Sec. 7, lots 1, 2, 3, 4 (175.04 acres), E½W½, E½;
Sec. 8, all;
Sec. 17, N½NW¼, SW¼NW¼, NW¼SW¼;
Sec. 18, lots 1, 2, 3 (131.18 acres), E½NW¼, NE¼SW¼, NW¼SE¼, NE¼.
T. 14 S., R. 17 E., B.M., Idaho,
Sec. 4, lots 1 and 2 (81.77 acres), W½SE¼, E½SW¼, S½NE¼;
Sec. 19, E½NW¼, W½NE¼, SE¼SE¼;
Sec. 20, S½, E½NW¼, E½NE¼;
Sec. 27, NW¼;
Sec. 29, W½, N½NE¼;
Sec. 30, E½NE¼;
Sec. 31, SE¼SE¼;
Sec. 32, W½, W½E½.
T. 15 S., R. 17 E., B.M., Idaho,
Sec. 5, lot 4 (40.63 acres);
Sec. 6, lots 1, 2, 3, 4, 5 (206.89 acres), S½NE¼, SE¼, SE¼SW¼;
Sec. 7, lot 4 (43.76 acres), E½SW¼, W½E½, NE¼NW¼, NE¼NE¼;
Sec. 18, lots 1, 2, 3, 4 (176.52 acres), NE¼NW¼, SE¼SW¼;
Sec. 19, lots 1, 2, 3, 4 (178.92 acres), E½W½, S½SE¼;
Sec. 30, lots 1, 2, 3, 4 (181 acres), E½W½, N½NE¼, S½SE¼;
Sec. 31, lots 1, 2, 3, 4 (182.48 acres), E½W½, E½;
Sec. 32, all;
Sec. 33, W½, SE¼, S½NE¼, NW¼NE¼;
Sec. 34, W½, SE¼SE¼, W½E½;
Sec. 35, S½SW¼.
T. 16 S., R. 17 E., B.M., Idaho,
Sec. 1, NW¼;
Sec. 2, E½, NW¼, N½SW¼, SE¼SW¼;
Sec. 3, N½, SW¼, N½SE¼;
Sec. 6, lots 1, 2, 3, 4 (184.44 acres), E½W½, E½;
Sec. 7, lots 1, 2, 3, 4 (186.88 acres), E½W½, E½;
Sec. 10, W½;
Sec. 11, SW¼SW¼, SE¼SE¼, NE¼NW¼, N½NE¼;
Sec. 12, S½S½;
Sec. 13, N½, N½SW¼, NW¼SE¼, SW¼SW¼;
Sec. 15, W½;
Sec. 18, lots 1, 2, 3, 4 (188.48 acres), E½W½, E½;
Sec. 19, lots 1, 2, 3, 4 (190.20 acres), E½W½, E½;
Sec. 22, W½;
Sec. 23, NW¼, E½SW¼, N½NE¼, SE¼NE¼, SE¼SE¼;
Sec. 24, SW¼, S½SE¼, NW¼SE¼, W½NW¼;
Sec. 26, E½E½, W½SW¼;
Sec. 27, W½, SE¼, S½NE¼;
Sec. 30, lots 1, 2, 3, 4 (191.32 acres), E½SW¼, SE¼, E½NE¼;
Sec. 31, lots 1, 2, 3, 4 (169.01 acres);
Sec. 32, lots 1, 2, 3, 4 (159.28 acres);
Sec. 33, lots 1, 2, 3, 4 (156.48 acres);
Sec. 34, lots 1, 2, 3, 4 (154.04 acres);
Sec. 35, lots 1, 4 (76.44 acres);
Secs. 4, 5, 8, 9, 14, 17, 20, 21, 25, 28, and 29.
T. 9 S., R. 18 E., B.M., Idaho,
Sec. 32, lots 7 and 8;
Sec. 33, lot 2.
T. 10 S., R. 18 E., B.M., Idaho,
Sec. 3, lot 9, SW¼SW¼;
Sec. 4, lot 4, NW¼SE¼;
Sec. 10, lots 4 and 5;
Sec. 11, lots 3, 4, 7, 8, NW¼SW¼;
Sec. 12, lots 2, 6, 7.
T. 11 S., R. 18 E., B.M., Idaho,
Sec. 19, lots 2, 3, 4 (72.31 acres), E½SW¼;
Sec. 30, SE¼SW¼, N½NW¼;
Sec. 33, E½SE¼;
Sec. 34, SW¼, S½NW¼.
T. 12 S., R. 18 E., B.M., Idaho,
Sec. 1, SE¼;
Sec. 2, lots 1, 2, 3, 4 (160.64 acres), S½N½, SW¼, W½SE¼;
Sec. 3, lots 1, 2, 3, 4 (160.60 acres), S½NW¼, SE¼NE¼, S½;
Sec. 4, lots 1 and 4 (81.04 acres), S½N½, S½;
Sec. 5, lot 1 (40.66 acres), SE¼NE¼, NE¼SE¼, S½S½;
Sec. 6, lot 7 (26.21 acres), E½SW¼, SE¼NW¼, S½NE¼, SE¼;
Sec. 7, lots 1, 2, 3, 4 (106.40 acres), E½W½, E½;
Sec. 8, W½W½, NE¼NW¼, SE¼SW¼, E½E½;
Sec. 11, W½, W½E½;
Sec. 12, E½SW¼, E½;
Sec. 13, NE¼, E½SE¼;
Sec. 14, NW¼, S½NE¼, NW¼NE¼, S½;
Sec. 15, W½E½, W½;
Sec. 17, NW¼NW¼, NE¼NE¼, S½N½, S½;

Sec. 18, lots 1, 2, 3, 4 (108.36 acres), E½W½, E½;
Sec. 19, lots 1, 2, 3, 4 (111.28 acres), E½W½, E½;
Sec. 24, E½W½, E½;
Sec. 25, E½, E½NW¼, NE¼SW¼;
Sec. 30, lots 1, 2, 3, 4 (112.50 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (113.38 acres), E½W½, E½;
Secs. 9, 10, 20, 21, 22, 23, 26, 27, 28, 29, 32, 33, 34, and 35.

T. 15 S., R. 18 E., B.M., Idaho,
Sec. 31, lot 4 (43.84 acres), SE¼SW¼;
Sec. 32, S½SW¼, SE¼;
Sec. 33, W½SW¼.

T. 16 S., R. 18 E., B.M., Idaho,
Sec. 7, lot 4 (44.24 acres);
Sec. 18, NW¼SE¼;
Sec. 21, NE¼NW¼, NE¼SW¼;
Sec. 29, S½;
Sec. 30, lots 1, 2, 3, 4 (178 acres), E½W½, E½;
Sec. 31, lots 1, 2, 3, 4 (156.74 acres);
Sec. 32, lots 1, 2, 3, 4 (152.52 acres);
Sec. 33, lots 1, 2, 3, 4 (152.31 acres).

T. 10 S., R. 19 E., B.M., Idaho,
Sec. 7, lot 8;
Sec. 15, lot 3;
Sec. 24, lot 3;
Sec. 25, lot 2;
Sec. 26, SE¼SE¼.

T. 11 S., R. 19 E., B.M., Idaho,
Sec. 10, S½SW¼.

T. 10 S., R. 20 E., B.M., Idaho,
Sec. 35, SW¼SW¼.

T. 11 S., R. 20 E., B.M., Idaho,
Sec. 4, lot 3;
Sec. 6, lot 1;
Sec. 17, SW¼SW¼, E½SW¼, W½SE¼, SE¼SE¼.

T. 10 S., R. 21 E., B.M., Idaho,
Sec. 29, lot 5.

The area described under paragraph 2 contains approximately 238,658 acres of public lands.

3. As provided in paragraph 1 above, the following lands are further segregated from appropriation under the general mining laws:

T. 9 S., R. 13 E., B.M., Idaho,
Sec. 1, lot 1 (62.43 acres), SE¼SW¼;
Sec. 11, E½SE¼;
Sec. 12, W½NW¼, NW¼SW¼;
Sec. 14, E½E½;
Sec. 23, W½E½, NE¼NE¼;
Sec. 26, W½NE¼, NW¼SE¼, E½SE¼;
Sec. 35, NE¼NE¼.

T. 10 S., R. 13 E., B.M., Idaho,
Sec. 1, lots 3 and 4 (80.10 acres);
Sec. 10, SW¼SW¼;
Sec. 20, E½SE¼, SE¼NE¼;
Sec. 21, W½NW¼ (Balanced Rock Rec. Site, county);
Sec. 29, E½NE¼, NE¼SE¼;
Sec. 28, SW¼NW¼, W½SW¼, SE¼SW¼;
Sec. 33, E½NW¼, NW¼SW¼.

T. 8 S., R. 14 E., B.M., Idaho,
Sec. 29, lots 3 and 4 (82.50 acres), S½NW¼, SW¼, W½SE¼;
Sec. 31, lot 4 (34.12 acres), E½SW¼ (Buhl Dunes Rec. Site).

T. 14 S., R. 15 E., B.M., Idaho,
Sec. 17, W¼ (Salmon Dam Rec. Site);
Sec. 19, NE¼ (Sand Bar Bay Rec. Site).

T. 15 S., R. 15 E., B.M., Idaho,
Sec. 8, SW¼SW¼, E½SW¼ (Gray's Landing Rec. Site);
Sec. 19, N½NE¼ (Norton Bay Rec. Site).

T. 16 S., R. 15 E., B.M., Idaho,
Sec. 2, SW¼ (Rabbit Springs Rec. Site);
Sec. 6, lot 7 (52.40 acres), SE¼SW¼ (China Creek Rec. Site).

T. 9 S., R. 16 E., B.M., Idaho,
Sec. 18, lots 17, 18, 20 (19.43 acres);
Sec. 21, lot 3 (15.60 acres);
Sec. 24, lots 5, 6, 13 (66.40 acres).

T. 9 S., R. 17 E., B.M., Idaho,
Sec. 30, lots 10, 11, 12 (54 acres) (Homestead Camp and Picnic Ground Rec. Site);
Sec. 33, lot 3 (20.30 acres);
Sec. 34, lots 15, 16, 17 (75.52 acres) (Twin Falls River Park Rec. Site).

T. 12 S., R. 17 E., B.M., Idaho,
Sec. 21, NE¼NW¼ (Magic Valley Cycle Club—R&PP Rec. Site);
Sec. 31, lots 1 and 2 (40.24 acres) (Nah Supah Hot Springs Rec. Site).

T. 9 S., R. 18 E., B.M., Idaho,
Sec. 32, lots 7 and 8 (52.60 acres);
Sec. 33, lot 2 (2 acres).

T. 10 S., R. 18 E., B.M., Idaho,
Sec. 4, lot 4 (33.70 acres);
Sec. 3, lot 9 (22.60 acres);
Sec. 10, lots 4 and 5 (58.60 acres) (Hansen Bridge Overlook and Park);
Sec. 11, lots 3, 4, 7, 8 (79.40 acres), NW¼SW¼;
Sec. 12, lots 2, 6, 7 (101 acres).

T. 10 S., R. 19 E., B.M., Idaho,
Sec. 7, lot 8 (9.80 acres);
Sec. 15, lot 3 (13.30 acres);
Sec. 24, lot 3 (14.10 acres);
Sec. 25, lot 2 (17.40 acres).

T. 11 S., R. 20 E., B.M., Idaho,
Sec. 4, lot 3 (39.80 acres);
Sec. 6, lot 1 (42.74 acres);
Sec. 17, SW¼SW¼, E½SW¼, W½SE¼, SE¼SE¼.

T. 10 S., R. 21 E., B.M., Idaho,
Sec. 29, lot 5 (20.85 acres).

The area described under paragraph 3 contains approximately 4,190.93 acres of public lands.

4. For a period of sixty (60) days from the date of publication of this notice in the FEDERAL REGISTER, all persons who wish to submit comments, suggestions, or objections concerning the proposed classification may present their views in writing to the Burley District Manager, Bureau of Land Management, Post Office Box 489, Burley, Idaho 83318.

5. A public hearing on this proposed classification will be held at 10 a.m. on June 27, 1968, at the Twin Falls County Courthouse, Twin Falls, Idaho.

JOE T. FALLINI,
State Director.

[F.R. Doc. 68-7475; Filed, June 24, 1968; 8:45 a.m.]

Bureau of Land Management

CHIEF, DIVISION OF ADJUDICATION AND RECORD SERVICES AND CHIEF, BRANCH OF LANDS AND MINERALS ADJUDICATION

Redelegation of Authority

JUNE 18, 1968.

1. Pursuant to section 2.1, Bureau Order No. 701, as amended, authority is hereby redelegated to the Chief, Division of Adjudication and Record Services and Chief, Branch of Lands and Minerals Adjudication, to become effective immediately upon publication in the FEDERAL REGISTER.

(a) Chief, Division of Adjudication and Record Services, authority to take action for the Manager in matters listed in sections 2.2, 2.3, 2.4, 2.5, 2.6, and 2.9 of Part II of Bureau Order No. 701, supra.

(b) Chief, Branch of Lands and Minerals Adjudication, authority to take action for the Manager in matters listed in sections 2.6 and 2.9 of Part II of Bureau Order No. 701, supra.

2. The authority delegated in paragraph 1 may not be redelegated.

3. This redelegation of authority revokes and supersedes the redelegation of September 4, 1965 (30 F.R. 11359).

JACK F. WILSON,
Manager.

Approved: June 18, 1968.

J. R. PENNY,
California State Director.

[F.R. Doc. 68-7472; Filed, June 24, 1968; 8:45 a.m.]

[Serial No. I-2340]

IDAHO

Notice of Proposed Classification of Public Lands

JUNE 17, 1968.

1. Pursuant to the Act of September 19, 1964 (43 U.S.C. 1411-18), and to the Taylor Grazing Act of June 28, 1934 (48 Stat. 1269), as amended, and to the regulations in 43 CFR, Parts 2410 and 2411, notice is hereby given of a proposal to classify the public lands described in this notice. As used herein, "public lands" means any lands withdrawn or reserved by Executive Order No. 6910 of November 26, 1934, as amended, or within a grazing district established pursuant to the Act of June 28, 1934 (48 Stat. 1269), as amended, which are not otherwise withdrawn or reserved for a Federal use or purpose. The public lands described in this notice are shown on the Twin Falls County Classification Maps, which are on display in the District Office, Bureau of Land Management, Burley, Idaho; and in the Land Office, Bureau of Land Management, 550 West Fort Street, Boise, Idaho.

2. It is proposed that the public lands shown on the Twin Falls County Classification Maps and which are hereinafter described be classified as follows:

a. The public lands described below for disposal through public sale under section 2455 of the Revised Statutes (43 U.S.C. 1171):

BOISE MERIDIAN, IDAHO

TWIN FALLS COUNTY

T. 10 S., R. 19 E.,
Sec. 32, NW¼SE¼.

T. 11 S., R. 19 E.,
Sec. 5, S½NW¼, N½SW¼;
Sec. 6, SW¼SE¼;
Sec. 10, N½SW¼.

The public lands described above aggregate approximately 320 acres.

b. The public lands described below for disposal through exchange under section 8 of the Act of June 28, 1934 (43 U.S.C. 1272; 43 U.S.C. 315g):

BOISE MERIDIAN, IDAHO

TWIN FALLS COUNTY

T. 11 S., R. 14 E.,
Sec. 11, SE¼NE¼.

T. 12 S., R. 15 E.,
Sec. 24, SE¼SE¼;
Sec. 26, W½SW¼.

T. 12 S., R. 16 E.,
Sec. 18, NE¼SW¼, S½SE¼;
Sec. 19, lot 4 (39 acres), SE¼SW¼, SE¼SE¼, NE¼NW¼, NE¼NE¼;
Sec. 30, E½SW¼;
Sec. 34, E½SW¼, SE¼.
T. 13 S., R. 16 E.,
Sec. 2, lot 4 (39.01 acres);
Sec. 3, lots 1, 2, 3 (115.66 acres), SE¼SW¼, S½NE¼, SE¼;
Sec. 10, E½E½;
Sec. 11, W½NW¼, SW¼;
Sec. 12, SE¼SW¼, SW¼SE¼;
Sec. 17, SE¼SW¼
Sec. 27, NW¼, SW¼NE¼;
Sec. 28, SW¼SW¼;
Sec. 33, E½SW¼, SE¼;
Sec. 34, W½SW¼.
T. 14 S., R. 16 E.,
Sec. 3, lot 4 (39.72 acres);
Sec. 4, lots 1, 2 (79.48 acres), S½NE¼, SE¼;
Sec. 9, S½SE¼.
T. 11 S., R. 17 E.,
Sec. 24, E½SE¼;
Sec. 25, W½E½, SE¼SE¼.
T. 12 S., R. 17 E.,
Sec. 21, NE¼NE¼.
T. 13 S., R. 17 E.,
Sec. 19, SW¼NE¼, SE¼SE¼;
Sec. 20, SE¼;
Sec. 29, N½NE¼, SE¼NE¼, SE¼;
Sec. 32, N½NE¼.
T. 14 S., R. 17 E.,
Sec. 7, lot 4 (41.57 acres);
Sec. 22, E½SW¼, NW¼SE¼;
Sec. 27, NE¼NE¼;
Sec. 28, SE¼SE¼.
T. 15 S., R. 17 E.,
Sec. 4, lots 2, 3, 4 (120.99 acres), S½N½, W½SE¼, E½SW¼;
Sec. 9, NW¼, W½NE¼, SE¼NE¼;
Sec. 15, W½W½, SE¼NW¼, NE¼SW¼;
Sec. 22, E½;
Sec. 26, SW¼NE¼;
Sec. 27, SW¼SW¼.
T. 11 S., R. 18 E.,
Sec. 32, E½SE¼.
T. 15 S., R. 18 E.,
Sec. 29, E½NW¼.

The public lands described above aggregate approximately 5,476.35 acres.

3. Publication of this notice segregates:

a. The lands described in paragraph 2(a) from all forms of disposal under the public land laws except as to sales under section 2455 of the Revised Statutes.

b. The lands described in 2(b) from all forms of disposal under the public land laws except as to exchanges under section 8 of the Act of June 28, 1934.

4. For a period of 60 days from the date of publication of this notice in the FEDERAL REGISTER, interested parties who wish to submit comments, suggestions, or objections concerning this proposed classification may present their views in writing to the District Manager, Burley District Office, Bureau of Land Management, 200 South Oakley Highway No. 27, Burley, Idaho 83318.

JOE T. FALLINI,
State Director.

[F.R. Doc. 68-7474; Filed, June 24, 1968; 8:45 a.m.]

[AA-2717]

ALASKA

Order Opening Public Lands

1. Public Land Order No. 1297, dated April 30, 1956, revoked Executive Order No. 8789 of June 14, 1941, and provided that the status of the following described lands would not change so far as application, location, settlement, entry, or other forms of appropriation under the public land laws until further order of an authorized officer of the Bureau of Land Management.

KODIAK ISLAND

LONG ISLAND

All of Long Island and the small islands and rocks adjacent thereto, U.S. Coast and Geodetic Survey Chart No. 8570, March 1910, shows Long Island situated between 57° 44'30" and 57°47'30" N. latitudes and between 152°13' and 152°19' W. longitudes.

The area described, including both public and nonpublic lands, aggregates 1,320 acres.

KALSIN BAY AREA

Beginning at a point west of Isthmus Island on line of mean high tide on west shore of Kalsin Bay, 57°38'25" N. latitude, 152°25'-48" W. longitude, as shown on U.S. Coast and Geodetic Survey Chart No. 8570, March 1910. Thence from said initial point, west, 4 miles, across Kodiak Island, to a point; north, 1¼ miles, more or less, to a point on the south boundary of the naval reserve described in Executive Order No. 8278, October 28, 1939; east, along south boundary of the naval reserve to line of mean high tide on Middle Bay; thence along line of mean high tide with meanders of Middle Bay, Chiniak Bay, and Kalsin Bay to the place of beginning.

The area described, including both public and nonpublic lands, aggregates 3,450 acres.

2. Subject to any existing valid rights and requirements of applicable law, the lands described in paragraph 1, above, are hereby opened to selection by the State of Alaska.

Inquiries concerning the lands should be addressed to the Manager, Land Office, Bureau of Land Management, Anchorage, Alaska 99501.

BURTON W. SILCOCK,
State Director.

[F.R. Doc. 68-7473; Filed, June 24, 1968; 8:45 a.m.]

Fish and Wildlife Service

[Docket No. A-414]

JACK E. AND WINNIFRED V. CROWLEY

Notice of Loan Application

JUNE 19, 1968.

Jack E. Crowley and Winnifred V. Crowley, 400 East Street, Juneau, Alaska 99801, owners of the vessel "Nova," purchased with the aid of a Fisheries Loan to engage in the fishery for halibut, sablefish, shrimp, and albacore, have requested permission to sell the vessel "Nova" to Thomas Wellington Maloney, Box 1266, Auke Bay, Alaska 99821 and the buyer requests permission to extend his fishing operations to include fishing for crab.

Notice is hereby given that the above request is being considered by the Bureau of Commercial Fisheries, Fish and Wildlife Service, Department of the Interior, Washington, D.C. 20240. Any person desiring to submit evidence that the contemplated operation of such vessel for the requested species will cause economic hardship or injury to efficient vessel operators already operating for said species must submit such evidence in writing to the Director, Bureau of Commercial Fisheries, within 30 days from the date of publication of this notice. If such evidence is received it will be evaluated along with such other evidence as may be available before making a determination that the contemplated operations of the vessel will or will not cause such economic hardship or injury.

WILLIAM M. TERRY,
Acting Director,
Bureau of Commercial Fisheries.

[F.R. Doc. 68-7502; Filed, June 24, 1968; 8:47 a.m.]

National Park Service

OLYMPIC NATIONAL PARK, WASH.

Notice of Intention To Negotiate Concession Contract

Pursuant to the provisions of section 5, the Act of October 9, 1965 (79 Stat. 969; 16 U.S.C. 20), public notice is hereby given that thirty (30) days after the date of publication of this notice, the Department of the Interior, through the Director of the National Park Service, proposes to negotiate a concession contract with Carl G. and Isabel Hansen authorizing them to provide concession facilities and services for the public at Olympic National Park, Wash., for a period of 5 years from January 1, 1968, through December 31, 1972.

The foregoing concessioner has performed all obligations under the existing contract to the satisfaction of the National Park Service and, therefore, pursuant to the Act cited above, is entitled to be given preference in the renewal of the contract and in the negotiation of a new contract. However, under the Act cited above, the Secretary is also required to consider and evaluate all proposals received as a result of this notice. Any proposal to be considered and evaluated must be submitted within thirty (30) days after the publication date of this notice.

Interested parties should contact the Chief of Concessions Management, National Park Service, Washington, D.C. 20240, for information as to the requirements of the proposed contract.

Dated: June 14, 1968.

LESLIE P. ARNBERGER,
Acting Assistant Director,
National Park Service.

[F.R. Doc. 68-7477; Filed, June 24, 1968; 8:45 a.m.]

Office of the Secretary

FRANK DRAKE

Report of Appointment and Statement of Financial Interests

MAY 31, 1968.

Pursuant to section 302(a) of Executive Order 10647, the following information on a WOC appointee in the Department of the Interior is furnished for publication in the FEDERAL REGISTER:

Name of appointee: Frank Drake.

Name of employing agency: Department of the Interior, Office of the Assistant Secretary for Water and Power Development, Defense Electric Power Administration.

The title of the appointee's position: Deputy Director, Defense Electric Power Area 10.

The name of the appointee's private employer or employers: Union Electric Co., St. Louis, Mo.

The statement of "financial interests" for the above appointee is set forth below.

STEWART L. UDALL,
Secretary of the Interior.

STATEMENT OF FINANCIAL INTERESTS

In accordance with the requirements of section 302(b) of Executive Order 10647, I am filing the following statement for publication in the FEDERAL REGISTER:

(1) Names of any corporations of which I am, or had been within 60 days preceding my appointment, on May 31, 1968, as Deputy Director, DEPA Area 10, Defense Electric Power Administration, an officer or director:

Director—Mississippi Valley Association (Noncompensatory).

(2) Names of any corporations in which I own, or did own within 60 days preceding my appointment, any stocks, bonds, or other financial interests:

Union Electric Co.
Investors Mutual, Inc.
Fletcher's Capital Stock Fund.

(3) Names of any partnerships in which I am associated, or had been associated within 60 days preceding my appointment:

None.

(4) Names of any other businesses which I own, or owned within 60 days preceding my appointment:

None.

FRANK DRAKE.

JUNE 10, 1968.

[F.R. Doc. 68-7479; Filed, June 24, 1968; 8:45 a.m.]

Office of the Secretary

WATCHES AND WATCH MOVEMENTS

Allocation of Duty-Free Quotas for Calendar Year 1968 Among Producers Located in Guam

CROSS REFERENCE: For a document issued jointly by the Department of Commerce and the Department of the Interior relating to the allocation of duty-free quotas of watches and watch movements for the calendar year 1968 among producers located in Guam, see F.R. Doc. 68-7496, Commerce Department, *infra*.

DEPARTMENT OF COMMERCE

Office of the Secretary

[Dept. Order 5-A]

ASSISTANT SECRETARY FOR ECONOMIC DEVELOPMENT

Organization and Functions

The following order was issued by the Secretary of Commerce on June 12, 1968. This material supersedes the material appearing at 31 F.R. 16728-16729 of December 30, 1966; and 32 F.R. 10386 of July 14, 1967.

SECTION 1. *Purpose.* .01 The purpose of this order is to prescribe the scope of authority of the Assistant Secretary for Economic Development and to prescribe the functions of the Economic Development Administration.

.02 This order, together with Department Order 17 which prescribes the duties and responsibilities of the Special Assistant for Regional Economic Coordination (the "Special Assistant"), provides for carrying out the responsibilities of the Secretary of Commerce relating to regional economic development under the Public Works and Economic Development Act of 1965, as amended (42 U.S.C. 3121) (the "Act"), Executive Order 11182, and Executive Order 11386.

SEC. 2. *General.* Pursuant to the authority vested in the Secretary by law, the Economic Developmnet Administration (the "Administration") is continued as a primary operating unit of the Department of Commerce.

SEC. 3. *Designation of positions.* .01 The position of Assistant Secretary of Commerce, established by Title VI of the Act, shall continue to be designated the Assistant Secretary for Economic Development (the "Assistant Secretary"), and shall continue to serve as the operating head of the Administration.

.02 The following Deputy Assistant Secretarial positions are continued as the principal assistants of the Assistant Secretary:

Deputy Assistant Secretary for Economic Development,
Deputy Assistant Secretary for Policy Coordination,
Deputy Assistant Secretary for Economic Development Planning, and
Deputy Assistant Secretary for Economic Development Operations.

SEC. 4. *Delegation of authority.* .01 The Assistant Secretary is hereby delegated the functions, powers, duties, and authorities vested in the Secretary of Commerce by:

a. The Act except that:

1. Reports to the Congress required by section 707 of the Act shall be transmitted by the Secretary.

2. With respect to section 503(a) of the Act as it relates to comprehensive long-range development, and section 503(b) of the Act relating to plans and proposals of Regional Action Planning Commissions, this delegation shall be limited to the performance of duties included in paragraph 5.e of this order.

3. Section 503(c) of the Act relating to the provision of liaison between the Federal Government and Regional Action Planning Commissions, and section 601(a) of the Act relating to coordination of the Federal Cochairmen of the Regional Action Planning Commissions and the Federal Cochairman of the Appalachian Regional Commission, shall be excluded from this delegation.

4. Appointment of a National Public Advisory Committee on Regional Economic Development as required by section 602 of the Act shall be reserved to the Secretary.

5. Budgets relating to Federal funds and the allocation of appropriated Federal funds, for both program and administrative expenses, or of budgetary ceilings for the individual Regional Action Planning Commissions and the Appalachian Regional Commission (collectively "Regional Commissions"), shall be made or approved by the Secretary. All other responsibilities for budgetary administration and administrative control of such funds or ceilings, including the responsibility for Federal apportionment and expenditure controls, is expressly delegated to the Assistant Secretary.

b. The Manpower Development Training Act of 1962, as amended (42 U.S.C. 2571).

c. Section 217 of Public Law 89-298 (79 Stat. 1073) relating to rivers and harbors projects.

d. Other present or subsequent statutes relating to economic development, except as otherwise provided by Department order, and subject to such policies and directives as the Secretary may prescribe.

.02 The Assistant Secretary is hereby delegated such functions as are specified in paragraphs 5.d and 5.e below to assist the Secretary in carrying out functions assigned to him by Executive Orders 11182 and 11386.

.03 The Assistant Secretary may redelegate any functions, powers, duties, and authority conferred on him by this order to any officer of the Economic Development Adminstration subject to such conditions as he may prescribe.

SEC. 5. *General functions.* The Assistant Secretary shall:

a. Assume primary responsibility for domestic economic development activities of the Department of Commerce, including stimulating and assisting in economic development planning; developing and implementing programs designed to achieve economic development, alleviate poverty, and promote economic opportunity; and conducting or sponsoring research related to economic development.

b. Establish and maintain effective relations with other Federal agencies and national organizations concerned with

policies and programs for economic development and participate, when and as designated, in interagency or other committees related to economic development.

c. Designate economic development regions within the United States and invite and encourage the States wholly or partially within such regions to establish multistate regional commissions.

d. Propose general Federal policies for the Secretary to establish relating to regional economic development.

e. As an aspect of the coordinated review within the Federal Government to be obtained by the Special Assistant, review and comment on plans, programs, proposals and recommendations of the Regional Commissions and the Federal Field Committee for Development Planning in Alaska submitted by such organizations to the Secretary, collaborate with the Special Assistant in presenting such matters to the Secretary for appropriate action following the coordinated review; and provide technical staff assistance and support to the Special Assistant.

f. Provide technical assistance to the Regional Commissions which would be useful in aiding the commissions to carry out their functions including the development of recommendations and programs.

g. Develop program development criteria, standards, and other guidelines for recommended use by Regional Commissions in adopting procedures that will insure consideration of the factors enumerated in section 504 of the Act in developing regional economic development plans and projects.

i. Designate redevelopment areas, economic development districts and economic development centers in accordance with provisions of law and terminate such designations when conditions require.

j. Encourage and assist State and local agencies in preparing and carrying out economic development programs for designated areas, districts, and centers; establish guides as to nature, scope, content, and format of any overall economic development plans submitted for approval; and review, evaluate, and act upon requests for approval of overall economic development plans.

k. Consistent with approved economic development plans, encourage and assist State and local agencies in developing proposals for technical and financial assistance through loans, guarantees, and grants, including assistance for public works and development facilities; review, evaluate, and act upon requests for approval of economic development projects; and develop, issue, and interpret policy guides and criteria to be followed by other agencies performing functions under the financial assistance programs.

l. Perform or sponsor research related to the objectives of the Administration, including research requested by Regional Commissions and keep informed of related research performed by other organizations; perform or provide for growth studies for specific regions, areas, districts, and centers; perform special studies and compile information related to economic development; and make the results of research, studies, and information systems generally available for guidance of Government agencies or others interested in economic development.

m. Determine occupational training and retraining needs in redevelopment areas, in consultation with the Department of Labor, and coordinate training in accordance with applicable provisions of law.

n. Issue such rules, regulations, procedures, and directives as may be required by law or necessary or appropriate to carry out his delegated functions, powers, duties, and authority, and perform such other functions as in his judgment are necessary and proper to carry out his responsibilities in the field of economic development.

SEC. 6. *Savings provision.* All rules, regulations, orders, authorizations, delegations, or other actions duly issued, made, or taken by or pursuant to applicable law by or related to the Area Redevelopment Administration, the Economic Development Administration, or the Appalachian Assistance Staff or any officials thereof shall continue in full force and effect until rescinded or modified by proper authority.

Effective date: June 12, 1968.

DAVID R. BALDWIN,
Assistant Secretary for Administration.

[F.R. Doc. 68-7471; Filed, June 24, 1968; 8:45 a.m.]

[Dept. Order 17]

SPECIAL ASSISTANT FOR REGIONAL ECONOMIC COORDINATION

Organization and Functions

The following order was issued by the Secretary of Commerce on June 12, 1968.

SECTION 1. *Purpose.* .01 The purpose of this order is to prescribe the duties and responsibilities of the Special Assistant for Regional Economic Coordination.

0.2 This order, together with Department Act of 1965, as amended (the functions of the Assistant Secretary for Economic Development, provides for carrying out the responsibilities of the Secretary of Commerce relating to regional economic development under the Public Works and Economic Development Act of 1965, as amended (the "Act"), Executive Order 11182, and Executive Order 11386.

SEC. 2. *General.* The Special Assistant for Regional Economic Coordination is located in the Office of the Secretary and shall report and be responsible to the Secretary.

SEC. 3. *Functions.* The Special Assistant for Regional Economic Coordination shall assist the Secretary in coordinating the activities of, providing guidance and policy direction to, and maintaining continuing liaison with the Federal Cochairman of the Regional Action Planning Commissions and the Federal Cochairman of the Appalachian Regional Commission (the "Federal Cochairmen") and the Chairman of the Federal Field Committee for Development Planning in Alaska (the "Field Committee"), and in promoting effective coordination of the activities of the Federal Government relating to regional economic development.

Specifically, he shall:

a. Serve as Executive Secretary of the Federal Advisory Council on Regional Economic Development (the "Council") established by Executive Order 11386, and provide continuing staff support to the Council.

b. Provide effective and continuing liaison between the Federal Government and each Regional Action Planning Commission established under the Act and the Regional Commission established under the Appalachian Regional Development Act of 1965, as amended (the "Regional Commissions"), and between the Federal Government and the Field Committee.

c. Obtain a coordinated review within the Federal Government of plans (including comprehensive long-range economic development plans), programs proposals, and recommendations submitted by the Regional Commissions and the Field Committee; based on such coordinated review and in collaboration with the Assistant Secretary for Economic Development, comment on and present such matters to the Secretary for appropriate action.

d. Attempt to resolve by mutual agreement any questions of policy that may arise between a Federal Cochairman and a Federal department or agency in the implementation of regional development programs; as necessary, propose action to the Secretary for resolving such questions.

e. Review the annual reports submitted to the Secretary which are prepared by each Regional Commission as required by section 510 of the Act or by section 304 of the Appalachian Regional Development Act; obtain the views thereon of such Federal agencies as he considers necessary and of the Assistant Secretary for Economic Development; and propose appropriate action with respect to such reports to the Secretary.

f. On behalf of the Secretary and consistent with his expressed or implied directions:

(1) Communicate to the Federal Cochairmen and the Chairman of the Field Committee such general policies affecting regional economic development, and such other forms of guidance and policy direction with respect to their Federal functions, as the Secretary may establish:

(2) Transmit to the Federal agencies concerned basic policies and priorities developed by, and administrative or legislative actions recommended by the Council following its reviews, as may be requested by the Secretary, of Federal programs relating to economic development; and

(3) Request from the Federal Cochairmen the regional economic development plans and programs and the bugetary and legislative recommendations of the

Regional Commissions as well as progress reports on their activities.

g. Perform such other duties to promote effective coordination of the activities of the Federal Government relating to regional economic development as the Secretary may request or as the Special Assistant for Regional Economic Coordination may determine to be necessary to carry out his functions.

SEC. 4. *Administrative services.* The Special Assistant for Regional Economic Coordination shall obtain necessary personnel, financial, and administrative services from or through the Office of the Assistant Secretary for Administration.

Effective date: June 12, 1968.

DAVID R. BALDWIN,
Assistant Secretary for Administration.

[F.R. Doc. 68-7469; Filed, June 24, 1968; 8:45 a.m.]

WATCHES AND WATCH MOVEMENTS

Allocation of Duty-Free Quotas for Calendar Year 1968 Among Producers Located in Guam

On January 4, 1968, the Departments of the Interior and Commerce published a joint notice setting out the formula for allocation of 1968 calendar year quotas for duty-free entry into the customs territory of the United States of watches and watch movements assembled in the Virgin Islands and in Guam. (33 F.R. 304; Jan. 9, 1968). This notice provided that annual quotas for calendar year 1968 would be allocated as soon as practicable after April 1, 1968, on the basis of the number of units assembled by each firm in the particular territory and entered by it duty-free into the customs territory of the United States during calendar year 1967, and the total dollar amount of wages subject to FICA taxes paid by such firm in the particular territory during calendar year 1967 which were attributable to its watch operation. In making allocations under this formula, equal weight was assigned to production and shipment history, and to wages subject to FICA taxes.

As a temporary measure, pending announcement of final statistics to be issued by the U.S. Tariff Commission on total apparent U.S. watch consumption during 1967 and the verification of data submitted in support of individual quota applications, initial 1968 calendar year quotas were allocated to eligible producers that received a duty-free watch quota allocation for calendar year 1967.

On April 23, 1968, the seven applicants producing watches and watch movements in Guam to which an initial quota allocation had been made were advised that a representative of the two Departments would be in Guam beginning on the week of May 6 to verify the data submitted. The verification which is now completed indicated that firms had been substantially accurate in reporting the number of units which were entered into the customs territory of the United States during calendar year 1967. Inconsistencies, however, occurred in reporting wages subject to FICA taxes paid by some firms during calendar year 1967 which were attributable to watch operations in Guam. These inconsistencies were largely due to the inclusion of wages in excess of the maximum $6,600 taxable as FICA wages and the inclusion of wages paid to individuals whose services were not attributable to watch operations in Guam.

Any watches and watch movements entered duty-free into the customs territory of the United States on or after January 1, 1968, are to be deducted from the following allocations which are issued for the full calendar year 1968. Adjustments have been made reflecting verification of the data submitted by individual applicants; however, the quotas announced are subject to possible reduction or revocation in the case of those firms which failed to enter into the customs territory of the United States at least 30 percent of their initial quota on or prior to April 1, 1968. Such firms will be notified in the near future of any action the Departments propose to take based on their failure to meet this requirement.

GUAM

Name of firm	*Number of units*
1. Cromwell International, Inc	28,464
2. Hallmark Watch Factory, Inc	59,887
3. Jun-Lau Watch Corp	22,233
4. Maro Watch Co., Inc	71,936
5. Phoenix Industries, Inc	28,167
6. Stratton Watch Corp	146,196
7. Westminster Time Corp	43,790

These quotas may be adjusted at any time during this calendar year in the event it becomes apparent that shipments through December 31, 1968, by any firm will be less than 80 percent of the number of units allocated to it.

LAWRENCE C. MCQUADE,
Assistant Secretary for Domestic and International Business, Department of Commerce.

HARRY R. ANDERSON,
Assistant Secretary for Public Land Management, Department of the Interior.

JUNE 19, 1968.

[F.R. Doc. 68-7496; Filed, June 24, 1968; 8:47 a.m.]

DEPARTMENT OF HEALTH, EDUCATION, AND WELFARE

Food and Drug Administration

FMC CORP.

Notice of Filing of Petition Regarding Pesticides

Pursuant to the provisions of the Federal Food, Drug, and Cosmetic Act (sec. 408(d)(1), 68 Stat. 512; 21 U.S.C. 346a(d)(1)), notice is given that a petition (PP 8F0728) has been filed by the FMC Corp., Niagara Chemical Division, 100 Niagara Street, Middleport, N.Y. 14105, proposing the establishment of a tolerance of 0.2 part per million for residues of the insecticide and fungicide binapacryl (2-*sec*-butyl-4,6-dinitrophenyl 3-methyl-2-butenoate) in or on the raw agricultural commodities apples, cantaloups, cucumbers, grapes, muskmelons, pears, plums, and prunes.

The analytical method proposed in the petition for determining residues of binapacryl is a microcoulometric gas chromatographic technique with a nitrogen titration cell.

Dated: June 17, 1968.

J. K. KIRK,
Associate Commissioner for Compliance.

[F.R. Doc. 68-7516; Filed, June 24, 1968; 8:48 a.m.]

GENERAL MILLS, INC.

Notice of Filing of Petition for Food Additives

Pursuant to the provisions of the Federal Food, Drug, and Cosmetic Act (sec. 409(b)(5), 72 Stat. 1786; 21 U.S.C. 348(b)(5)), notice is given that a petition (FAP 8B2300) has been filed by General Mills, Inc., 2010 East Hennepin Avenue, Minneapolis, Minn. 55413, proposing that § 121.2520 *Adhesives* be amended to provide for the safe use of bis-(hexamethylene)-triamine and higher homologues as additional optional reactants in the production of polyamide resins used in food-packaging adhesives.

Dated: June 17, 1968.

J. K. KIRK,
Associate Commissioner for Compliance.

[F.R. Doc. 68-7517; Filed, June 24, 1968; 8:48 a.m.]

UNIROYAL, INC.

Notice of Filing of Petition Regarding Pesticides

Pursuant to the provisions of the Federal Food, Drug, and Cosmetic Act (sec. 408(d)(1), 68 Stat. 512; 21 U.S.C. 346a(d)(1)), notice is given that a petition (PP 8F0730) has been filed by the Uniroyal Chemical Division, Uniroyal, Inc., Bethany, Conn. 06525, proposing the establishment of tolerances for residues of the insecticide 2-(*p-tert*-butylphenoxy)cyclohexyl 2-propynl sulfite in or on raw agricultural commodities as follows:

7 parts per million in or on grapes and peaches.

3 parts per million in or on apples, pears, plums, and prunes.

0.5 part per million (negligible residue) in or on walnuts.

The analytical method proposed in the petition for determining residues of the insecticide is a microcoulometric gas chromatographic technique with a sulfur titration cell.

Dated: June 17, 1968.

J. K. KIRK,
Associate Commissioner for Compliance.

[F.R. Doc. 68-7518; Filed, June 24, 1968; 8:48 a.m.]

W. R. GRACE & CO.

Notice of Filing of Petition for Food Additives

Pursuant to the provisions of the Federal Food, Drug, and Cosmetic Act (sec. 409(b)(5), 72 Stat. 1786; 21 U.S.C. 348(b)(5)), notice is given that a petition (FAP 8B2297) has been filed by W. R. Grace & Co., Dewey and Almy Chemical Division, 62 Whittemore Avenue, Cambridge, Mass. 02140, proposing that § 121.2514 *Resinous and polymeric coatings* be amended to provide for the safe use of sodium nitrite as a component of can end cements for containers intended for use in contact with food.

Dated: June 17, 1968.

J. K. KIRK,
Associate Commissioner for Compliance.

[F.R. Doc. 68-7519; Filed, June 24, 1968; 8:48 a.m.]

WHITMOYER LABORATORIES, INC.

Notice of Filing of Petition for Food Additive Carbarsone (Not U.S.P.)

Pursuant to the provisions of the Federal Food, Drug, and Cosmetic Act (sec. 409(b)(5) 72 Stat. 1786; 21 U.S.C. 348(b)(5)), notice is given that a petition has been filed by Whitmoyer Laboratories, Inc., 19 North Railroad Street, Myerstown, Pa. 17067, proposing that § 121.310 *Carbarsone (not U.S.P.)* be amended to provide for the safe use of carbarsone (not U.S.P.) in the feed of chickens as an aid in the prevention of blackhead.

Dated: June 17, 1968.

J. K. KIRK,
Associate Commissioner for Compliance.

[F.R. Doc. 68-7520; Filed, June 24, 1968; 8:48 a.m.]

CIVIL AERONAUTICS BOARD

FRONTIER AIRLINES, INC.

Notice of Application for Amendment of Certificate of Public Convenience and Necessity Under Subpart M of Part 302 of the Board's Procedural Regulations

JUNE 20, 1968.

Notice is hereby given that the Civil Aeronautics Board on June 19, 1968, received an application, Docket 19967, from Frontier Airlines, Inc., for amendment of its certificate of public convenience and necessity for Route 73 to authorize it to engage in nonstop service between Denver, Colo., and Salt Lake City, Utah. The applicant requests that its application be processed under the expedited procedures set forth in Subpart M of Part 302 (14 CFR Part 302).

[SEAL] HAROLD R. SANDERSON,
Secretary.

[F.R. Doc. 68-7499; Filed, June 24, 1968; 8:47 a.m.]

[Docket No. 19805]

SERVICIO AEREO DE HONDURAS, S.A.

Notice of Postponement of Hearing

Notice is hereby given, pursuant to the provisions of the Federal Aviation Act of 1958, as amended, that the hearing in the above-entitled proceeding now assigned to be held June 21, 1968, is postponed to July 9, 1968, at 10 a.m., e.d.s.t., in Room 1027, Universal Building, Connecticut and Florida Avenues NW., Washington, D.C., before the undersigned examiner.

Dated at Washington, D.C., June 19, 1968.

[SEAL] JOSEPH L. FITZMAURICE,
Hearing Examiner.

[F.R. Doc. 68-7501; Filed, June 24, 1968; 8:47 a.m.]

[Docket No. 19750; Order E-26942]

UNITED AIR LINES, INC.

Order of Investigation

Adopted by the Civil Aeronautics Board at its office in Washington, D.C., on the 19th day of June 1968.

By tariff revision filed May 23, 1968, and marked to become effective June 22, 1968,[1] United Air Lines, Inc. (United), proposes to increase its jet and propeller commuter fares between Las Vegas and Los Angeles from $13 to $15.

The carrier claims that its current fares of $13 are significantly below cost and would not be compensatory even at unrealistically high load factors. No complaints were filed.

United's proposed fares are identical to those permitted by the Board, on reconsideration, to become effective for Trans World Airlines, Inc. (TWA), and Western Air Lines, Inc. (Western), pending investigation, Order E-26758, May 6, 1968. The considerations which warrant investigation of Western's and TWA's fares apply also to United's. Consistent with our earlier action we will permit United's fares to become effective pending investigation. Upon consideration of all relevant matters, the Board finds that United's proposed fares may be unjust, unreasonable, or unjustly discriminatory, or unduly preferential, or unduly prejudicial, or otherwise unlawful, and should be investigated.

Accordingly, pursuant to the Federal Aviation Act of 1958, particularly sections 204(a) and 1002 thereof,

It is ordered, That:

1. An investigation is instituted to determine whether the jet commuter fare and propeller commuter fare between Las Vegas and Los Angeles on 6th and 7th Revised Pages 355 of Airline Tariff Publishers, Inc., Agent's CAB No. 101, including subsequent revisions and reissues thereof, and rules, regulations, and practices affecting such fares, are or will be unjust or unreasonable, unjustly discriminatory, unduly preferential, unduly prejudicial, or otherwise unlawful, and if found to be unlawful, to determine and prescribe the lawful fares, and rules, regulations, or practices affecting such fares;

2. This investigation is consolidated with the proceeding in Docket 19750.

3. A copy of this order shall be filed with the aforesaid tariffs and be served on United Air Lines, Inc., which is hereby made a party to this proceeding.

This order will be published in the FEDERAL REGISTER.

By the Civil Aeronautics Board.

[SEAL] HAROLD R. SANDERSON,
Secretary.

[F.R. Doc. 68-7500; Filed, June 24, 1968; 8:47 a.m.]

[1] Revisions to Airline Tariff Publishers, Inc., Agent, Tariff CAB No. 101.

FEDERAL COMMUNICATIONS COMMISSION

[FCC 68-640]

NATIONAL INDUSTRY ADVISORY COMMITTEE (NIAC)

Continuance

JUNE 19, 1968.

The Commission today made a finding, pursuant to Executive Order 11007, that the use of the National Industry Advisory Committee would be in the public interest for an additional period of 2 years ending June 30, 1970, including its subcommittees designated as Regional Industry Advisory Committees and State Industry Advisory Committees.

The Committee was initially formed in 1958 to advise the Commission in matters relating to emergency preparedness, and has been continued in existence since then. The NIAC advises the FCC by studying, developing, and recommending plans for emergency communication systems and procedures for which the Commission is responsible under the provisions of Executive Order 11092 and the Communications Act of 1934, as amended.

Subordinated to NIAC are eight Regional Industry Advisory Committees established for the purpose of coordination among States in each of the eight Federal Regions. State Industry Advisory Committees for each of the 50 States, Guam, Puerto Rico/Virgin Islands, and the District of Columbia, will continue to serve as subcommittees to the NIAC. Operational Area Industry Advisory Committees will continue as subcommittees of the State Industry Advisory Committees. They will continue to develop emergency communication systems and procedures at the local level.

The State Industry Advisory Committees are presently engaged in developing Detailed State Emergency Broadcast System (EBS) Operational Plans for their respective States to provide for detailed implementation of the EBS on a State and local level covering a broad range of emergency contingencies posing a threat to the safety of life and property.

As soon as NIAC has completed Basic Plans for Emergency Communication Systems in the Safety and Special Radio Services and the Common Carrier Service, the Regional and State Industry Advisory Committees will be requested to develop and recommend individual detailed Regional and State Plans. Studies looking toward Interim Basic Plans have been completed or are nearing completion by the NIAC for the various categories of non-Government Radio Services. Interim Basic Plans for the Petroleum and Gas Industry, the Aeronautical Industry, and the Amateur Radio Service have been approved by the Commission.

Membership in NIAC is restricted by Executive Order 11007 to "individuals actively engaged in operations in the particular industry concerned." Those selected for continuation as members of NIAC will be so notified by separate letters from Acting Defense Commissioner Kenneth A. Cox, as will those who have been members of subcommittees which are being reorganized or being discontinued. Those no longer eligible to serve under Executive Order 11007 will also be notified by individual letters.

Action by the Commission June 19, 1968. Commissioners Hyde (Chairman), Bartley, Lee, Cox, Loevinger, and Wadsworth.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] BEN F. WAPLE,
Secretary.

[F.R. Doc. 68-7508; Filed, June 24, 1968; 8:48 a.m.]

[Docket Nos. 17921-17923; FCC 68M-967]

BABCOM, INC. ET AL.

Order Continuing Hearing

In re applications of: Babcom, Inc., Springfield, Mo., Docket No. 17921, File No. BP-16908; Dr. Samuel N. Morris trading as Upshur Broadcasting Co., Gilmer, Tex., Docket No. 17922, File No. BP-16982; Giant Broadcasting Co., Inc., Ozark, Ark., Docket No. 17923, File No. BP-17103; for construction permits.

On the informal request of Babcom, Inc., all parties having consented;

It is ordered, That the hearing now scheduled to commence July 15, 1968, is continued to July 22, 1968.

Issued: June 19, 1968.

Released: June 20, 1968.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] BEN F. WAPLE,
Secretary.

[F.R. Doc. 68-7509; Filed, June 24, 1968; 8:48 a.m.]

[Docket Nos. 18213, 18214; FCC 68M-954]

R. EDWARD CERIES AND JACK C. HUGHES

Order Scheduling Hearing

In re applications of R. Edward Ceries, Albuquerque, N. Mex., Docket No. 18213, File No. BPH-6001; Jack C. Hughes, Albuquerque, N. Mex., Docket No. 18214, File No. BPH-6041; for construction permits.

It is ordered, That Elizabeth C. Smith shall serve as Presiding Officer in the above-entitled proceeding; that the hearings therein shall be convened on September 23, 1968, at 10 a.m.; and that a prehearing conference shall be held on July 26, 1968, commencing at 9 a.m.: *And, It is further ordered,* That all proceedings shall take place in the Offices of the Commission, Washington, D.C.

Issued: June 18, 1968.

Released: June 19, 1968.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] JAMES D. CUNNINGHAM,
Chief Hearing Examiner.

[F.R. Doc. 68-7512; Filed, June 24, 1968; 8:48 a.m.]

[Docket No. 18024; FCC 68M-962]

CLINTON TV CABLE CO., INC.

Order Continuing Hearing

In re petition by Clinton TV Cable Co., Inc., Clinton, Iowa, Docket No. 18024, File No. CATV 100-30, for authority pursuant to § 74.1107 of the rules to operate CATV Systems in the Quad City (Davenport, Iowa, Rock Island-Moline, Ill.) Television Market.

Pursuant to agreements of counsel arrived at during the further prehearing conference in the above-styled proceeding held on June 18, 1968, *It is ordered,* That the evidentiary hearing in this proceeding scheduled to begin on Monday, July 15, 1968, is continued to Monday, September 9, 1968, at 10 a.m., in the offices of the Commission, Washington, D.C.

Issued: June 18, 1968.

Released: June 19, 1968.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] BEN F. WAPLE,
Secretary.

[F.R. Doc. 68-7510; Filed, June 24, 1968; 8:48 a.m.]

[Docket Nos. 17144, 17155; FCC 68M-965]

GENERAL ELECTRIC CABLEVISION CORP.

Order Rescheduling Hearing

In re petitions by General Electric Cablevision Corp., Peoria, Ill., Docket No. 17144, File No. CATV 100-25; General Electric Cablevision Corp., Peoria Heights and Bartonville, Ill., Docket No. 17155, File No. CATV 100-59; for authority pursuant to § 74.1107 of the rules to operate CATV systems in the Peoria Television Market.

On the unopposed oral request of counsel for WEEK-TV, *It is ordered,* That the hearing is rescheduled from July 8 to September 16, 1968.

Issued: June 19, 1968.

Released: June 20, 1968.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] BEN F. WAPLE,
Secretary.

[F.R. Doc. 68-7511; Filed, June 24, 1968; 8:48 a.m.]

[Docket Nos. 18210-18212; FCC 68M-955]

REGAL BROADCASTING CORP. (WHRL-FM) ET AL.

Order Scheduling Hearing

In re applications of Regal Broadcasting Corp. (WHRL-FM), Albany, N.Y., Docket No. 18210, File No. BPH-6054; Functional Broadcasting, Inc., Albany, N.Y., Docket No. 18211, File No. BPH-6124; WPOW, Inc., Albany, N.Y., Docket No. 18212, File No. BPH-6129; for construction permits.

It is ordered, That Thomas H. Donahue shall serve as Presiding Officer in the above-entitled proceeding; that the hearings therein shall be convened on September 23, 1968, at 10 a.m.; and that a prehearing conference shall be held on July 31, 1968, commencing at 9 a.m.: *And, it is further ordered,* That all proceedings shall take place in the offices of the Commission, Washington, D.C.

Issued: June 18, 1968.

Released: June 19, 1968.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] JAMES D. CUNNINGHAM,
Chief Hearing Examiner.

[F.R. Doc. 68-7513; Filed, June 24, 1968; 8:48 a.m.]

[Docket No. 18215; FCC 68M-953]

VIRGINIA BROADCASTING CO.

Order Scheduling Hearing

In re application of Virginia Broadcasting Co., Virginia, Minn., Docket No. 18215, File No. BPH-6113, for construction permit.

It is ordered, That James D. Cunningham shall serve as Presiding Officer in the above-entitled proceeding; that the hearings therein shall be convened on September 10, 1968, at 10 a.m.; and that a prehearing conference shall be held on July 17, 1968, commencing at 9 a.m.: *And, it is further ordered,* That all proceedings shall take place in the Offices of the Commission, Washington, D.C.

Issued: June 18, 1968.

Released: June 19, 1968.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] JAMES D. CUNNINGHAM,
Chief Hearing Examiner.

[F.R. Doc. 68-7514; Filed, June 24, 1968; 8:48 a.m.]

INTERAGENCY TEXTILE ADMINISTRATIVE COMMITTEE

CERTAIN COTTON TEXTILES AND COTTON TEXTILE PRODUCTS PRODUCED OR MANUFACTURED IN THE REPUBLIC OF KOREA

Levels of Restraint

JUNE 20, 1968.

On January 11, 1968, there was published in the FEDERAL REGISTER (33 F.R. 430) a letter dated December 27, 1967, from the Chairman of the President's Cabinet Textile Advisory Committee to the Commissioner of Customs, establishing levels of restraint applicable to certain specified categories of cotton textiles and cotton textile products, produced or manufactured in the Republic of Korea and exported to the United States during the 12-month period beginning January 1, 1968. As set forth in that letter, the levels of restraint are subject to adjustment pursuant to those provisions of the bilateral cotton textile agreement of December 11, 1967, between the Governments of the United States and the Republic of Korea, which provide that within the aggregate and applicable group limits, limits on certain categories may be exceeded by not more than five (5) percent; and for the limited carryover of short falls in certain categories to the next agreement year. The aforementioned letter, also provided that such adjustments in the levels of restraint would be made to the Commissioner of Customs by letter from the Chairman of the Interagency Textile Administrative Committee.

Accordingly, there is published below a letter of June 19, 1968, from the Chairman of the Interagency Textile Administrative Committee to the Commissioner of Customs increasing the levels of restraint applicable to cotton textiles and cotton textile products in Categories 26 (other than duck) and 46, pursuant to the provisions of the bilateral agreement referred to above at the request of the Government of the Republic of Korea, for the 12-month period which began on January 1, 1968.

STANLEY NEHMER,
Chairman, Interagency Textile Administrative Committee, and Deputy Assistant Secretary for Resources.

ASSISTANT SECRETARY OF COMMERCE

INTERAGENCY TEXTILE ADMINISTRATIVE COMMITTEE

COMMISSIONER OF CUSTOMS,
Department of the Treasury,
Washington, D.C. 20226.

JUNE 19, 1968.

DEAR MR. COMMISSIONER: On December 27, 1967, the Chairman, of the President's Cabinet Textile Advisory Committee, directed you to prohibit entry of cotton textiles and cotton textile products in certain specified categories, produced or manufactured in the Republic of Korea, and exported to the United States on or after January 1, 1968, in excess of the designated levels of restraint. The Chairman further advised you that in the event that there were any adjustments[1] in the levels of restraint you would be so informed by letter from the Chairman of the Interagency Textile Administrative Committee.

Under the terms of the Long-Term Arrangement Regarding International Trade in Cotton Textiles done at Geneva on February 9, 1962, pursuant to paragraphs seven (7) and seventeen (17) of the bilateral cotton textile agreement of December 11, 1967, between the Governments of the United States and the Republic of Korea, in accordance with the procedures outlined in Executive Order 11052 of September 28, 1962, as amended by Executive Order 11214 of April 7, 1965, and under the terms of the aforementioned directive of December 27, 1967, the levels of restraint provided in that directive for cotton textiles and cotton textile products in Categories 26 (other than duck) and 46, produced or manufactured in the Republic of Korea and exported to the United States during the period beginning January 1, 1968, and extending through December 31, 1968, are hereby amended, to be effective as soon as possible, as follows:

Category	*Amended 12-month level of restraint*
26 (other than duck) square yards	1,072,500
46 dozen	25,909

The actions taken with respect to the Government of the Republic of Korea and with respect to imports of cotton textiles and cotton textile products from the Republic of Korea have been determined by the President's Cabinet Textile Advisory Committee to involve foreign affairs functions of the United States. Therefore, the directions to the Commissioner of Customs being necessary to the implementation of such actions, fall within the foreign affairs exception to the notice provisions of 5 U.S.C. 553 (Supp. II, 1965–66). This letter will be published in the FEDERAL REGISTER.

Sincerely yours,

STANLEY NEHMER,
Chairman, Interagency Textile Administrative Committee, and Deputy Assistant Secretary for Resources.

[F.R. Doc. 68–7495; Filed, June 24, 1968; 8:46 a.m.]

[1] The term "adjustments" refers to those provisions of the bilateral cotton textile agreement of December 11, 1967, between the Governments of the United States and the Republic of Korea which provide in part that within the aggregate and applicable group limits, limits on certain categories may be exceeded by not more than five (5) percent; for the limited carryover of short falls in certain categories to the next agreement year; and for administrative arrangements.

SECURITIES AND EXCHANGE COMMISSION

[File No. 7–2928]

INTERNATIONAL TELEPHONE AND TELEGRAPH CORP.

Notice of Application for Unlisted Trading Privileges and of Opportunity for Hearing

JUNE 17, 1968.

In the matter of application of the Boston Stock Exchange for unlisted trading privileges in a certain security.

The above-named national securities exchange has filed an application with the Securities and Exchange Commission pursuant to section 12(f)(1)(B) of the Securities Exchange Act of 1934 and Rule 12f–1 thereunder, for unlisted trading privileges in the common stock of the following company, which security is listed and registered on one or more other national securities exchange:

International Telephone & Telegraph Corp. (Delaware); File No. 7–2928.

Upon receipt of a request, on or before July 3, 1968, from any interested person, the Commission will determine whether the application shall be set down for hearing. Any such request should state briefly the nature of the interest of the person making the request and the position he proposes to take at the hearing, if ordered. In addition, any interested person may submit his views or any additional facts bearing on the said application by means of a letter addressed to the Secretary, Securities and Exchange Commission, Washington 25, D.C., not later than the date specified. If no one requests a hearing, this application will be determined by order of the Commission on the basis of the facts stated therein and other information contained in the official files of the Commission pertaining thereto.

For the Commission (pursuant to delegated authority).

ORVAL L. DUBOIS,
Secretary.

[F.R. Doc. 68–7481; Filed, June 24, 1968; 8:45 a.m.]

[File Nos. 7–2923—7–2925]

INTERNATIONAL TELEPHONE AND TELEGRAPH CORP. ET AL.

Notice of Applications for Unlisted Trading Privileges and of Opportunity for Hearing

JUNE 17, 1968.

In the matter of applications of the Philadelphia - Baltimore - Washington Stock Exchange for unlisted trading privileges in certain securities.

The above-named national securities exchange has filed applications with the Securities and Exchange Commission pursuant to section 12(f)(1)(B) of the Securities Exchange Act of 1934 and Rule 12f–1 thereunder, for unlisted trading privileges in the common stocks of the following companies, which securities are listed and registered on one or more other national securities exchanges:

	File No.
International Telephone and Telegraph Corp. (Delaware)	7–2923
Airlift International Inc	7–2924
City Investing Co	7–2925

Upon receipt of a request, on or before July 3, 1968, from any interested person, the Commission will determine whether the application with respect to any of the companies named shall be set down for hearing. Any such request

should state briefly the title of the security in which he is interested, the nature of the interest of the person making the request, and the position he proposes to take at the hearing, if ordered. In addition, any interested person may submit his views or any additional facts bearing on any of the said applications by means of a letter addressed to the Secretary, Securities and Exchange Commission, Washington 25, D.C., not later than the date specified. If no one requests a hearing with respect to any particular application, such application will be determined by order of the Commission on the basis of the facts stated therein and other information contained in the official files of the Commission pertaining thereto.

For the Commission (pursuant to delegated authority).

ORVAL L. DUBOIS,
Secretary.

[F.R. Doc. 68-7482; Filed, June 24, 1968; 8:45 a.m.]

[File No. 7-2927]

INTERNATIONAL TELEPHONE AND TELEGRAPH CORP.

Notice of Application for Unlisted Trading Privileges and of Opportunity for Hearing

JUNE 17, 1968.

In the matter of application of the Midwest Stock Exchange for unlisted trading privileges in a certain security.

The above-named national securities exchange has filed an application with the Securities and Exchange Commission pursuant to section 12(f)(1)(B) of the Securities Exchange Act of 1934 and Rule 12f-1 thereunder, for unlisted trading privileges in the common stock of the following company, which security is listed and registered on one or more other national securities exchange:

International Telephone and Telegraph Corp. (Delaware); File No. 7-2927.

Upon receipt of a request, on or before July 3, 1968, from any interested person, the Commission will determine whether the application shall be set down for hearing. Any such request should state briefly the nature of the interest of the person making the request and the position he proposes to take at the hearing, if ordered. In addition, any interested person may submit his views or any additional facts bearing on the said application by means of a letter addressed to the Secretary, Securities and Exchange Commission, Washington 25, D.C., not later than the date specified. If no one requests a hearing, this application will be determined by order of the Commission on the basis of the facts stated therein and other information contained in the official files of the Commission pertaining thereto.

For the Commission (pursuant to delegated authority).

[SEAL] ORVAL L. DUBOIS,
Secretary.

[F.R. Doc. 68-7483; Filed, June 24, 1968; 8:45 a.m.]

[File No. 7-2926]

INTERNATIONAL TELEPHONE AND TELEGRAPH CORP.

Notice of Application for Unlisted Trading Privileges and of Opportunity for Hearing

JUNE 17, 1968.

In the matter of application of the Pacific Coast Stock Exchange for unlisted trading privileges in a certain security.

The above-named national securities exchange has filed an application with the Securities and Exchange Commission pursuant to section 12(f)(1)(B) of the Securities Exchange Act of 1934 and Rule 12f-1 thereunder, for unlisted trading privileges in the common stock of the following company, which security is listed and registered on one or more other national securities exchange:

International Telephone and Telegraph Corp. (Delaware); File No. 7-2926.

Upon receipt of a request, on or before July 3, 1968, from any interested person, the Commission will determine whether the application shall be set down for hearing. Any such request should state briefly the nature of the interest of the person making the request and the position he proposes to take at the hearing, if ordered. In addition, any interested person may submit his views or any additional facts bearing on the said application by means of a letter addressed to the Secretary, Securities and Exchange Commission, Washington 25, D.C., not later than the date specified. If no one requests a hearing, this application will be determined by order of the Commission on the basis of the facts stated therein and other information contained in the official files of the Commission pertaining thereto.

For the Commission (pursuant to delegated authority).

[SEAL] ORVAL L. DUBOIS,
Secretary.

[F.R. Doc. 68-7484; Filed, June 24, 1968; 8:46 a.m.]

NAGLER HELICOPTER, INC.

Order Suspending Trading

JUNE 19, 1968.

In the matter of trading in securities of Nagler Helicopter, Inc.

It appearing to the Securities and Exchange Commission that the summary suspension of trading in the common stock of Nagler Helicopter, Inc., being traded otherwise than on a national securities exchange is required in the public interest and for the protection of investors;

It is ordered, Pursuant to section 15(c)(5) of the Securities Exchange Act of 1934, that trading in such securities otherwise than on a national securities exchange be summarily suspended, this order to be effective for the period commencing June 19, 1968, at 11 a.m., e.d.t. through June 28, 1968, both dates inclusive.

By the Commission.

[SEAL] ORVAL L. DUBOIS,
Secretary.

[F.R. Doc. 68-7485; Filed, June 24, 1968; 8:46 a.m.]

ROVER SHOE CO.

Order Suspending Trading

JUNE 19, 1968.

It appearing to the Securities and Exchange Commission that the summary suspension of trading in the common stock of Rover Shoe Co., Bushnell, Fla., and stock purchase warrants of Rover Shoe Co. being traded otherwise than on a national securities exchange is required in the public interest and for the protection of investors;

It is ordered, Pursuant to section 15(c)(5) of the Securities Exchange Act of 1934, that trading in such securities otherwise than on a national securities exchange be summarily suspended, this order to be effective for the period June 20, 1968, through June 29, 1968, both dates inclusive.

By the Commission.

[SEAL] ORVAL L. DUBOIS,
Secretary.

[F.R. Doc. 68-7486; Filed, June 24, 1968; 8:46 a.m.]

[File No. 1-2879]

ROYSTON COALITION MINES, LTD.

Order Suspending Trading

JUNE 19, 1968.

The capital stock, 1-cent par value, of Royston Coalition Mines, Ltd., being listed and registered on the Salt Lake Stock Exchange pursuant to provisions of the Securities Exchange Act of 1934 and all other securities of Royston Coalition Mines, Ltd., being traded otherwise than on a national securities exchange; and

It appearing to the Securities and Exchange Commission that the summary suspension of trading in such securities on such Exchange and otherwise than on a national securities exchange is required in the public interest and for the protection of investors;

It is ordered, Pursuant to sections 15(c)(5) and 19(a)(4) of the Securities Exchange Act of 1934, that trading in such securities on the Salt Lake Stock Exchange and otherwise than on a national securities exchange be summarily

suspended, this order to be effective for the period June 20, 1968, through June 29, 1968, both dates inclusive.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F.R. Doc. 68-7487; Filed, June 24, 1968; 8:46 a.m.]

SMALL BUSINESS ADMINISTRATION

[Delegation of Authority 4.1 (Rev. 1) Amdt. 2]

DEPUTY ASSOCIATE ADMINISTRATOR FOR FINANCIAL ASSISTANCE

Delegation on Financial Assistance

Delegation of Authority No. 4.1 (Revision 1) (32 F.R. 938), as amended (33 F.R. 8624), is hereby further amended by revising Item No. I.A. thereof to read as follows:

I. * * *

* * * * *

A. To approve or decline business, disaster, development company, and economic opportunity loan applications, including reconsiderations thereof, and to execute authorizations and modifications pertaining to such loans, but is not authorized to declare the nonapplicability of eligibility limitations to a community emergency as set forth in § 120.2 (e) of SBA Loan Policy Regulations.

* * * * *

Effective date: April 1, 1968.

LOGAN B. HENDRICKS, *Associate Administrator for Financial Assistance.*

[F.R. Doc. 68-7488; Filed, June 24, 1968; 8:46 a.m.]

[Delegation of Authority 30 (Southeastern Area) Rev. 2]

AREA COORDINATORS ET AL.

Delegation of Authority To Conduct Program Activities in the Southeastern Area

Pursuant to the authority delegated to the Area Administrators by Delegation of Authority No. 30 (Revision 12), 32 F.R. 179 and Amendment 1, 32 F.R. 8113, the following authority is hereby redelegated to the position as indicated herein:

I. *Area Coordinators.*

A. *Development Company Assistance Coordinator:*

1. *Eligibility determinations (for financial assistance only).* To determine eligibility of applicants for assistance under the sections 501 and 502 programs of the Agency in accordance with Small Business Administration standards and policies.

2. *Size determination (for financial assistance only).* To make initial size determinations in all sections 501 and 502 loans within the meaning of the Small Business Size Standards Regulations, as amended, and further, to make product classification decisions for sections 501 and 502 loans only. Product classification decisions for procurement purposes are made by contracting officers.

B. *Liquidation and Disposal Coordinator.*

1. To take all necessary actions in connection with liquidation and disposal of all loans and other obligations or assets, including collateral purchased; and to do and perform and to assent to the doing and performance of, all and every act and thing requisite and proper to effectuate the granted powers, including without limiting the generality of the foregoing:

a. The assignment, endorsement, transfer, and delivery (but in all cases without representation, recourse or warranty) of notes, claims, bonds, debentures, mortgages, deeds of trust, contracts, patents, and applications therefor, licenses, certificates of stock and of deposit, and any other liens, powers, rights, charges on and interest in or to property or any kind legal and equitable, now or hereafter held by the Small Business Administration or its Administrator.

b. The execution and delivery of contracts of sale or of lease or sublease, quitclaim, bargain and sale of special warranty deeds, bills of sale, leases, subleases, assignments, subordinations, releases (in whole or part) of liens, satisfaction pieces, affidavits, proofs of claim in bankruptcy or other estates and such other instruments in writing as may be appropriate and necessary to effectuate the foregoing.

c. To take all necessary action in liquidating Economic Development Administration loans and acquired collateral when and as authorized by Economic Development Administration.

d. To advertise regarding the public sale of (1) collateral in connection with the liquidation of loans, and (2) acquired property.

e. Except: (1) To compromise or sell any primary obligation or other evidence of indebtedness owed to the Agency for a sum less than the total amount due thereon; (2) to deny liability of the Small Business Administration under the terms of a participation or guaranty agreement, or the assertion of a claim for recovery from a participating bank under any alleged violation of a participation or guaranty agreement.

C. *Supervisory Liquidation and Disposal Officer.*

1. To take all necessary actions in connection with the liquidation and disposal of all loans and other obligations or assets, including collateral purchased; and to do and perform and to assent to the doing and performance of, all and every act and thing requisite and proper to effectuate the granted powers, including without limiting the generality of the foregoing:

a. The assignment, endorsement, transfer, and delivery (but in all cases without representation, recourse or warranty) of notes, claims, bonds, debentures, mortgages, deeds of trust, contracts, patents and applications therefor, licenses, certificates of stock and of deposit, and any other liens, powers, rights, charges on and interest in or to property of any kind, legal and equitable, now or hereafter held by the Small Business Administration or its Administrator.

b. The execution and delivery of contracts of sale or of lease or sublease, quitclaim, bargain and sale of special warranty deeds, bills of sale, leases, subleases, assignments, subordinations, releases (in whole or part) of liens, satisfaction pieces, affidavits, proofs of claim in bankruptcy or other estates and such other instruments in writing as may be appropriate and necessary to effectuate the foregoing.

c. To take all necessary action in liquidating Economic Development Administration loans and acquired collateral when and as authorized by Economic Development Administration.

d. To advertise regarding the public sale of (1) collateral in connection with the liquidation of loans and (2) acquired property.

e. Except: (1) To compromise or sell any primary obligation or other evidence of indebtedness owed to the Agency for a sum less than the total amount due thereon; (2) to deny liability of the Small Business Administration under the terms of a participation or guaranty agreement, or the assertion of a claim for recovery from a participating bank under any alleged violation of a participation or guaranty agreement; and (3) the cancellation of authority to liquidate.

D. *Area Claims Review Committee.* To consist of the liquidation and disposal coordinator, area counsel and the area supervisory appraiser who will meet and consider reasonable and properly supported compromise proposals of indebtedness owed to the Agency and to take final action on such proposals provided such action represents the majority recommendation of the committee on claims not in excess of $5,000 (including CPC advances but excluding interest), or represents the unanimous recommendation of said committee on claims in excess of $5,000 but not exceeding $100,000 (including CPC advances but excluding interest).

E. *Financial Assistance Coordinator.*

1. *Eligibility determination (for financial assistance only).* To determine eligibility of applicants for assistance under any program of the Agency, except sections 501 and 502 loans, in accordance with Small Business Administration standards and policies.

2. *Size determination (for financial assistance only).* To make initial size determinations in all cases within the meaning of the Small Business Size Standards Regulations, as amended, except sections 501 and 502 loans; and further, to make product classification decisions for financial assistance purposes only. Product classification decisions for procurement purposes are made by contracting officers.

F. *Procurement and Management Assistance Coordinator.*

1. *Eligibility determinations (for PMA activities only).* To determine eligibility of applicants for assistance under any program of the Agency in accordance

with Small Business Administration standards and policies.

2. *Size determinations (for PMA activities only).* To make initial size determinations in all cases within the meaning of the Small Business Size Standards Regulations, as amended, and further, to make product classification decisions for financial assistance purposes only. Product classification decisions for procurement purposes are made by contracting officers.

G. *Area Administrative Officer.*

1. To purchase reproductions of loan documents, chargeable to the revolving fund, requested by U.S. attorneys in foreclosure cases.

2. To (a) purchase office supplies and equipment, including office machines and rent regular office equipment and furnishings; (b) contract for repair and maintenance of equipment and furnishings; and (c) contract for services required in setting up and dismantling and moving SBA exhibits and (d) issue Government bills of lading.

3. In connection with the establishment of Disaster Loan Offices, to obligate Small Business Administration for the rental of office space.

4. To rent motor vehicles from the General Services Administration and to rent garage space for the storage of such vehicles when not furnished by this Administration.

II. *Regional Directors.*

A. *Financial assistance.*

1. To approve business and disaster loans not exceeding $350,000 (SBA share) and economic opportunity loans not exceeding $25,000 (SBA share).

2. To decline business, economic opportunity and disaster loans of any amount.

3. To close and disburse approved loans.

4. To enter into business, economic opportunity and disaster loan participation agreements with banks.

5. To execute loan authorizations for Washington and area approved loans and for loans approved under delegated authority, said execution to read as follows:

"(Name), Administrator
By ----------
(Name)
Regional Director
(City)"

6. To cancel, reinstate, modify, and amend authorizations for business, economic opportunity, and disaster loans.

7. To extend the disbursement period on all loan authorizations or undisbursed portions of loans.

8. To approve, when requested, in advance of disbursement, conformed copies of notes and other closing documents; and certify to the participating bank that such documents are in compliance with the participation authorization.

9. To approve service charges by participating banks not to exceed 2 percent per annum on the outstanding principal balance of construction loans and loans involving accounts receivable and inventory financing.

**10. To establish disaster field offices upon receipt of advice of the designation of a disaster area; to advise on the making of disaster loans; to appoint as a processing representative any bank in the disaster area; and to close disaster field offices when no longer advisable to maintain such offices.

11. To take all necessary actions in connection with administration, servicing and collection, other than those accounts classified as "in liquidation"; and to do and perform and to assent to the doing and performance of, all and every act and thing requisite and proper to effectuate the granted powers, including without limiting the generality of the foregoing:

a. The assignment, endorsement, transfer and delivery (but in all cases without representation, recourse, or warranty) of notes, claims, bonds, debentures, mortgages, deeds of trust, contracts, patents and applications therefor, licenses, certificates of stock and of deposit, and any other liens, powers, rights, charges on and interest in or to property of any kind, legal and equitable, now or hereafter held by the Small Business Administration or its Administrator.

b. The execution and delivery of contracts of sale or of lease or sublease, quitclaim, bargain and sale of special warranty deeds, bills of sale, leases, subleases, assignments, subordinations, releases (in whole or part) of liens, satisfaction pieces, affidavits, proofs of claim in bankruptcy or other estates and such other instruments in writing as may be appropriate and necessary to effectuate the foregoing.

c. The approval of bank applications for use of liquidity privilege under the loan guaranty plan.

d. Except: (1) To compromise or sell any primary obligation or other evidence of indebtedness owed to the Agency for a sum less than the total amount due thereon; and (2) to deny liability of the Small Business Administration under the terms of a participation or guaranty agreement, or the assertion of a claim for recovery from a participating bank under any alleged violation of a participation or guaranty agreement.

B. *Development company assistance.*

**1. To approve or decline section 501 State Development Company loans and section 502 Local Development Company loans up to $350,000 (SBA share).

2. To close and disburse sections 501 and 502 loans.

3. To extend the disbursement period on sections 501 and 502 loan authorizations or undisbursed portions of sections 501 and 502 loans.

4. To cancel, reinstate, modify, and amend authorizations for sections 501 and 502 loans.

5. To take all necessary actions in connection with the administration, servicing, and collection; and to do and perform and to assent to the doing and performance of, all and every act and thing requisite and proper to effectuate the granted powers, including without limiting the generality of the foregoing:

a. The assignment, endorsement, transfer and delivery (but in all cases without representation, recourse or warranty) of notes, claims, bonds, debentures, mortgages, deeds of trust, contracts, patents and applications therefor, licenses, certificates of stock and of deposit, and any other liens, powers, rights, charges on and interest in or to property of any kind, legal and equitable, now or hereafter held by the Small Business Administration or its Administrator.

b. The execution and delivery of assignments, subordinations, releases (in whole or part) of liens, satisfaction pieces, affidavits, proofs of claim in bankruptcy or other estates and such other instruments in writing as may be appropriate and necessary to effectuate the foregoing.

c. The approval of bank applications for use of liquidity privilege under the loan guaranty plan.

d. Except: (1) To compromise or sell any primary obligation or other evidence of indebtedness owed to the Agency for a sum less than the total amount due thereon; and (2) to deny liability of the Small Business Administration under the terms of a participation or guaranty agreement, or the assertion of a claim for recovery from a participating bank under any alleged violation of participation or guaranty agreement.

C. *Size determinations.* To make initial size determinations in all cases within the meaning of the Small Business Size Standards Regulations, as amended, except sections 501 and 502 loans, and further, to make product classification decisions for financial assistance purposes only. Product classification decisions for procurement purposes are made by contracting officers.

D. *Eligibility determinations.* To determine eligibility of applicants for assistance under any program of the Agency, with the exception of the 501 and 502 programs, in accordance with Small Business Administration standards and policies.

E. *Administration.*

1. To purchase reproductions of loan documents, chargeable to the revolving fund, requested by the U.S. attorneys in foreclosure cases.

2. To (a) purchase office supplies and equipment, including office machines, and rent regular office equipment and furnishings; (b) contract for repair and maintenance of equipment and furnishings; (c) contract for services required in setting up and dismantling and moving SBA exhibits and (d) issue Government bills of lading.

3. In connection with the establishment of Disaster Loan Offices, to obligate Small Business Administration to reimburse the General Services Administration for the rental of office space.

4. To rent motor vehicles from the General Services Administration and to rent garage space for the storage of such vehicles when not furnished by this Administration.

F. *Chiefs, Financial Assistance Divisions (and Assistant Chiefs, if assigned).*

1. *Size determinations for financial assistance only.* To make initial size determinations in all cases within the

meaning of the Small Business Size Standards Regulations, as amended, except sections 501 and 502 loans, and further, to make product classification decisions for financial assistance purposes only. Product classification decisions for procurement purposes are made by contracting officers.

2. *Eligibility determinations for financial assistance only.* To determine eligibility of applicants for assistance under any program of the Agency, except sections 501 and 502 loans, in accordance with Small Business Administration standards and policies.

3. To approve business and disaster loans not exceeding $350,000 (SBA share), and economic opportunity loans not exceeding $25,000 (SBA share).

4. To close and disburse approved business, economic opportunity and disaster loans.

5. To decline business, economic opportunity and disaster loans of any amount.

6. To enter into business, economic opportunity and disaster loan participation agreements with banks.

7. To execute loan authorizations for Central Office, area, and regional approved loans and loans approved under the delegated authority, said execution to read as follows:

"(Name), Administrator
By ----------
(Name)
(Title of person signing)"

8. To cancel, reinstate, modify, and amend authorizations for business, economic opportunity and disaster loans.

9. To extend the disbursement period on all loan authorizations or undisbursed portions of loans.

10. To approve, when requested, in advance of disbursement, conformed copies of notes and other closing documents; and certify to the participating bank that such documents are in compliance with the participation authorization.

11. To approve service charges by participating banks not to exceed 2 percent per annum on the outstanding balance on construction loans and loans involving accounts receivable and inventory financing.

12. To take all necessary actions in connection with the administration, servicing and collection, other than those accounts classified as "in liquidation"; and to do and to perform and to assent to the doing and performance of, all and every act and thing requisite and proper to effectuate the granted powers, including without limiting the generality of the foregoing:

a. The assignment, endorsement, transfer, and delivery (but in all cases without representation, recourse or warranty) of notes, claims, bonds, debentures, mortgages, deeds of trust, contracts, patents and applications therefor, licenses, certificates of stock and deposit, and any other liens, powers, rights, charges on and interest in or to property of any kind, legal and equitable, now or hereafter held by the Small Business Administration or its Administrator.

b. The execution and delivery of contracts of sale or of lease or sublease, quitclaim, bargain and sale of special warranty deeds, bills of sale, leases, subleases, assignments, subordinations, releases (in whole or in part) of liens, satisfaction pieces, affidavits, proofs of claim in bankruptcy or other estates and such other instruments in writing as may be appropriate and necessary to effectuate the foregoing.

c. The approval of bank applications for use of liquidity privileges under the loan guaranty plan.

d. Except: (1) To compromise or sell any primary obligation or other evidence of indebtedness owed to the Agency for a sum less than the total amount due thereon; and (2) to deny liability of the Small Business Administration under the terms of a participation or guaranty agreement, or the assertion of a claim for recovery from a participating bank under any alleged violation of a participation or guaranty agreement.

G. *Supervisory Loan Officer and/or Assistance Team Leader.*

1. To approve or decline business and disaster direct loans not in excess of $50,000 and participation loans not in excess of $50,000 (SBA share).

2. To approve or decline economic opportunity loans not in excess of $25,000 (SBA share).

3. To close and disburse approved business, economic opportunity and disaster loans.

4. To enter into business loan participation agreements with banks.

5. To execute loan authorizations for Central Office, area, and regional approved loans and loans approved under delegated authority, said execution to read as follows:

"(Name), Administrator
By ----------
(Name)
(Title of person signing)"

6. To cancel, reinstate, modify, and amend authorizations for business, economic opportunity and disaster loans.

7. To extend the disbursement period on all loan authorizations or undisbursed portions of loans.

8. To approve, when requested, in advance of disbursement, conformed copies of notes and other closing documents; and certify to the participating bank that such documents are in compliance with the participation authorization.

9. To approve service charges by participating banks not to exceed 2 percent per annum on the outstanding balance on construction loans and loans involving accounts receivable and inventory financing.

10. To take all necessary actions in connection with the administration, servicing, and collection, other than those accounts classified as "in liquidation"; and to do and to perform and to assent to the doing and performance of, all and every act and thing requisite and proper to effectuate the granted powers, including without limiting the generality of the foregoing:

a. The assignment, endorsement, transfer and delivery (but in all cases without representation, recourse, or warranty) of notes, claims, bonds, debentures, mortgages, deeds of trust, contracts, patents and applications therefor, licenses, certificates of stock and of deposit, and any other liens, powers, rights, charges on and interest in or to property of any kind, legal and equitable, now or hereafter held by the Small Business Administration or its Administrator.

b. The execution and delivery of contracts of sale or of lease or sublease, quitclaim, bargain and sale of special warranty deeds, bills of sale, leases, subleases, assignments, subordinations, releases (in whole or in part) of liens, satisfaction pieces, affidavits, proofs of claim in bankruptcy or other estates and such other instruments in writing as may be appropriate and necessary to effectuate the foregoing.

c. The approval of bank applications for use of liquidity privileges under the loan guaranty plan.

d. Except: (1) To compromise or sell any primary obligation or other evidence of indebtedness owed to the Agency for a sum less than the total amount due thereon; and (2) to deny liability of the Small Business Administration under the terms of a participation or guaranty agreement or the assertion of a claim for recovery from a participating bank under any alleged violation of a participation or guaranty agreement.

11. *Size determinations for financial assistance Only.* To make initial size determinations in all cases within the meaning of the Small Business Size Standards Regulations, as amended, except sections 501 and 502 loans, and further, to make product classification decisions for financial assistance purposes only. Product classification decisions for procurement purposes are made by contracting officers.

12. *Eligibility determinations for financial assistance Only.* To determine eligibility of applicants for assistance under any program of the Agency, except sections 501 and 502 loans, in accordance with Small Business Administration standards and policies.

H. *Loan Officer (Financial Assistance).*

1. To approve final actions concerning current direct or participation loans:

a. Use of the cash surrender value of life insurance to pay the premium on the policy.

b. Release of dividends of life insurance or consent to application against premiums.

c. Minor modifications in the authorization.

d. Extension of disbursement period.

e. Extension of initial principal payments.

f. Adjustment of interest payment dates.

g. Release of hazard insurance checks not in excess of $500 and endorse such checks on behalf of the Agency where SBA is named as joint loss payee.

h. Release of equipment with or without consideration where the value of

equipment being released does not exceed $500.

2. To close and disburse approved business, economic opportunity and disaster loans.

I. *Chief, Development Company Assistance Division.*

1. To close and disburse sections 501 and 502 loans.

2. To extend the disbursement period on sections 501 and 502 loan authorizations or undisbursed portions of sections 501 and 502 loans.

3. To cancel, reinstate, modify, and amend authorizations for sections 501 and 502 loans.

4. To take all necessary actions in connection with the administration, servicing, and collection; and to do and perform and to assent to the doing and performance of, all and every act and thing requisite and proper to effectuate the granted powers including without limiting the generality of the foregoing:

a. The assignment, endorsement, transfer and delivery (but in all cases without representation, recourse or warranty) of notes, claims, bonds, debentures, mortgages, deeds of trust, contracts, patents and applications therefor, licenses, certificates of stock and of deposit, and any other liens, powers, rights, charges on and interest in or to property of any kind, legal and equitable, now or hereafter held by the Small Business Administration or its Administrator.

b. The execution and delivery of assignments, subordinations, releases (in whole or part) of liens, satisfaction pieces, affidavits, proofs of claim in bankruptcy or other estates and such other instruments in writing as may be appropriate and necessary to effectuate the foregoing.

c. The approval of bank application for use of liquidity privilege under the loan guaranty plan.

d. Except: (1) To compromise or sell any primary obligation or other evidence of indebtedness owed to the Agency for a sum less than the total amount due thereon; and (2) to deny liability of the Small Business Administration under the terms of a participation or guaranty agreement, or the assertion of a claim for recovery from a participating bank under any alleged violation of a participation or guaranty agreement.

J. *Loan Officer (Development Company Assistance).*

1. To close and disburse sections 501 and 502 loans.

2. To extend the disbursement period on sections 501 and 502 loans.

3. To cancel, reinstate, modify, and amend authorizations for sections 501 and 502 loans.

4. To approve final actions concerning current direct, participation, and First Mortgage Plan 502 loans:

a. Use of the cash surrender value of life insurance to pay the premium on the policy.

b. Release of dividends of life insurance or consent to applications against premiums.

c. Minor modifications in the authorization.

d. Extension of disbursement period.

e. Extension of initial principal payments.

f. Adjustment of interest payment dates.

g. Release of hazard insurance checks not in excess of $500 and endorse such checks on behalf of the Agency where SBA is named as joint loss payee.

h. Release of equipment with or without consideration where the value of equipment being released does not exceed $500.

K. *Regional Counsel (Reserved).*

L. *Chief, Accounting, Clerical, and Training Division.*

1. To purchase reproductions of loan documents, chargeable to the revolving fund, requested by U.S. attorney in foreclosure cases.

2. To (a) purchase office supplies and equipment, including office machines, and rent regular office equipment and furnishings; (b) contract for repair and maintenance of equipment and furnishings; (c) contract for services required in setting up and dismantling and moving SBA exhibits and (d) issue Government bills of lading.

3. In connection with the establishment of disaster loan offices, to obligate Small Business Administration to reimburse General Services Administration for the rental of office space.

4. To rent motor vehicles from the General Services Administration and to rent garage space for the storage of such vehicles when not furnished by this Administration.

**5. To cancel, reinstate, modify and amend authorizations for business, economic opportunity and disaster loans.

**6. To extend the disbursement period on all loan authorizations or undisbursed portions of loans, except sections 501 and 502 loans.

**7. To approve final actions concerning current direct or participation loans:

a. Use of the cash surrender value of life insurance to pay the premium on the policy.

b. Release of dividends of life insurance or consent to application against premiums.

c. Minor modifications in the authorization.

d. Adjustment of interest payment dates.

e. Release of hazard insurance checks not in excess of $500 and endorse such checks on behalf of the Agency where SBA is named as joint loss payee.

f. Release of equipment with or without consideration where the value of equipment being released does not exceed $500.

M. *Assistant Chief, Accounting, Clerical, and Training Division.*

1. To purchase reproductions of loan documents, chargeable to the revolving fund, requested by U.S. attorney in foreclosure cases.

2. To (a) purchase office supplies and equipment, including office machines, and rent regular office equipment and furnishings; (b) contract for repair and maintenance of equipment and furnishings; (c) contract for services required in setting up and dismantling and moving SBA exhibits and (d) issue Government bills of lading.

3. In connection with the establishment of disaster loan offices, to obligate Small Business Administration to reimburse General Services Administration for the rental of office space.

4. To rent motor vehicles from the General Services Administration and to rent garage space for the storage of such vehicles when not furnished by this Administration.

III. *Branch Manager (Reserved).*

IV. The specific authority delegated herein, indicated by double asterisks (**) cannot be redelegated.

V. The authority delegated herein to a specific position may be exercised by an SBA employee designated as acting in that position.

VI. All previously delegated authority is hereby rescinded without prejudice to actions taken under such Delegations of Authority prior to the date hereof.

Effective date: April 26, 1968.

WILEY S. MESSICK,
Area Administrator,
Southeastern Area.

[F.R. Doc. 68-7489; Filed, June 24, 1968; 8:46 a.m.]

INTERSTATE COMMERCE COMMISSION

FOURTH SECTION APPLICATION FOR RELIEF

JUNE 20, 1968.

Protests to the granting of an application must be prepared in accordance with Rule 1100.40 of the general rules of practice (49 CFR 1100.40) and filed within 15 days from the date of publication of this notice in the FEDERAL REGISTER.

LONG-AND-SHORT HAUL

FSA No. 41369—*Various commodities—LCL class rates.* Filed by V. P. Brown, agent (No. 9), for interested rail carriers. Rates on various commodities on less-than-carload shipments, between points in Iowa, Minnesota, North Dakota, South Dakota, and Wisconsin located on the Northern Pacific Railway Co. and the Great Northern Railway Co.

Grounds for relief—Shortline distance formula and grouping.

Tariff—V. P. Brown, agent, tariff ICC 22.

By the Commission.

[SEAL] H. NEIL GARSON,
Secretary.

[F.R. Doc. 68-7503; Filed, June 24, 1968; 8:47 a.m.]

[Notice 163]

MOTOR CARRIER TRANSFER PROCEEDINGS

JUNE 20, 1968.

Synopses of orders entered pursuant to section 212(b) of the Interstate Commerce Act, and rules and regulations prescribed thereunder (49 CFR Part 279), appear below:

As provided in the Commission's special rules of practice any interested person may file a petition seeking reconsideration of the following numbered proceedings within 20 days from the date of publication of this notice. Pursuant to section 17(8) of the Interstate Commerce Act, the filing of such a petition will postpone the effective date of the order in that proceeding pending its disposition. The matters relied upon by petitioners must be specified in their petitions with particularity.

Finance Docket No. 25113. By order of June 18, 1968, the Transfer Board approved the transfer to Zidell, Inc., Portland, Oreg., of the authority set forth in the third amended permit and order entered December 9, 1965, in No. W-579 and W-579 (Sub-No. 1) issued to Arnold H. Zidell, Nathan Cohen, and Jack W. Olds, Trustees, and Emery N. Zidell, Rose W. Zidell, Arnold H. Zidell, Jack Rosenfeld, doing business as Zidell Machinery & Supply Co., Portland, Oreg., authorizing operations at Aberdeen, Wash., and Portland, Oreg., as a contract carrier by water in interstate or foreign commerce, in furnishing for compensation (under charter, lease, or other arrangement), non-self-propelled vessels to persons other than carriers subject to the Act, to be used by such persons for the transportation of their own property. William B. Adams, 624 Pacific Building, Portland, Oreg. 97204, attorney for applicants.

No. MC-FC-70349.[1] Republished. By order of May 16, 1968, the Transfer Board approved the transfer to James R. Kent and Gilbert Kent, Jr., doing business as Alaska West Express, Marsing, Idaho, of the operating rights in certificates Nos. MC-127129 (Sub-No. 4), MC-127129 (Sub-No. 5), and MC-127129 (Sub-No. 8) issued June 16, 1967, June 16, 1967, and April 10, 1967, to Avery Trucking Co., Inc., Post Office Box 8164, Boise, Idaho 83707, authorizing the transportation of: Stone, from Park Valley, Utah, to points in Idaho; general commodities, except household goods, between points in Idaho; and between Wrangell and Petersburg, Alaska, on the one hand, and, on the other, points in Idaho, Oregon, Washington, California, Nevada, Utah, and Montana. William F. Ringert, 503 Idaho Building, Boise, Idaho 83701, attorney for transferee.

No. MC-FC-70544. By order of June 18, 1968, the Transfer Board approved the transfer to Marty's Express, Inc., 1236 Adams Avenue, Philadelphia, Pa. 19124, of certificate Nos. MC-39249 and MC-39249 (Sub-No. 3), issued May 20, 1943, and April 24, 1967, respectively, to Martin Marano, doing business as Marty's Express, 1236 Adams Avenue, Philadelphia, Pa. 19124, authorizing the transportation of new furniture, and general commodities, with the usual exceptions, between points in Pennsylvania, Delaware, and New Jersey.

No. MC-FC-70552. By order of June 18, 1968, the Transfer Board approved the transfer to Gray Line Tours, Inc., Roxbury, Mass., of license No. MC-17127 issued October 27, 1942, to The Gray Line, Inc., authorizing the holder to engage in operations as a broker, at Boston, Mass., and points within 20 miles thereof, in arranging for the transportation of passengers and their baggage between points in the United States. Charles W. Singer, 33 North Dearborn Street, Chicago, Ill. 60602, attorney for applicants.

No. MC-FC-70571. By order of June 18, 1968, the Transfer Board approved the transfer to John F. Walter, Inc., Newville, Pa., of the operating rights in certificates Nos. MC-123314, MC-123314 (Sub-No. 1), MC-123314 (Sub-No. 3), MC-123314 Sub-No. 4), MC-123314 (Sub-No. 5), MC-123314 (Sub-No. 6), and MC-123314 (Sub-No. 7) issued February 13, 1961, May 28, 1964, March 5, 1965, October 20, 1965, April 13, 1967, July 10, 1967, and December 1, 1966, respectively to John F. Walter, Newville, Pa., authorizing the transportation of various commodities of a general commodity nature, between points in Indiana, Ohio, Pennsylvania, Delaware, Maryland, Michigan, New Jersey, New York, Virginia, and West Virginia. Henry M. Wick, Jr., 2310 Grant Building, Pittsburgh, Pa. 15219, attorney for applicants.

No. MC-FC-70573. By order of June 18, 1968, the Transfer Board approved the transfer to Ringer Trucking, Inc., Markleysburg, Pa., of the operating rights in permit No. MC-128338 issued October 9, 1967, to Willard Ringer, Markleysburg, Pa., authorizing the transportation of chemicals, in containers, between Morgantown, W. Va., on the one hand, and, on the other, points in Delaware, Kentucky, Maryland, Massachusetts, New Jersey, New York, Ohio, and Pennsylvania. Arthur J. Diskin, 806 Frick Building, Pittsburgh, Pa. 15219, attorney for applicants.

[SEAL] H. NEIL GARSON,
Secretary.

[F.R. Doc. 68-7504; Filed, June 24, 1968; 8:47 a.m.]

[1] Notice corrected to show the trade name of the transferee as Alaska West Express.

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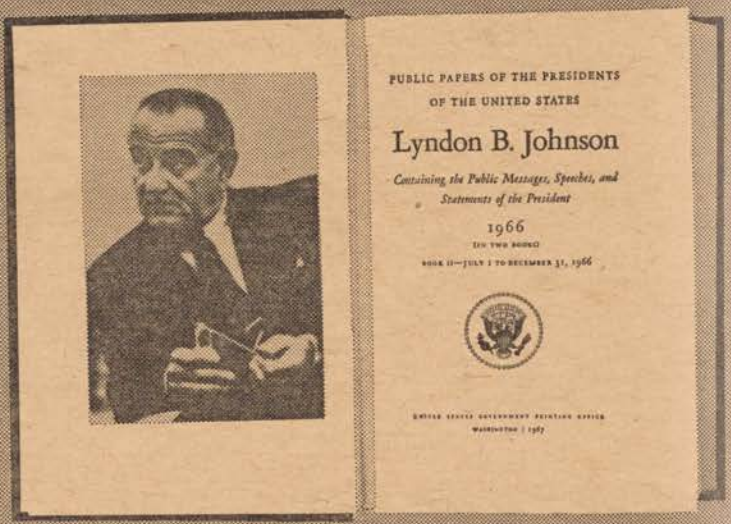
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